REPORT OF THE CONTROLLER AND AUDITOR GENERAL

THE UNITED REPUBLIC OF TANZANIA

NATIONAL AUDIT OFFICE

ISO 9001:2015 Certified

VOCATIONAL EDUCATION AND TRAINING AUTHORITY

REPORT OF THE CONTROLLER AND AUDITOR GENERAL ON THE FINANCIAL AND COMPLIANCE AUDIT FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

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AR/PA/VETA/2024/25

About the National Audit Office

Mandate

The statutory mandate and responsibilities of the Controller and Auditor-General are provided for under Article 143 of the Constitution of the United Republic of Tanzania of 1977 and in Section 10 (1) of the Public Audit Act, Cap. 418.

NAOT Vision, Mission & Motto

Vision

A credible and modern Supreme Audit Institution with high-quality audit services for enhancing public confidence.

mission

To provide high-quality audit services through modernization of functions that enhances accountability and transparency in the management of public resources.

Motto

Modernizing External Audit for Stronger Public Confidence

Core Values

Independence and Objectivity: We are an impartial public institution, independently offering high-quality audit services to our clients in an unbiased manner.

Professional competence: We deliver high quality audit services based on appropriate professional knowledge, skills, and best practices.

Integrity: We observe and maintain high ethical standards and rules of law in the delivery of audit services.

Creativity and Innovation: We encourage, create and innovate value-adding ideas for the improvement of audit services.

Results-Oriented: We focus on achievements of reliable, timely, accurate, useful, and clear performance targets.

Team Work Spirit: We value and work together with internal and external stakeholders.

© This audit report is intended to be used by Vocational Education and Training Authority and may form part of the annual general report which once tabled to National Assembly, becomes a public document hence, its distribution may not be limited.

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Abbreviations

Adv	Advocate
CAG	Controller and Auditor General
DVTC	District vocational training centre.
EAD	Exposure at Default
ECL	Expected Credit Loss
IPSAS	International Public Sector Accounting Standards
ISSAIs	International Standard of Supreme Audit Institutions
LGD	Loss Given Default
M	Mention
N/A	Not Applicable
PD	Probability of Default
PPE	Property, Plant and Equipment
PO	Preliminary Objection
RAAWU	Researchers, Academicians and Allied Workers
RM	Resident Magistrate
RVTSCs	Regional Vocational Training and Service Centres
SDL	Skills Development Levy
TFRS	Tanzania Financial Reporting Standards
VET	Vocational Education and Training
VETA	Vocational Education and Training Authority
VHTTI	VETA Hotel and Tourism Training Institute
VTCs	Vocational Training Centres

1.0 INDEPENDENT REPORT OF THE CONTROLLER AND AUDITOR GENERAL

Chairman of VETA Board,
Vocational Education and Training Authority,
PO Box 802,
DODOMA.

1.1 REPORT ON THE AUDIT OF FINANCIAL STATEMENTS

Unqualified Opinion

I have audited the financial statements of Vocational Education and Training Authority which comprise the statement of financial position as at 30 June 2025, the statement of financial performance, statement of changes in net assets, cash flow statement and the statement of comparison of budget and actual amounts for the year then ended, as well as the notes to the financial statements, including a summary of significant accounting policies.

In my opinion, the accompanying financial statements present fairly in all material respects, the financial position of Vocational Education and Training Authority as at 30 June 2025, and its financial performance and its cash flows for the year then ended in accordance with International Public Sector Accounting Standards (IPSASs) Accrual basis of accounting, as issued by the International Public Sector Accounting Standards Board (IPSASB and the manner required by the Public Finance Act, Cap. 348.

Basis for Opinion

I conducted my audit in accordance with the International Standards of Supreme Audit Institutions (ISSAIs). My responsibilities under those standards are further described in the section below entitled "Responsibilities of the Controller and Auditor General for the Audit of the Financial Statements". I am independent of Vocational Education and Training Authority in accordance with the International Ethics Standards Board for Accountants' Code of Ethics for Professional Accountants (IESBA Code) together with the National Board of Accountants and Auditors (NBAA) Code of Ethics, and I have fulfilled my other ethical responsibilities in accordance with these requirements.

I believe that the audit evidence I have obtained is sufficient and appropriate to provide a basis for my opinion.

Key Audit Matters

Key audit matters are those matters that, in my professional judgment, were of most significance in my audit of the financial statements of the current period. I have determined that there are no key audit matters to communicate in my report.

Other Information

Management is responsible for the other information. The other information comprises the Report by Those Charged with Governance, statement of management responsibility and Declaration by the Head of Finance but does not include the financial statements and my audit report thereon which I obtained prior to the date of this auditor's report.

My opinion on the financial statements does not cover the other information, and I do not express any form of assurance conclusion thereon.

In connection with my audit of the financial statements, my responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or my knowledge obtained in the audit, or otherwise appears to be materially misstated.

If, based on the work I have performed on the other information that I obtained prior to the date of this audit report, I conclude that there is a material misstatement of this other information, I am required to report that fact. I have nothing to report in this regard.

Responsibilities of Management and Those Charged with Governance for the Financial Statements

Management is responsible for the preparation and fair presentation of the financial statements in accordance with IPSAS and for such internal control as management determines is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, management is responsible for assessing the entity's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless management either intends to liquidate the entity or to cease operations or has no realistic alternative but to do so.

Those charged with governance are responsible for overseeing the entity's financial reporting process.

Responsibilities of the Controller and Auditor General for the Audit of the Financial Statements

My objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error and to issue an audit report that includes my opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISSAIs will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of these financial statements.

As part of an audit in accordance with ISSAIs, I exercise professional judgment and maintain professional skepticism throughout the audit. I also:

- Identify and assess the risks of material misstatement of the financial statements, whether due to fraud or error, design and perform audit procedures responsive to those risks, and obtain audit evidence that is sufficient and appropriate to provide a basis for my opinion. The risk of not detecting a material misstatement resulting from fraud is higher than for one resulting from error, as fraud may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal control;
- Obtain an understanding of internal control relevant to the audit in order to design audit procedures that are appropriate in the circumstances but not for the purpose of expressing an opinion on the effectiveness of the entity's internal control;
- Evaluate the appropriateness of accounting policies used and the reasonableness of accounting estimates and related disclosures made by management;
- Conclude on the appropriateness of management's use of the going concern basis of accounting and, based on the audit evidence obtained, whether a material uncertainty exists related to events or conditions that may cast significant doubt on the entity's ability to continue as a going concern. If I conclude that a material uncertainty exists, I am required to draw attention in my audit report to the related disclosures in the financial statements or, if such disclosures are inadequate, to modify my opinion. My conclusions are based on the audit evidence obtained up to the date of my audit report. However, future events or conditions may cause the entity to cease to continue as a going concern; and
- Evaluate the overall presentation, structure, and content of the financial statements, including the disclosures, and whether the financial statements represent the underlying transactions and events in a manner that achieves fair presentation.

I communicate with those charged with governance regarding, among other matters, the planned scope and timing of the audit and significant audit findings, including any significant deficiencies in internal control that I identify during my audit.

I also provide those charged with governance with a statement that I have complied with relevant ethical requirements regarding independence and to communicate with them all relationships and other matters that may reasonably be thought to bear on my independence, and where applicable, related safeguards.

From the matters communicated with those charged with governance, I determine those matters that were of most significance in the audit of the financial statements of the current period and are, therefore, the key audit matters. I describe these matters in my audit report unless law or regulation precludes public disclosure about the matter or when, in extremely rare circumstances, I determine that a matter should not be communicated in my report because the adverse consequences of doing so would reasonably be expected to outweigh the public interest of such communication.

In addition, Section 10 (2) of the Public Audit Act, Cap. 418 requires me to satisfy myself that the accounts have been prepared in accordance with the appropriate accounting standards.

1.2 REPORT ON COMPLIANCE WITH LEGISLATIONS

1.2.1 Compliance with the Public Procurement laws

Subject matter: Compliance audit on procurement of works, goods, and services

I conducted a compliance audit of the procurement of works, goods and services Vocational Education and Training Authority (VETA) for the year ended 30 June 2025 as per the Public Procurement Act, 2023 the Public Procurement Regulations, 2024, and related directives. I examined each phase of the procurement life cycle, including advertising of tenders, evaluation of bids, award of contracts and contract management, to confirm that the entity issued competitive solicitations, applied approved evaluation criteria, secured authorizations before award and maintained complete transaction records.

Based on the audit procedures performed, I conclude that, except for the matter described below, Vocational Education and Training Authority generally complies, in all material respects, with the requirements of the Public Procurement laws in Tanzania.

Inconsistencies in tender evaluation against criteria set in tender documents

Regulation 210 (1) of the Public Procurement Regulations, 2024 requires the tender evaluation to be consistent with the terms and conditions prescribed in the tender documents and such evaluation shall be carried out using the criteria explicitly stated in the tender documents. And Regulation 294(1) of the same regulations requires evaluation committee to be first reviewed the financial proposals for consistency with the technical proposals. However, the Vocational Education and Training Authority procured goods and services under contract numbers TR136/2024/2025/G/14, TR136/2024/2025/G/22, TR136/2024/2025/G/16, and TR136/2024/2025/G/15, with contract prices of TZS 419,420,900, TZS 752,167,500, TZS 419,420,900 and TZS 364,855,000 respectively, from three suppliers who were evaluated and successfully passed inconsistently with the requirements explicitly stated in the tender documents regarding the following:

The bidders submitted audited financial statements for the 2020 through 2023 financial years instead of the required justification of their average annual turnover, which should have been calculated based on total certified payments received for contracts in progress or completed within the specified duration. Furthermore, they submitted signed contracts only, rather than providing evidence that the assignments were at least 80% complete to justify that they had been satisfactorily and substantially finished.

1.2.2 Compliance with the Budget Act and other Budget Guidelines

Subject matter: Budget formulation and execution

I conducted a compliance audit of budget formulation and execution at Vocational Education and Training Authority for the year ended 30 June 2025 as per the Public Finance Act (Budget

Act), Cap. 439, and the Budget Guidelines issued by the Ministry of Finance. I reviewed budget submissions, approval memoranda, commitment registers, ledger entries and variance analyses to confirm that the entity prepared estimates in the prescribed format, obtained timely authorizations before incurring obligations, recorded transactions accurately and reported variances as required.

Based on the audit procedures performed, I conclude that, except for the matters described below, Vocational Education and Training Authority generally complies, in all material respects, with the requirements of the Budget Act and related Budget Guidelines.

(i) Non-compliance with timely implementation and full utilization of carryover funds

Regulation 21(3) of the budget regulations (Amendment), 2015 requires accounting officer shall submit carry over request in form of statement of undischarged to the paymaster general and all un-discharged commitments at the end of a financial year shall be executed within the first quarter of the subsequent financial year and that any unspent carry-over funds be returned to the Consolidated Fund after the end of the first quarter.

The Vocational Education and Training Authority obtained an approval to carry-over funds amounting to TZS 884,696,008. However, it neither implement the undischarged commitments within the prescribed timeframe nor return the balance to the Consolidated Fund. Consequently, only TZS 736,383,734 (83%) of the approved carryover funds were utilized by the year-end, leaving a balance of TZS 148,312,274 (17%) unspent.

(ii) Discrepancy between Budget as per PlanRep and Itemized Budget as per MUSE

Section 16 of the Budget Act, Cap 439 and its related regulations, all government institutions are required to prepare, approve, and execute budgets in accordance with the national budget guidelines. The approved budget in PlanRep, which serves as the planning and reporting tool for setting targets, monitoring performance, and aligning institutional priorities, must be consistent with the itemized budget uploaded into the MUSE system, which is used for financial control, expenditure management, and ensuring compliance with approved allocations.

Budget data in PlanRep and MUSE showed a significant discrepancy between the budget as per PlanRep and the itemized budget entered in MUSE. The Itemized budget - MUSE recorded TZS 64,631,313,343 while itemized as per plan Rep- Activity report recorded TZS 87,079,873,219 therefore differ by TZS 22,448,559,876.

(iii) Funds charged on the wrong expenditure/Budget Codes: 209 million

Section 18 Budget Act, CAP 439 (Revised Edition 2020) requires every Accounting Officer (AO) to ensure the budget of votes and public entities is prepared as per Plan and Budget Guidelines and funds and resources are properly managed and are used only for the purposes for which they were appropriated. Also, the Plan and Budget Guidelines For 2024/25 instructs the Accounting Officers to use government systems (like MUSE for accounting and PlanRep for planning) and strictly adheres to classification of expenditure in appropriate GFS Codes.

Furthermore, Regulation 46(2) of the Public Finance Regulations of 2001 requires every charge of expenditure be classified strictly as per the details of the approved budget.

However, at five centres a total of TZS 208,893,402 was charged on the wrong expenditure account codes through 90 transactions.

Charles E. Kichere
Controller and Auditor General,
Dodoma, United Republic of Tanzania.
March 2026

2.0 THE REPORT BY THOSE CHARGED WITH GOVERNANCE FOR THE FINANCIAL YEAR ENDED 30 JUNE 2025

2.1 INTRODUCTION

The Vocational Education and Training Board (VET Board), in full observance of the provisions set forth under Tanzania Financial Reporting Standard No. 1 (TFRS 1), is honoured to present the financial statements for the year ended 30 June 2025. These statements offer a comprehensive and faithful representation of the financial condition and operational performance of the Vocational Education and Training Authority (VETA). Prepared meticulously on an accrual basis, they conform fully to the International Public Sector Accounting Standards (IPSAS) and the disclosure principles mandated by TFRS 1. In accordance with the Vocational Education and Training Act, CAP 82 (Revised Edition 2019), the financial statements are further complemented by a Governance report from Those Charged with Governance affirming the Board's unwavering commitment to transparency, fiduciary responsibility, and statutory compliance in the stewardship of public resources.

2.2 VETA PROFILE

2.2.1 Establishment

The Vocational Education and Training Authority (VETA) is an autonomous government agency constituted under the Vocational Education and Training Act, CAP 82 (Revised Edition 2019). Upon its establishment, the Authority assumed full responsibility for the mandate formerly executed by the National Vocational Training Division, which operated under the now-repealed Vocational Training Act of 1974. This transition marked a significant institutional reform, positioning VETA as the central coordinating body for vocational education and training in Tanzania, with enhanced statutory authority and strategic autonomy to drive skills development in alignment with national socio-economic objectives.

2.2.2 AUTHORITY'S VISION

"Tanzania with sufficient and competent artisans."

2.2.3 AUTHORITY'S MISSION

To ensure availability of Vocational Skills in Tanzania through provision and promotion of Vocational Education and Training (VET) to meet labour market demand for socio-economic development.

2.2.4 AUTHORITY'S CORE VALUES

a) People first;
b) Dexterity and creativity;
c) Team Work and integrity;
d) Relevancy.

2.3 AUTHORITY OBJECTIVES AND STRATEGIES

The Authority is implementing Vocational Corporate Plan VI (2023/24 - 2025/26) upon which it's expected to produce outputs which are in relation to core function of the Authority which

is to provide, promote and finance Vocational Education Training. In achieving Authority underlying objectives and strategies designed in place as tabled below;

Table 1: Objectives and strategies

Objective	Objective Description	Strategies
A	HIV/AIDS infection reduced and supportive services improved	• To facilitate counselling and testing programs to staff and trainees. • To provide support to staff living with HIV/AIDS and NCD. • To strengthen Peer Health Education programs to trainees.
B	National Anticorruption Strategy implementation enhanced and sustained	• To facilitate capacity building on professional ethics and National Anti-Corruption practices to staff. • To conduct Integrity Committee meetings.
C	Equitable access to Vocational Education and Training enhanced	• To conduct public awareness raising and promotion events. • To coordinate training for 86,660 long course trainees to VETA owned Centers. • To create awareness of vocational Education and training for girls in secondary schools. • To enroll people with special needs and build capacity to VETA Teachers on handling trainees with disabilities. • To conduct Dual Apprenticeship Training System awareness workshops to VET stakeholders on Hospitality and Tourism, Electrical, Automotive, IMTT, Welding and Fabrication, Agromechaniscs, and Plumbing and Pipe courses including capacity building to teachers and mentors, roll-over of the Dual Apprenticeship Training System of formal Apprenticeship to five (5) selected VETA Centres • To Coordinate implementation of Skills Enhancement Program (SEP) in 8 companies and INTEP Program to 1200 Informal Business Operators National Wide. • To finalize construction of addition facilities at DVTCs to meet minimum requirement for Establishment. • To establish Collaboration with countries. • To coordinate VET projects (WE4D, PMO etc.) • To implement media engagement programme. • To provide certificate course and Diploma course in Technical & vocational teacher's education.
D	Quality and relevance of Vocational Education and Training enhanced	• To review/develop thirteen (13) Syllabus VETA centres. • To conduct monitoring and evaluation for curriculum implementation to 80 VETA centres. • To conduct labour market survey in Mining sector (IMTT program & Mineral Processing). • To develop proposal for Solicit funds for conducting skills requirement for Government Strategic Projects. • To conduct labour market survey in Hospitality and Tourism sector (tour guide). • To review/develop five (5) NTA curriculum for Tourism and ICT. • To enhance collaboration between industries and VETA for training support. • To coordinate review Guidelines for selection of Trainee VETA-owned centers. • To identify and prepare specifications for Tools and Equipment for DATS and IMTT. • To procure Tools and equipment for 60 VETA centres.

		• To rehabilitate workshops, hostels and classrooms.
E	Corporate capacity to deliver services improved	• To facilitate Capacity Building to staff to meet required performance. • VETA Company Established • To conduct workshops to potential stakeholders • To supervise and monitor Authority's construction and rehabilitation projects. • To Install LAN and WAN at 29 VETA Centers. • To maintain hosting of website, internet services, email services, Data for WAN Connectivity, Backup & Remote services, support of developed applications, eservices, Internship payments, enhance protection and security of ICT issues by June 2025 • To coordinate implementation of all operational activities related to estates management • To implement VET innovation commercialization strategy and programmes • To coordinate Monitoring, Officiating and inauguration of VETA Training Centres

Source: Vocational Corporate Plan VI (2023/24 TO 2025/26)

2.4 AUTHORITY OPERATING MODEL

2.4.1 PRINCIPAL ACTIVITY

The principal activity of VETA is to guarantee the availability of high-quality Vocational training opportunities that align with Tanzania's National development priorities and labour market needs. This is achieved through a comprehensive approach that encompasses the provision, promotion, and financing of Vocational education and training across the Country.

2.4.1 OPERATING STRUCTURE

The Vocational Education and Training Authority (VETA) operates as an independent autonomous agency under the Ministry of Education, Science and Technology, established by the Vocational Education and Training Act, CAP 82 (R.E. 2019). It is governed by the VET Board, which provides strategic oversight and policy direction, supported by the Director General who leads day-to-day operations. At the national level, the Head Office in Dodoma Region with key directorates responsible for planning and development, vocational training, finance and human resources. These directorates are supported by essential technical units including procurement, internal audit, ICT, and risk management. VETA's strategic and financial activities are implemented in full compliance with TFRS 1 and IPSAS, ensuring transparent Governance and performance accountability.

Operationally, VETA adopts a decentralized structure, coordinating service delivery through Zonal offices and over 80 training Centres, one (1) vocational teacher's college, with 65 additional centres under development. Zonal offices provide managerial support and supervision, while training centres deliver competency-based vocational programs in alignment with national labour market demands. Institutional risk management, corporate planning, staff capacity development, and infrastructure improvement are core to VETA's operating framework. Furthermore, stakeholder engagement with industries, development partners, and communities enhances the Authority's ability to deliver inclusive, high-quality training that contributes to Tanzania's socio-economic transformation.

2.4.2 THE AGENCY OPERATING MODEL

VETA (Vocational Education and Training Authority) in Tanzania functions as an autonomous Government agency dedicated to providing and regulating vocational training in alignment with national development objectives. Its core mission involves offering accessible, demand-driven training programs that equip individuals with skills relevant to the labour market, contributing to the country's economic growth and industrialization. VETA emphasizes inclusivity, targeting various social groups, including marginalized communities, and integrates entrepreneurial training to foster self-employment and innovation among its graduates.

Strategically, VETA focuses on continuous curriculum development tailored to key economic sectors, quality assurance to meet industry standards, and establishing partnerships with stakeholders. Through monitoring and evaluation mechanisms, VETA tracks its progress, assesses performance, and adjusts its approaches to ensure efficient resource utilization and achievement of set goals. The organization's operational model encompasses improving management systems, financial sustainability, and promoting good governance to enhance its effectiveness and ensure accountability.

VETA's structure is decentralized, with a head office, zonal offices, and training centers facilitating service delivery throughout Tanzania. Key elements of its operation include curriculum implementation, quality control, trainee support, certification management, and promoting collaboration with external entities. This multifaceted approach allows VETA to efficiently cater to a range of stakeholders, contributing to a skilled workforce capable of driving the nation towards competitiveness and industrial advancement.

2.4.3 AUTHORITY RESOURCES AND INPUTS

A comprehensive breakdown of VETA's key inputs underpinning its operating model for the 2024/25 financial year is categorized into four primary resource domains: financial, human, physical, and social relationship capital. These inputs collectively form the foundation for effective delivery of vocational education and training services across the Authority's network.

Table 2: Resources and inputs

RESOURCES	INPUTS
Financial Resources The Authority oversees the administration of the Vocational Education and Training (VET) Fund, which is underpinned by a robust and diversified financing framework comprising the following sources: • VETA-Owned Assets: Revenue and value generated from all assets legally owned by the Authority, contributing to its capital base and operational liquidity. • Statutory Allocation from the Skills Development Levy (SDL): A designated one-third share of the national 3.5% SDL collections, providing a consistent and legally mandated stream of income. • Government Subventions and External Funding: Budgetary allocations from the Government of the United Republic of Tanzania, supplemented by grants and donations from both bilateral and multilateral development partners.	i) Authority has Tax Payers Fund amounting TZS 128.86 billion Cash and Cash Equivalents TZS 7.88 billion

RESOURCES	INPUTS
• Internally Generated Revenue: Proceeds derived from VETA's service offerings, consultancy, and other institutional engagements.	
Human Resources • **Competencies and Capabilities** VETA's workforce comprises a diverse mix of professionals with specialized expertise across core operational areas. These include technical and vocational instructors, curriculum development specialists, digital learning and IT personnel, M&E officers, and administrative support teams. Collectively, they possess strong technical proficiency, instructional capacity, and institutional management acumen, enabling effective delivery of vocational education services nationwide. • **Experience** The Authority continues to invest significantly in developing the professional capacity of its personnel. Staff are engaged in long-term academic training programs and short-term professional courses tailored to enhance their functional competencies. Internal workshops further supplement this development, focusing on institutional priorities such as digital transformation, communication, and Governance. • **Motivation and Innovation Drivers** VETA fosters a workplace culture grounded in inclusivity, staff engagement, and welfare support. Mechanisms such as participatory councils and constructive engagement with trade unions promote shared ownership of institutional goals. The Authority also supports employee well-being through structured medical coverage, internal financial assistance schemes, and proactive health education particularly in areas such as HIV/AIDS. These conditions cultivate a motivated, resilient, and forward-thinking workforce committed to continuous improvement and innovation.	i) The Authority workforce stood at 1966 employees where 1288 are males (66 %) and 678 are females (34%); ii) Experienced and competent management team with high integrity; iii) Different committees comprised of experts and competent iv) Gender and diversity inclusion;
Social and relationship resources • VETA's operational success is strongly anchored in its ability to cultivate and sustain meaningful relationships with a wide range of stakeholders. The Authority maintains strategic partnerships with industry players, employers, professional bodies, and development partners to ensure that its training programs remain responsive to labour market needs and technological shifts. These collaborations support curriculum development, internship placements, and employment linkages for graduates. • Internally, VETA upholds a collaborative and participatory working culture through formalized structures such as the Workers' Council, Trade Union -Researchers, Academicians and Allied Workers (RAAWU), and staff engagement forums promoting inclusive decision-making and organizational cohesion. • Externally, the Authority works closely with governments, communities, and education sector actors to expand access to skills training and enhance public trust.	i) The Authority ensure that employees are committed to address the need of stakeholders; ii) The Authority has strong governance; iii) The Authority engaged on Corporate social responsibility ; Strong base of customers

RESOURCES	INPUTS
VETA also engages development partners and donors in implementing skills enhancement projects, infrastructure development, and capacity-building initiatives. Its community-focused programs and HIV/AIDS awareness campaigns reflect a broader commitment to national well-being and social sustainability.	
Intellectual Capital • Authority has a wealth of knowledge and expertise in designing and delivering vocational education programs. • VETA develop relevant and up-to-date curriculums. This involves understanding the needs of employers and industries, as well as incorporating feedback and input from stakeholders to create effective training programs. • VETA possess expertise in various training methods and techniques to enhance the learning experience for trainees. This includes innovative teaching approaches, instructional design skills, and the use of technology to facilitate learning. • VETA has strong partnerships with industry stakeholders, employers, and other training providers. These partnerships help ensure that training programs are aligned with industry needs and lead to successful outcomes for trainees.	i) Up to date curriculums ii) The Authority has Research and innovation unit iii) Teachers training College iv) Number of memorandums of understanding between VETA and Government and Private Institutions.
Natural Resources Environmental resources are used throughout VETA operations. The Authority is committed to manage environmental preservation by remaining conscious to her actions.	i) The projects that VETA undertakes ensure that social and environmental impact are taken care in responsible manner; ii) The Authority embraces the culture of responsible living with essence of building sustainable work environment; iii) The Authority has strived in use of sustainable clean energy

RESOURCES	INPUTS
	sources that are environmentally friendly in discharging of its day-to-day activities.
Physical Resources • VETA-Owned Training Centres and Zonal Offices VETA operates a national network of vocational training institutions, comprising fully functional training centres across various regions and zonal coordination offices. These centres form the backbone of its service delivery infrastructure and are strategically distributed to increase access to Vocational training, particularly in underserved areas. • Workshops, Tools, Machinery, and Learning Materials VETA's training delivery is supported by a wide array of practical training workshops equipped with modern tools and machinery. These facilities enable hands on, competency-based education that aligns with industry standards and evolving technology. • ICT Infrastructure and Digital Systems The Authority has made notable investments in ICT to improve efficiency, governance, and digital learning capabilities. • **Newly Constructed and Upgraded Buildings** In the 2024/25 financial year, VETA has undertaken major infrastructure development projects including the expansion of existing centres and the construction of new buildings. This includes upgrades to zonal offices, head office facilities, dormitories, workshops, and classrooms. These capital projects enhance capacity, safety, and the learning environment, in line with national education development goals. • **Vehicles for Training Outreach and Logistics** VETA's logistical capacity is reinforced by a fleet of vehicles used for training outreach, supervision, and operational coordination.	i) 80 Training Centres ii) Vast number of workshops, infrastructures, tools, equipment's, plants and machinery used for training purpose. iii) ICT infrastructures and digital systems iv) Vehicles

Source: *Annual Progress Report 2024/25*

2.4.4 OPERATING ACTIVITIES OF THE AUTHORITY

The Vocational Education and Training Authority (VETA) undertakes a wide range of core functions at the national level, geared towards developing a skilled workforce for the socio-economic transformation of Tanzania. These activities are aligned with national development strategies and the Vocational Education and Training Act, and are executed across its network of training Centres, Zonal offices, and in partnership with stakeholders. Outlined below are key activities undertaken by the Authority during the 2024/25 financial year:

- **Provision of Vocational Education and Training** (VET)

Delivering quality hands-on training across more than 60 technical trades including mechanics, welding, carpentry, ICT, tailoring, electrical installation, and hospitality. Training delivery is done through VETA-owned centres and registered private and public training institutions. Both long-term and short-term courses are provided, including tailor-made programs for specific industrial or community needs.

- **Development and Review of Curricula**

Designing, reviewing, and validating competency-based education and training (CBET) curricula in alignment with labour market demands. Ensuring standardization and relevance across institutions nationwide. Collaborating with industry to ensure occupational profiles are up-to-date and aligned with emerging technologies and innovations.

- **Assessment and Certification of Competencies**

Conducting national skills assessments and certification exercises for formal and non-formal learners. Offering level-based qualifications under the National Technical Award (NTA) framework. Recognition of Prior Learning (RPL) for informal sector workers to certify practical experience.

- **Labour Market Information and Skills Forecasting**

Conducting labour market surveys and tracer studies to assess the employability of graduates and inform training policy. Establishing and managing the Labour Market Information System (LMIS). Providing advice to the Government on skill gaps and workforce development needs.

- **Promoting Equal Access and Inclusive Training**

Ensuring equitable access to Vocational training for women, persons with disabilities, and disadvantaged groups. Offering scholarships, boarding facilities, and gender-sensitive infrastructure where possible. Promoting girls' participation in traditionally male-dominated trades.

- **Apprenticeship and Work-Based Learning**

Coordinating formal apprenticeship programs in collaboration with industries and employers. Integrating on-the-job training into curricula to enhance learner exposure and employability. Promoting dual training models (theory + practical) to improve relevance.

- **Construction and Maintenance of Training Infrastructure**

Planning and implementing construction projects for new VET centres and expansion of existing ones. Equipping workshops with modern training tools and technology.

- **Capacity Development for Trainers and Staff**

Providing continuous professional development for instructors, assessors, and internal quality auditors. Implementing the Trainer Qualification Framework. Encouraging industrial attachment and exposure for VET trainers.

- **Stakeholder Engagement and Public-Private Partnerships**

Collaborating with industry, development partners, NGOs, and government entities in skills development initiatives. Mobilizing resources through partnerships for infrastructure, equipment, and curriculum development. Promoting VETA's brand and services through exhibitions, career fairs, and media.

- **Implementation of Strategic and Special Programs**

Executing national skills development programs such as: Skills Development for Youth Employment (SDYE), Skills for Employment Tanzania (SET), Blue Economy skills initiatives, Digital and green skills projects. Rolling out cross-cutting themes such as climate resilience, digitalization, entrepreneurship, and innovation.

- **Institutional Governance and Accountability**

Ensuring strong governance through an active VET Board and its sub-committees. Enforcing financial, environmental, and social accountability through ESG-aligned sustainability reporting (TFRS 1-compliant). Promoting ethical practices and compliance with procurement laws and public service regulations.

2.4.5 VETA OUTPUTS

In line with its statutory mandate, the Vocational Education and Training Authority (VETA) continued to implement key interventions aimed at equipping Tanzanians with relevant technical and vocational skills to meet labour market demands. For the financial year 2024/25, VETA focused on enhancing access, quality, equity, and relevance of vocational training across the Country. This section presents a summary of VETA's major outputs at the national level.

i Curricular & syllabi development and review

Increased number of revised and demand-driven Vocational training Curricula and the survey report has been prepared and used in curricula development process. In the year under review the Authority developed a total of 25 curricula, six (6) of which focused on underground mining, a rapidly emerging and high demand sector in the labour market as well as nine (9) specialized curricula for the arts and sports sector. In addition to that a total of 56 syllabi were developed to support the delivery of Vocational oriented education in secondary schools under the Amali stream. The authority also conducted a comprehensive dissemination exercise of the electrical installation curriculum, reaching a total of 51 instructors drawn from all VETA Zones across the Country.

ii Infrastructure and capacity enhancement

Remarkable progress was recorded in the expansion and modernization of infrastructure across VETA centres, significantly bolstering institutional capacity and elevating the quality of the training environment. Within the reporting period, the construction of additional facilities was successfully finalized in seven out of ten strategically selected Vocational Training Institutions, namely, Ngorongoro DVTC, Nkasi DVTC, Kihonda RVTSC, Namtumbo DVTC, Kitangali DVTC, Urambo DVTC, and Kanadi DVTC. Notably, the completion of supplementary buildings at Ngorongoro DVTC represented a critical milestone in the Authority's infrastructure

development agenda. Concurrently, rehabilitation works at VETA Uvinza and Ruangwa centres were fully implemented, revitalizing key infrastructure to align with contemporary training requirements.

Complementing these efforts, comprehensive labour market assessments were undertaken in the Tourism and Hospitality, Mining, and Information and Communication Technology (ICT) sectors, with a particular focus on Artificial Intelligence. The findings from these studies provided critical insights that guided the Curriculum Development Department in formulating market responsive training programmes aligned with current labour market demands.

iii **Authority Annual Financial Statements for the year 2023-24** were prepared and submitted to ACGEN and Controller and Auditor General (CAG) by the 30 August 2024 after which an Unqualified Opinion report was granted successfully.

iv **Skills Development and competence Assessment**

VETA annually produces a significant number of highly skilled graduates equipped with practical, hands-on expertise across various trades, specifically tailored to meet the dynamic demands of the labour market. The following analysis illustrates the manner in which the assessments and certification exercise was conducted over three consecutive financial years as part of VETA`s core outputs.

v **Staff capacity building**

A total of 46 instructors were capacitated on inclusive pedagogical approaches for effectively teaching learners with special needs, additionally, the authority enhanced the capacity of 50 industrial mentors to facilitate the implementation of Vocational training through the Dual Apprenticeship training model. Moreover, 858 other staff members received short-term professional development training, tailored to their respective areas of specialization, aimed at aligning their competencies with evolving industry demands and contemporary demand. 71 Employees undertook long -term capacity building programs during the year under review. Also, thirty (30) risk management practitioners were trained.

vi **The Skills Enhancement Programme (SEP)** was successfully implemented across three zones, Dar es Salaam, Highland, and South-West, encompassing eight participating companies. Through this initiative, a total of 212 employees, comprising 136 men and 76 women, received targeted skills training aimed at improving workforce competence and productivity.

vii **The INTEP Programme trained 1,910 entrepreneurs** (484 men and 1,426 women), exceeding its target by **59.16%**. Participants gained practical skills in areas such as decoration, painting tailoring, electrical work, soap and batik making, beekeeping, Grilling (barbecue), entrepreneurship, and hospitality services.

viii **A comprehensive "Skills Mapping" report**, detailing skills requirements across all districts, has been developed and will serve as a strategic reference for aligning training programmes offered at all VETA centres with district-specific labour market demands.

ix **The VETA Risk Management Framework** was thoroughly reviewed to enhance its effectiveness in identifying, assessing, and mitigating potential risks across the Authority's operations.

x **The VETA Fraud Risk Management Framework** was meticulously developed to establish a robust and systematic approach for identifying, assessing, preventing, and responding to fraud-related risks, thereby reinforcing Institutional integrity and Governance across the Authority.

xi **A comprehensive labour market survey report** focusing on Artificial Intelligence (AI) has been meticulously compiled, providing critical insights into emerging workforce demands, skill gaps, and strategic opportunities within this rapidly evolving technological domain.

xii **Monitoring evaluation and quality assurance**

All VETA Centres underwent rigorous inspections to ensure compliance with established training standards. In addition, performance audits and tracer studies were conducted to evaluate the employability outcomes of graduates. Customer satisfaction surveys were also completed, providing valuable feedback to guide continuous improvement in service delivery and training effectiveness.

xiii **Partnership and collaboration**

A number of new Memoranda of Understanding (MoUs) were formalized with private sector entities and development partners, reinforcing VETA's commitment to fostering strategic alliances. These partnerships have catalysed the initiation of high-impact projects, jointly implemented through donor support and industry collaboration, aimed at advancing skills development and enhancing the relevance of vocational training to labour market demands.

xiv **Enhancement of Internal Systems**

VETA has significantly strengthened its institutional efficiency through the optimization and deployment of advanced internal systems, including **VETMIS, VET DATAMIS,** and **the TO-DO-LIST** platform, now fully integrated across its operational landscape to support data-driven decision-making, streamline workflows, and enhance organizational performance.

xv **Awareness and Preventive Outreach**

Comprehensive training and sensitization programmes focusing on anti-corruption, HIV/AIDS, and broader public health concerns were strategically executed, serving to institutionalize a culture of integrity, elevate health awareness, and strengthen social accountability across all tiers of the Authority's structure.

xvi **Enhanced Public Visibility and Institutional Outreach**

VETA's public profile and institutional visibility were substantially elevated through the strategic execution of targeted media engagements and multifaceted promotional campaigns, thereby fostering broader public awareness of its mandate, programmes, and impact on National skills

xvii Skilled **manpower level in the Economy**

- **Expanded enrolment capacity in VETA training programs.**

In the financial year 2024/25, VETA undertook the enrollment of trainees based on a structured and transparent process that prioritized submitted applications, upheld gender quality and strictly observed the principal of non-discrimination. The selection exercise was conducted fairly grounded in merit, institutional training capacity and alignment with National human capital development objectives. Emphasis was placed on inclusivity to ensure that all eligible individuals regardless of gender, socio economic status or cultural background had equitable access to Vocational Education and training opportunities. The outcome of this enrolment exercise was as follows:

Table 3: Students Enrolments

VET student enrolments for the year 2024/25					
VET Institutions Ownership	Capacity	Actual Enrolments			Capacity Utilization %
		Male	Female	Total	
VETA	75,000	69,984	16,676	86,660	116
TOTAL	**75,000**	**69,984**	**16,676**	**86,660**	**116**

Source: *Graduates records and students database*

- **ASSESSMENT AND CERTIFICATION**

As at 30 June 2025, the Vocational Education and Training Authority (VETA) had conferred qualifications upon a total of 16,938 graduates across a broad spectrum of nationally accredited training programs. These encompassed qualifications under the National Accreditation of Basic Education (NABE - All Stages), Competency-Based Assessment (CBA) Graded Certifications, Vocational Training Certificates (VT Certificates), and Vocational Training Diplomas (VT Diplomas) all meticulously aligned with national competency standards and labour market requirements.

This accomplishment represents a significant milestone in the execution of the VETA Strategic Plan VI (2023-2026) and aligns seamlessly with the overarching objectives of the Third Five-Year Development Plan (FYDP III), which positions skills development as a catalyst for inclusive economic growth and structural transformation. Moreover, the graduation figures are a tangible reflection of targeted investments under the Medium-Term Expenditure Framework (MTEF) Activity Costing Plan for the financial year 2024/25, aimed at widening access, enhancing quality, and promoting equity in the provision of technical and vocational education across the country.

A detailed classification of the graduates by qualification category is presented below, underscoring both the scope and composition of VETA's certification outcomes.

Table 4: Classification of the graduates by qualification category

	2024/25		2023/24		2022/23	
	Attempted	Certified	Attempted	Certified	Attempted	Certified
NABE all Stage	700	124	746	179	1,161	250
Competence Based Assessment (Graded)	56,791	14,818	41,876	23,658	51,075	33,788
Integrated Mining Technical Training (IMTT)	172	114	77	71	98	80
Dual Apprenticeship Training System	365	258	236	197	137	85
Recognition of Prior Learning (RPL)	1711	1624	1285	1182	1,342	1,338
Vocational Teachers (VT) Certificate	0	0	142	130	86	66
Diploma (Vocational Teachers and Textile and Fashion Design)	72	0	11	11	43	5
Certificate NTA Level IV (VHTTI)	320	0	232	194	215	214
Certificate NTA Level V (VHTTI)	112	0	0	0	29	29
Diploma NTA Level VI (VHTTI)	84	0	52	47	270	269
Total	**60,327**	**16,938**	**44,657**	**25,669**	**54,456**	**36,124**

Source: Graduates records and students database

2.4.6 VETA OUTCOMES

The Vocational Education and Training Authority (VETA) continues to play a critical role in the development of a skilled and employable workforce across Tanzania. The outcomes of its interventions in the 2024/25 financial year reflect its commitment to excellence in technical and vocational education and training. Outlined below are the significant outcomes achieved at the national level:

i Enhanced employability of VETA graduates for both wage and self-employment

A significant percentage of VETA graduates secured employment or started their own businesses within six months of graduation. Increased alignment between VETA training programs and the demands of the labour market, resulting in a higher absorption rate of graduates.

ii A more competent and demand-driven skilled workforce aligned with national and global labor market needs

Implementation of revised and newly developed curricula led to improved training standards across VETA institutions. Trainers equipped with modern pedagogical skills enhanced the learning experience and competence of trainees.

iii Inclusive Access to Technical Education

Greater inclusion of students with disabilities following targeted training for instructors on inclusive education methods. Wider geographic reach and increased enrolment from rural and marginalized communities.

iv Institutional Capacity Strengthening

Improved performance of training centres due to long-term and short-term staff development initiatives. Strengthened collaboration between training institutions and industry through dual apprenticeship systems and industrial mentorship.

v Increased Industry Collaboration and Responsiveness

Greater industry involvement in curriculum development and workplace-based training contributed to relevant and responsive skill development. Industrial mentors' capacity built to effectively support on-the-job learning under the dual training model.

vi Reduced gender and social disparities in access to Vocational Education.

Marked progress in female enrolment and participation in male-dominated trades demonstrating the effectiveness of gender-responsive interventions

- Strengthened entrepreneurial capacity and innovation among youth and artisans;
- Strengthened institutional governance, transparency, and accountability within VETA;
- Increased stakeholder and industry confidence in the VET system; and
- Enhanced contribution of vocational education to Tanzania's socio-economic development and industrialization agenda.

vii Increased National employability level

Tanzanians gains practical skills that match the job market, making them more employable in various sectors such as construction, mechanics, tailoring, ICT, and hospitality etc.

viii Increased in Economic growth

Skilled labour force enhances achievement of development goals, such as the Tanzania Development Vision 2025.

ix Poverty reduction

By equipping people with income-generating skills, vocational education helps improve living standards and reduce poverty levels.

x Increased Innovation and Creativity

Hands work training encourages problem-solving, innovation, and adaptation to changing technologies.

xi Stimulation of Industrial Growth

Skilled workers contribute to manufacturing, construction, and service industries, boosting national productivity.

2.5 AUTHORITY RELATIONSHIP WITH STAKEHOLDERS

VETA's key stakeholders, their primary needs or expectations, and the Authority's corresponding responses. This engagement strategy reinforces institutional trust, relevance, and accountability in the delivery of vocational education and training services across Tanzania.

Table 5: **Stakeholders relationship**

Key Stakeholders	Stakeholders' Needs	VETA Response
Government (Ministry of Education, Ministry of Finance and Planning (MoFP), President's Office - Regional Administration and Local Government (PO-RALG)	Implementation of national skills development policies, transparency, value for public funds, alignment with FYDP III and national development agenda.	Aligns programs and activities with government policy priorities, submits reports, collaborates on planning and implementation, adheres to regulatory requirements.
Development Partners (International Labour Organisation (ILO), Korea International Cooperation Agency (KOICA), United Nations Educational, Scientific and Cultural Organization (UNESCO) and GIZ)	Accountability, efficiency, transparency in use of donor funds, alignment with development priorities, impact-oriented interventions.	Maintains transparent project management, provides periodic reporting, ensures alignment with national and sectoral frameworks, and facilitates joint monitoring and evaluations.
Private Sector and Employers	Provision of industry-relevant skills, collaboration on apprenticeships, access to a skilled workforce, curriculum alignment.	Engages in public-private partnerships, conducts labor market surveys, co-develops curricula, and facilitates apprenticeships and job placements.
Trainees and Graduates	Access to quality, affordable and inclusive vocational education, certification, career guidance, entrepreneurship support.	Provides CBET programs, establishes incubation Centers, supports career development, and offers RPL and entrepreneurship training.
Training Institutions and VET Centers	Curriculum support, infrastructure, equipment, and policy guidelines to enhance training delivery and relevance.	Provides standard curricula, continuous technical support, equipment and tool distribution, policy compliance monitoring.
Community and Civil Society	Economic empowerment, inclusion of marginalized groups, access to skills training and job creation opportunities.	Implements inclusive training models, community outreach programs, and supports skills development for youth and vulnerable groups.
Internal Staff and Instructors	Capacity building, decent working conditions, tools and resources for instruction, fair performance evaluation.	Implements staff training programs, deploys digital systems for efficiency, offers incentive schemes and performance-based recognition.
Media and General Public	Access to timely and accurate information on VETA services and achievements, engagement in public awareness.	Disseminates information through media, community radio, brochures, and digital platforms; promotes institutional visibility and public engagement.

Key Stakeholders	Stakeholders' Needs	VETA Response
Suppliers	Training programs offered are relevant to the needs of the industry and market demand	Updating curricula and increase innovations to meet market needs.
Financial Institutions	Selling products to society at low risk.	High-quality, relevant vocational training that meets the specific needs of society which helps young generation to succeed financially.
Employees	Provided with competitive compensation and work in safety, healthy, and respectful work environment	Ensuring staff compensations and safety working environment.

Source: VETA Strategic Plan

2.6 EXTERNAL ENVIRONMENT

The operational and strategic positioning of the Vocational Education and Training Authority (VETA) is shaped by a dynamic external environment comprising legal, commercial, social, political, and technological factors. Understanding these external drivers is critical to VETA's ability to deliver on its mandate and sustain value creation over the short, medium, and long term.

The table below outlines the key external factors that influence VETA's performance, institutional resilience, and capacity to adapt in an evolving socio-economic landscape. This analysis forms an integral part of the Authority's strategic planning, enterprise risk management, and governance framework by ensuring that both threats and opportunities are anticipated and addressed systematically.

Table 6: Key external factors

External Environment Factor	Impact on VETA Operations	Timeframe Affected (Short/Medium /Long Term)	Strategic Response by VETA
Legal and Regulatory	Frequent policy changes, compliance requirements, and auditing demands affect operational stability and planning.	Short to Medium Term	VETA aligns its strategic plans with national policies, strengthens internal audit functions, and participates in legal reform consultations.
Commercial /Economic	Fluctuating funding levels, inflation, and economic downturns affect infrastructure development and service delivery.	Short to Long Term	VETA diversifies revenue through Income Generating Activities (IGA) initiatives like the UJUZI company, and enhances financial planning and donor coordination.
Social and Demographic	Youth unemployment, gender disparities, and vulnerable group needs influence demand and inclusivity in training programs.	Medium to Long Term	VETA expands access for marginalized groups, incorporates inclusive education, and engages in community outreach programs.
Political	Changes in leadership and national priorities may	Short to Medium Term	VETA maintains non-partisan alignment to government policies,

External Environment Factor	Impact on VETA Operations	Timeframe Affected (Short/Medium /Long Term)	Strategic Response by VETA
	redirect focus and affect program continuity.		builds institutional resilience, and adjusts strategic objectives accordingly.
Technological	Rapid technological changes affect training relevance, delivery methods, and operational efficiency.	Short to Long Term	VETA invests in ICT infrastructure (VETMIS, e-learning), updates curricula, and trains staff on emerging technologies.

Source: VETA Strategic Plan

2.7 RISK MANAGEMENT AND INTERNAL CONTROL

The principal risks that may affect the Vocational Education and Training Authority (VETA)'s ability to create, preserve, and deliver value over the short, medium, and long term. These risks are directly linked to the Authority's mandate and operational capacity, and they reflect both internal vulnerabilities and external uncertainties inherent to the public Vocational training sector.

The analysis outlines each risk alongside its assessed likelihood and material impact on VETA's strategic objectives. Corresponding mitigation strategies have been put in place to safeguard institutional sustainability, promote accountability, and ensure uninterrupted service delivery. This risk disclosure supports transparent decision-making and forms a critical part of VETA's broader Governance, performance, and resource stewardship framework.

Table 7: Outlines of risk

Principal Risk	Likelihood (High/Medium /Low)	Mitigation Actions by VETA
Inadequate and delayed government funding	High	Diversifying funding through Income Generating Activities (IGAs) (e.g., UJUZI company), enhancing budget planning and timely submission, strengthening donor collaboration.
Cybersecurity and data integrity risks	Medium	Upgrading ICT infrastructure, implementing secure digital platforms (VETMIS, TANEPS), and conducting regular IT audits and staff training.
Non-compliance with legal and regulatory requirements	Medium	Enhancing internal audit and legal compliance units, periodic policy review, and institutional training on governance standards.
Poor staff retention and limited professional capacity	High	Implementation of revised scheme of service, incentive mechanisms, career development training, and performance-based evaluations.
Mismatch between training content and labor market needs	Medium	Continuous curriculum reviews, labor market surveys, and public-private partnerships for dual training models.

Principal Risk	Likelihood (High/Medium /Low)	Mitigation Actions by VETA
Natural disasters and health pandemics	Low	Strengthening disaster response plans, enforcing occupational safety protocols, and integrating health campaigns across Centers.
Reputational damage due to corruption or ethical breaches	Low	Institution-wide integrity training, whistleblower systems, and anticorruption training programs operations in training centers.
Inadequate inclusion of marginalized groups	Medium	Special inclusion programs, physical accessibility upgrades, and awareness campaigns targeting vulnerable populations.

Source: VETA Risk management framework

Internal Control Framework

VETA has established a comprehensive internal control framework aimed at safeguarding its assets, ensuring the integrity and reliability of financial and operational reporting, fostering compliance with applicable laws and regulations, and enhancing the overall effectiveness and efficiency of institutional operations. These controls are deeply embedded within the Authority's Governance architecture and day-to-day processes, serving as a cornerstone for promoting transparency, accountability, and prudent risk management.

To achieve these objectives, the Authority's internal control framework is anchored on the following key elements:

a) Delegation

The overarching strategic objectives of VETA are set by the Vocational Education and Training (VET) Board, which entrusts the day-to-day execution and operational oversight to the Management team. A well-defined organizational framework delineates hierarchical lines of authority and accountability, thereby ensuring clarity in governance and operational efficiency.

b) Budgets

Management formulates comprehensive annual budgets grounded in the strategic directives of the VETA Corporate Plan. These budgets undergo rigorous scrutiny by the Planning and Finance Committee of the VET Board, prior to their formal ratification by the Board itself This structured review process ensures alignment between operational planning and the Authority's long-term institutional objectives.

c) Competence

The development and retention of staff competencies are upheld through a structured recruitment framework and a robust performance appraisal system, which systematically identifies individual and institutional training needs. To enhance technical capacity and professional growth, VETA implements a continuous learning approach through a combination of targeted in-house training programmes and externally facilitated capacity-building initiatives.

d) Internal audit

The Internal Audit Unit systematically assesses organizational risks and critically examines the adequacy and effectiveness of internal control mechanisms, ensuring that management diligently implements recommended corrective and enhancement measures. The Chief Internal Auditor maintains functional accountability to the Audit Committee, while reporting administratively to the Director General, thereby preserving both independence and operational coherence within the governance structure.

e) Appropriation of reserves/surplus

In accordance with its public mandate and statutory framework, VETA operates as a non-commercial, not-for-profit public institution. Consequently, it is neither authorized nor obligated to declare or distribute dividends. Instead, any financial surplus arising from operations including income-generating activities is systematically reinvested to advance the Authority's strategic objectives. These reinvestments are guided by priorities articulated in the VETA Corporate Plan and aligned with national development frameworks, particularly the Third Five-Year Development Plan (FYDP III). The retained surplus is earmarked to strengthen training infrastructure, expand programme delivery, and enhance institutional sustainability over the medium to long term.

2.8 SUSTAINABILITY

For the financial year ended 30 June 2025, the Vocational Education and Training Authority (VETA) has prepared this sustainability disclosure in conformity with the requirements of TFRS 1 - Presentation of Financial Statements by Public Sector Entities. This section sets out the Authority's practices and performance in relation to **Environmental, Social, and Governance (ESG) principles**, as integrated into its operational and strategic frameworks.

The report reflects VETA's institutional commitment to prudent and responsible resource utilization, promotion of inclusive social outcomes, and the maintenance of sound Governance systems. These practices are embedded within the Authority's broader mandate to deliver equitable, high-quality Vocational and Technical Education, while upholding transparency, accountability, and long-term sustainability.

2.8.1 Environmental Sustainability

VETA demonstrates its commitment to environmental sustainability through multiple green initiatives and responsible use of resources. Training programs incorporate modules on environmental awareness, waste management, and renewable energy technologies. Several VETA Centers have adopted eco-friendly practices including rainwater harvesting, tree planting drives, and energy-efficient systems. Infrastructure development projects comply with environmental impact assessments (EIA), ensuring sustainable construction practices. Moreover, Vocational courses in areas such as solar installation and environmental engineering support the national agenda on climate change adaptation.

2.8.2 Social Sustainability

VETA prioritizes social inclusion and empowerment in its training and employment practices. The Authority has continued to increase enrolment and support for women, youth, and persons with disabilities through targeted outreach and training programs. In 2024/25, **seventy-eight**

(78) persons with disabilities were enrolled and four (4) were employed across VETA institutions. The Authority also implemented health and HIV/AIDS awareness campaigns, psychosocial support programs, and community-based skills development initiatives. Social equity has been further promoted through affordable training fees, gender-balanced recruitment, and inclusive curriculum content that reflects the needs of marginalized populations.

2.8.3 Governance Sustainability

VETA maintains a strong Governance framework rooted in transparency, accountability, and institutional integrity. In the year under review, the Authority implemented a comprehensive risk management framework, internal audit enhancements, and compliance mechanisms aligned to IPSAS and national financial regulations. Anti-corruption training sessions and integrity awareness programs were conducted across training Centers, and PCCB personnel were invited to conduct training programs on ethical behaviour. The implementation of digital tools such as MUSE, GePG, PEPMIS, VETMIS, PLANREP, and NeST has improved operational transparency and reporting efficiency. VETA's Board and Senior Management exercised oversight through regular evaluations and performance monitoring, ensuring that the Authority remains mission-driven, efficient, and responsive to public expectations.

2.9 CORPORATE GOVERNANCE

The Vocational Education and Training Authority (VETA) operates under a structured governance framework anchored in transparency, accountability, and strategic oversight. The Board of Directors, composed of eleven members, is responsible for defining and periodically reassessing the Authority's strategic philosophy, institutional policies, and long-term objectives. The Board holds four statutory meetings annually and convenes additional sessions as necessary to address emerging business and operational imperatives.

In executing its mandate, the Board formulates strategic goals, sets performance benchmarks, and delegates the detailed planning and implementation of approved policies to the management team. To ensure effective execution and alignment with institutional objectives, the Board exercises rigorous oversight through continuous performance monitoring and control mechanisms, thereby holding management accountable for results.

Operational leadership is entrusted to the Director General, who oversees the day-to-day administration of the Authority. The Director General is supported by a senior management team comprising nine members, eight based at the Head Office and the Principal of the Morogoro Vocational Teachers Training College (MVTTC). Additionally, nine Regional Directors manage operations across VETA's zonal offices. The Director General reports directly to the Board, which retains ultimate responsibility for institutional governance and performance.

The Authority's Head Office, located at Plot No. 18, Central Business Park (CPB), VETA Road, Dodoma, serves as the nerve Centre for strategic coordination and policy execution. VETA's operational footprint spans a national network of 9 Zonal Offices, 15 Regional Vocational Training and Service Centres (RVTSCs), 15 Vocational Training Centres (VTCs), the MVTTC, 2 specialized training centres (Kipawa and VHTTI), and 16 District Vocational Training Centres, reflecting a robust institutional presence across the country.

VETA remains steadfast in its commitment to the principles of effective Corporate Governance. The Board acknowledges the fundamental importance of integrity, transparency, and institutional accountability in delivering public value. To uphold these principles, the Board has established four specialized Governance Committees:

- Human Resources and Administration Committee;
- Quality Assurance Committee;
- Audit Committee; and
- Planning and Finance Committee.

Each committee plays a pivotal role in supporting the Board's oversight function, ensuring that the Authority adheres to the highest standards of governance, risk management, and operational excellence.

2.10 COMPOSITION OF THE VET BOARD

The following members of the VET Board served during the reporting period, as of the date of this report, unless otherwise stated:

Table 8: VET Board Composition

S/N	NAME	POSITION	AGE	GENDER	NATIONALITY	INSTITUTIONAL AFFILIATION	QUALIFICATIONS
1	Prof. Sifuni Ernest Mchome	VET Board Chairman from 14 August 2023 to 13 August 2026	62	Male	Tanzanian	Presidential appointment	- Ph.D
2	Gladys Muhesa Mbelwa	Member since 2 September 2023 to 1 September 2026	49	Female	Tanzanian	Employers Association - ATE	- Master Degree of Business Administration in Corporate Management
3	Masingiri Masatu Robert	Member since 2 September 2023 to 1 September 2026	49	Male	Tanzanian	Prime Minister's Office, Youth, Labour and people with Disabilities	- Masters of Science in Economics: Economic Policy and Planning for Developing and Transitional Economies
4	Jane Claude Mihanji	Member since 2 September 2023 to 1 September 2026	53	Female	Tanzanian	Trade Union - RAAWU	- Diploma in Journalism
5	Clotilda Timothy Ndezi	Member since 2 September 2023 to 1 September 2026	61	Male	Tanzanian	VET Provider - CCT	- Master of Arts in Community Development
6	Nuhu Jabir Mruma	Member since 2 September 2023 to 1 September 2026	48	Male	Tanzanian	VET Provider - BAKWATA	- Masters in Social Work
7	Abdulhamid Masai	Member since 2 September 2023 to 1 September 2026	40	Male	Tanzanian	Employers Association - ATE	- Masters of Human Resources Management
8	Longino Rutagwelera	Member since 2 September 2023 to 1 September 2026	59	Male	Tanzanian	VET Provider - TEC	- Ph.D in Systematic Philosophy

S/N	NAME	POSITION	AGE	GENDER	NATIONALITY	INSTITUTIONAL AFFILIATION	QUALIFICATIONS
	Kamuhabwa						
9	Ezekiel Magoti Kunyaranyara	Member since 2 September 2023 to 1 September 2026	60	Male	Tanzanian	Ministry of Education, Science and Technology	- Master of Science in Highway Engineering
10	Costansia Stanslaus Akaro	Member since 2 September 2023 to 1 September 2026	63	Female	Tanzanian	Ministry of Industry and Trade	- Master's Degree in Business Administration - Marketing
11	Tenesia Elias Katukuru	Member since 2 September 2023 to 1 September 2026	39	Female	Tanzanian	Trade Union - CWT	- Bachelor of Arts with Education
12	CPA. Anthony M. Kasore	Board Secretary from 12 April 2024 to date	42	Male	Tanzanian	Director General - VETA	- Masters of Science in Finance and Investment

2.11 MEETINGS OF THE VET BOARD AND ITS COMMITTEEs

During the Financial Year 2024/25, the Vocational Education and Training Board (VET Board) had scheduled to convene four (4) regular meetings. However, the actual number of meetings held amounted to four (4). In addition to these, the Board's standing committees convened their respective meetings in accordance with their mandates and annual work plans that is four (4).

Each member of the VET Board demonstrated a high level of commitment to their fiduciary responsibilities by dedicating the requisite time and attention to Board and committee engagements. Their active participation reflects the Board's collective dedication to strong Governance, strategic oversight, and institutional accountability.

Table 9: VETA board members and the number of planned, held and attended meetings

No	Members	Planned Board Meeting (2024/25)	Held Meeting (2024/25	Attended Board Meeting (2024/25
1	Prof. Sifuni Ernest Mchome	4	4	4
2	Gladys Muhesa Mbelwa	4	4	3
3	Masingiri Masatu Robert	4	4	4
4	Jane Claude Mihanji	4	4	2
5	Clotilda Timothy Ndezi	4	4	4
6	Nuhu Jabir Mruma	4	4	4
7	Abdulhamid Masai	4	4	4
8	Longino Rutagwelera Kamuhabwa	4	4	4
9	Ezekiel Magoti Kunyaranyara	4	4	4
10	Costansia Stanslaus Akaro	4	4	4
11	Tenesia Elias Katukuru	4	4	4
12	CPA Anthony M. Kasore	4	4	4

2.12 COMMITTEES OF THE VETA'S BOARD

The VET Board functions through four committees, namely:

a) Planning and Finance Committee (PFC);
b) Quality Assurance Committee (QAC);
c) Human Resource and Administration Committee (HRAC); and
d) Board Audit Committee (BAC) are:

Table 10: Each committee members and its objectives

S/N	Committee Name and Members	Objectives
1	**Planning and Finance Committee (PFC):** a) Costansia Stanslaus Akaro - Chairperson of the Committee from October 2023 to 1 September 2026 b) Gladys Muhesa Mbelwa - Member from October 2023 to 1 September 2026 c) Clotilda Timothy Ndezi - Member from October 2023 to 1 September 2026 d) CPA. Anthony M. Kasore - Secretary from 12 April 2024 to date	The objectives of the PFC Committee are to: a) Review the roles of the Authority as outlined in the VET policy and the VET Act, and recommend amendments to the Act to align with national needs; b) Guide Management in the development of Strategic Action Plans to fulfil the Authority's roles; c) Explore various funding sources to support the implementation of the Strategic Plan; d) Review the Authority's annual and supplementary budgets; e) Evaluate the plans of various Directorates for implementing the Strategic Plan; f) Assess Quarterly Progress Reports on the implementation of planned activities; g) Review the Authority's investment strategies; h) Annually review the Authority's audit reports; i) Make recommendations to the VET Board on all the aforementioned tasks for the Board's consideration.
2	**Quality Assurance Committee (QAC)** a) Longino Rutagwelera Kamuhabwa - Chairperson of the Committee from October 2023 to 1 September 2026 b) Tenesia Elias Katukuru - Member from October 2023 to 1 September 2026 c) Abdulhamid Masai - Member from October 2023 to 1 September 2026 d) CPA. Anthony M. Kasore - Secretary from 12 April 2024 to date	The objectives of the QAC Committee are to: a) Review proposals on new curricula and implementation; b) Review proposals on quality assurance policies and guidelines; i Review proposals and performance regarding the following issues: Trainee admission criteria and administration of the system; ii Conducting the administration of continuous internal assessment; iii Setting and moderating examinations and assessment schemes; iv Appointing setters, moderators, supervisors, invigilators, assessors, verifiers and markers; v Assessing examinations facilities and means amenable to safe custody and transmission of examinations and assessment items to designated centres; vi Publishing examinations and assessment results; vii Evaluating implementation of examinations and assessment programmes; viii Certification.

S/N	Committee Name and Members	Objectives
		c) Review proposals on total quality management plans for VET system, make recommendations to the Board and supervise implementation; d) Review proposals on performance indicators for VTCs; e) Review consolidated labour market needs identification reports in relation to national and sectoral skills development priorities; f) Review annual and quarterly training plans; g) Undertake any other task that the Board may assign to the Committee.
3.	**Human Resource and Administration Committee (HRAC)** a) Nuhu Jabir Mruma - Chairperson of the Committee from October 2023 to 1 September 2026 b) Jane Claude Mihanji - Member from October 2023 to 1 September 2026 c) Gladys Muhesa Mbelwa - Member from October 2023 to 1 September 2026 d) CPA. Anthony M. Kasore - Secretary from 12 April 2024 to date	The objectives of the HRAC Committee are to: a) Review human resources management policies and procedures; b) Review collective bargaining agreement; c) Review supplies Manual d) Consider disciplinary and appeal matters, e) Conduct or outsource interviews for Directors and Centre Managers; f) Consider productivity improvement plans and staff incentives; g) Undertake any other task that the Board may assign.
4	**Board Audit Committee (BAC):** a) Ezekiel Magoti Kunyaranyara - Chairperson of the Committee from October 2023 to 1 September 2026 b) Ms. Dorah Mweta - Secretary from October 2023 to date c) Costansia Stanslaus Akaro - Member from October 2023 to 1 September 2026 d) Masingiri Masatu Robert - Member from October 2023 to 1 September 2026 e) CPA Theresia Mihayo - Member from December 2023 to 26 December 2026 f) CPA. Timothy Nikalao - Member from December 2023 to 26 December 2026	The primary objective of the Audit Committee is to ensure that: a) VETA establishes and maintains robust control systems within the Authority, and that Management fosters and upholds the necessary respect for the internal control framework among all stakeholders. b) The committee is also tasked with ensuring that the Board Audit Committee members, as well as internal and external auditors, collaborate effectively and have unrestricted access to any information needed to perform their duties. c) Additionally, the Audit Committee is responsible for ensuring the independence of both internal and external auditors

2.13 Board Meetings

2.13.1 Planning and Finance Committee (PFC):

Table 11: Summary of PFC meetings planned, held and attended during the year

No	Members	Planned PFC Meeting (2024/25)	Held Meeeting (2024/25	Attended Meeting (2024/25)
1.	Gladys Muhesa Mbelwa	4	4	3
2.	Clotilda Timothy Ndezi	4	4	4
3.	Costansia Stanslaus Akaro	4	4	4
4.	CPA Anthony M. Kasore	4	4	4

2.13.2 Quality Assurance Committee (QAC)

Table 12: Summary of QAC meetings planned, held and attended during the year

No	Members	Planned PFC Meeting (2024/25)	Held Meeeting (2024/25	Attended Meeting (2024/25)
1.	Longino Rutagwelera Kamuhabwa	4	4	4
2.	Tenesia Elias Katukuru	4	4	4
3.	Abdulhamid Masai	4	4	4
4.	CPA Anthony M. Kasore	4	4	4

2.13.3 Human Resource and Administration Committee (HRAC)

Table 13: Summary of HRAC meetings planned, held and attended during the year

No	Members	Planned PFC Meeting (2024/25)	Held Meeting (2024/25	Attended Meeting (2024/25)
1.	Nuhu Jabir Mruma	4	4	3
2.	Jane Claude Mihanji	4	4	2
3.	Gladys Muhesa Mbelwa	4	4	4
4.	CPA Anthony M. Kasore	4	4	4

2.13.4 Board Audit Committee (BAC):

Table 14: Summary of BAC meetings planned, held and attended during the year

No	Members	Planned PFC Meeting (2024/25)	Held Meeeting (2024/25	Attended Meeting (2024/25)
1.	Ezekiel Magoti Kunyaranyara	4	4	2
2.	Costansia Stanslaus Akaro	4	4	4
3.	Masingiri Masatu Robert	4	4	4
4.	CPA Theresia Mihayo	4	4	3
5.	CPA. Timothy Nikalao	4	4	3
6.	Adv. Dorah Mweta	4	4	4

2.14 MANAGEMENT

The Authority is structured into five functional Directorates, each led by a director, along with one operational Directorate, which is headed by the Principal of Morogoro VETA Teachers Training College. The functional Directorates encompass all facets of the Authority's operations and activities.

a) Directorate of Vocational Education and Training;
b) Directorate of Assessment and Certification;
c) Directorate of Human Resources and Administration;
d) Directorate of Labour Market Planning and Development; and
e) Directorate of Finance.

Five units operate under the Office of the Director General as outlined below.

a) Internal Audit Unit;
b) Legal Unit;
c) Public Relations Unit;
d) Procurement Management Unit; and
e) Information, Communication, and Technology Unit

2.15 KEY CHALLENGES/SHORTFALLS AND THE WAY FORWARD

In the Financial Year 2024/25, the Vocational Education and Training Authority (VETA) encountered a number of institutional and operational challenges impacting the quality and efficiency of technical and vocational education delivery. These challenges spanned areas such as training infrastructure, human resources, curriculum relevance, and financing. To address these issues, VETA implemented several strategic interventions aligned with the VETA Strategic Plan VI (2023-2026) and the national priorities under FYDP III. The table below presents a summary of the key challenges faced during the year, alongside the corresponding strategic responses adopted to mitigate their impact and improve service delivery.

Table 15: Key challenges and strategic responses for mitigation.

S/N	Key Challenge	Way Forward
1	Inadequate and outdated training equipment	Continue investing in modern training infrastructure including simulators, tools, and ICT equipment.
2	Shortage of qualified instructors	Implement continuous professional development and recruit instructors with specialized skills.
3	Skills mismatch and outdated curricula	Revise and update curricula; introduce new programs and short courses aligned with industry needs.
4	Delayed disbursement and limited funding	Strengthen planning through MTEF, and expand funding sources via PPPs and donor support.
5	High demand for short courses vs. limited capacity	Scale up modular training and Recognition of Prior Learning (RPL) programs across regions.
6	Limited private sector engagement	Enhance industry collaboration through structured partnerships for curriculum co-design and apprenticeships.
7	Inefficiencies in assessment and certification	Digitize assessment systems, procure IT equipment, and strengthen assessment unit capacity.

2.16 DISABLED PERSONS AND GENDER BALANCE

This disclosure provides a summary of the Vocational Education and Training Authority (VETA)'s efforts and commitment toward the inclusion, empowerment, and development of persons with disabilities (PWDs), in accordance with national policies and international human rights conventions. The information is based on VETA's strategic and operational activities reported during the 2024/25 financial year.

Employment of Persons with Disabilities

VETA upholds an inclusive recruitment policy that guarantees the right of persons with disabilities to equal access to employment opportunities. In adherence to public service regulations and in support of affirmative action measures promoting workplace diversity and non-discrimination, the Authority confirmed and appointed staff with disabilities to permanent and pensionable positions across various departments. Notably, in the 2024/25 financial year, VETA recruited four (4) employees. Among them, two (2) males and two (2) females with disabilities, further reinforcing its commitment to fostering an equitable and inclusive working environment.

Training of Persons with Disabilities

VETA continued to implement inclusive training programs by expanding access to Vocational Education for persons with disabilities. This includes adapting physical infrastructure to be accessible, providing customized learning materials, and enrolling PWDs in both long-term and short-term technical training programs. Outreach initiatives were carried out to mobilize PWDs and raise awareness on available opportunities. Several VETA Centers reported increased enrolment of trainees with physical, hearing, and visual impairments. During the 2024/25 financial year, **a total of seventy-eight (78) trainees** with disabilities were enrolled across various VETA Centres and received tailored support to ensure their full and effective participation in Vocational Training programmes.

Development of Persons with Disabilities

In pursuit of its equity and inclusion objectives, VETA remains firmly committed to advancing the personal and professional development of persons with disabilities (PWDs) through a portfolio of strategically designed programmes. These include targeted interventions such as entrepreneurship training, soft skills enhancement, and access to startup toolkits aimed at fostering economic independence and self-sufficiency. Moreover, the Authority actively collaborates with Non-Governmental Organizations and development partners to deliver mentorship and psychosocial support services that promote the empowerment, inclusion, and active economic engagement of PWDs. As a testament to this commitment, during the 2024/25 financial year, **two (2) instructors with disabilities** were nominated and successfully participated in specialized professional development training aligned with their respective areas of expertise.

Promotion and Career Advancement

VETA ensures fair and equitable access to promotion and career development opportunities for its staff with disabilities. Promotion decisions are based on merit and performance, and disabled staff are equally considered for leadership roles and responsibility posts.

In 2024/25, **one (1) staff** member with a disability was promoted to a managerial level, demonstrating VETA's commitment to inclusive human resource development.

2.17 GENDER PARITY

VETA upholds the principles of equity and inclusivity as an equal opportunity employer, committed to fostering a merit-based recruitment environment. The Authority ensures that all employment opportunities are accessible to qualified candidates, irrespective of gender, marital status, ethnicity, religion, or physical ability, provided such factors do not impair one's capacity to fulfil the essential functions of the role. Recruitment decisions are strictly grounded in competence, qualifications, and institutional needs.

As at 30 June 2025 and 2024, VETA had a total workforce of 1,966 and 1,690 employees, respectively, with the gender distribution detailed as follows:

Table 16: Detailed gender distribution

Gender	2024/25	% of total 2024/25	2023/24	% of total 2023/24	% YOY Increase 2023/24
Female	678	34	554	33	22
Male	1288	66	**1,136**	67	13
Total	**1,966**	100	**1,690**	100	

2.18 SOLVENCY

The VET Board affirms that the financial statements have been prepared in full compliance with all applicable accounting standards and in accordance with the going concern principle. Based on a thorough evaluation of the Authority's financial position and operational capacity, the Board holds a reasonable expectation that VETA possesses adequate resources to sustain its operations and fulfil its mandate over the foreseeable future.

2.19 CAPITAL

VETA's capital structure is composed of capital grants, development funding, institutional reserves, and accumulated surpluses. The Authority has consistently complied with all statutory and regulatory provisions pertaining to capital maintenance. This financial stability is primarily upheld through recurrent and development budget allocations from the Ministry of Education, Science and Technology. As at 30 June 2025, the capital position was as outlined below:

Table 17: Capital position composition

DESCRIPTION	2024/25	2023/24
	TZS	TZS
Accumulated Funds	218,869,888,395	185,642,863,256
Taxpayer's Fund	128,859,816,445	128,859,816,445
Total	347,729,704,840	**314,502,679,701**

2.20 LOCAL & INTERNATIONAL RELATIONS

During the financial year under review, the Vocational Education and Training Authority (VETA) continued to strengthen its collaboration with both local and international institutions. These

partnerships played a significant role in supporting skills development, youth employment, infrastructure development, and inclusion of vulnerable groups across the country.

Key Collaborations and activities during the year

a) VETA and Tanzania Chamber of Mines and Energy

VETA collaborated with the Tanzania Chamber of Mines and Energy to implement the Integrated Mining Technical Training (IMTT) program at Moshi RVTSC. The program aimed at equipping apprentices with mining-related skills including Welding, Auto Electrical, Electrical, Heavy Duty Moving Equipment, and Fitting. During the year, TZS 20.5 million was received to support curriculum review activities and site visits to Geita Gold Mine. A total of 281 trainees (248 males and 38 females) benefited from the program.

b) VETA and Airtel Tanzania

Through Kipawa ICTC, VETA partnered with Airtel Tanzania to develop the VSOMO mobile application, which provides market-driven short courses accessible via mobile phones. Learners complete theoretical components online and attend practical sessions at nearby VETA centers. Course fees are paid through Airtel Money, expanding access to vocational training through digital platforms.

c) VETA and Prime Minister's Office (PMO)

VETA collaborated with the Prime Minister's Office to implement capacity-building programs targeting youth, persons with disabilities, and vulnerable groups across 26 VETA centers in seven zones. During the year, TZS 577.5 million was received, of which TZS 205.4 million was utilized, leaving a balance of TZS 372.1 million. The program covered vocational skills in Electrical, Welding, ICT, Tailoring, Food Production, Masonry, Plumbing, Carpentry, and Transport Logistics.

d) VETA and Ministry of Education, Science and Technology (MoEST)

The Authority received funding from the Ministry of Education, Science and Technology for two key initiatives.

- TZS 2.57 billion was received to support construction of the VETA Head Office at Medeli, Dodoma, with project implementation reaching approximately 65% completion by year-end.
- An additional TZS 1.0 billion was received to support implementation of the AMALI Training program.

e) VETA and TACAIDS

VETA received TZS 2.98 billion from TACAIDS to implement programs aimed at preventing HIV/AIDS among girls and vulnerable trainees. The program supported training fees, transport allowances, and start-up kits.
The program was implemented in multiple regions across Tanzania and covered vocational fields including Mechanical, Electrical, Civil and Building Engineering, Business Support

Services, Clothing and Textile, and Cosmetology. As at year-end, TZS 1.31 billion had been utilized, with a balance of TZS 1.67 billion.

f) VETA and ENABEL (Belgian Agency for International Cooperation)

Under the *Wezesha Binti* program, VETA received TZS 903.7 million to support vocational training for vulnerable girls and boys from street and disadvantaged environments. The program was implemented at Kasulu DVTC, Tanga RVTSC, Mwanza RVTSC, and Kigoma RVTSC, benefiting approximately 1,350 trainees in trades including Masonry, Digital Marketing, Transport and Logistics, Food Production, Welding, Tailoring, ICT, and Mobile Phone Maintenance. As at year-end, TZS 350.5 million had been utilized.

g) VETA and International Labour Organization (ILO)

The Authority received TZS 40 million from the International Labour Organization to support Recognition of Prior Learning (RPL) Training of Trainers and manual review. The initiative aimed at enhancing training quality and efficiency across VETA centers. The full amount was utilized during the year.

h) VETA and Plan International

VETA collaborated with Plan International under the VEMA Project to provide vocational training to vulnerable youth at Mwanza RVTSC.

During the year, TZS 127.3 million was received, supporting training of 663 trainees in Aluminum Installation, Electrical, Tailoring, Food Production, Motor Vehicle, Mechanics, Plumbing, Masonry, Welding, and Carpentry.

i) VETA and East Africa Crude Oil Pipeline (EACOP)/AVANT

The Authority received TZS 788.7 million from EACOP/AVANT to facilitate training of staff engaged in the construction of the East Africa Crude Oil Pipeline.

Training was conducted at Kilindi DVTC, Shinyanga VTC, and Moshi RVTSC, benefiting 221 trainees in Heavy Duty Equipment Operation, Motor Vehicle Mechanics, Electrical, Plumbing, Boiler Operation, and Welding. By year-end, almost the entire amount had been utilized.

j) VETA and EU WAZIUP E. V

VETA received TZS 26.4 million from the European Union under the WAZIUP program to enhance capacity in emerging technologies such as Internet of Things (IoT), Artificial Intelligence (AI), Data Analytics, and Entrepreneurship.

During the year, 2 instructors were trained abroad, 25 instructors locally, and 75 students received training in digital and innovation-related skills.

2.21 FINANCIAL PERFORMANCE FOR THE YEAR 2024/25

For the year ending 30 June 2025, VETA recorded a surplus of TZS 33,227,025,139 representing a rise compared to the surplus of TZS 23,046,028,063 reported in the previous financial year. This surplus is primarily attributed to the boost increase in revenue from exchange transaction

in the current year which is highly due to the increase in VET Centres activities and more awareness about VETA to the public.

2.22 COMMENTARY IN THE FINANCIAL STATEMENT

2.22.1 INTRODUCTION

The Financial Statements for the fiscal year 2024/25 comprehensively present the financial operations of the Vocational Education and Training Authority (VETA). These statements encompass the Statement of Financial Position, Statement of Financial Performance, Cash Flow Statement, and Statement of Changes in Net Assets, Statement of Comparison of Budget and Actual Amounts, along with the accompanying Notes to the Financial Statements. Collectively, they provide a detailed and transparent account of the Authority's financial status, performance, and compliance with applicable reporting standards.

2.22.2 STATEMENT OF FINANCIAL POSITION

The Statement of Financial Position comprises key components that reflect the Authority's financial standing, including Current Assets, Non-Current Assets, Current Liabilities, Non-Current Liabilities, and Equity. These elements collectively provide a snapshot of VETA's asset base, financial obligations, and net worth during the year under review.

2.22.3 Current Assets:

a) Cash and Cash Equivalents

For the financial year 2024/25, cash and cash equivalents amounted to TZS 7,576,498,321, representing the year-end balance available for both recurrent and development expenditures financed through own sources and Skills development levy (SDL). This reflects an increase compared to the closing balance of TZS 4,228,893,737 reported in the 2023/24 financial year. This increase is primarily attributable to funds received from the MoEST for the settlement of payables, as well as unutilized funds received from donors, including TACAIDS, that remained unspent at year end.

b) Receivables and Prepayments

As of 30 June 2025, receivables stood at TZS 546,289,133, reflecting an increase from the previous year's balance of TZS 309,540,066 recorded as of 30 June 2024. Prepayments as at the end of the 2025 financial year amounted to TZS 431,508,740, up from TZS 14,352,921 in the prior year. The closing balance as at 30 June 2025 comprises prepayments related to the procurement of motor vehicle, Air ticket booking, Motor vehicle repair and fuel for the Authority, as well as long-outstanding imprests, student debts and staff debts. The increase in receivables is primarily attributable to the recognition of student, trade, and staff receivables for services that had been delivered by year end but for which payment had not yet been received.

c) Inventories

As of 30 June 2025, inventories were valued at TZS 747,162,657, representing consumables remaining at the end of the reporting period, compared to TZS 695,643,014 as at 30 June 2024.

The inventory balance primarily comprises training materials and food supplies allocated for trainees enrolled in both short- and long-term courses.

2.22.4 Non-current asset

a) Property, Plant and Equipment (PPE)

During the 2024/25 reporting period, Property, Plant, and Equipment (PPE) recorded a closing balance of TZS 329,786,557,769 reflecting an increase from the previous year's balance of TZS 304,164,219,076 reported for 2023/24. This growth is primarily attributed to capital additions arising from ongoing construction projects for District Vocational Training Centres, procurement of motor vehicles, machinery, scientific equipment, hardware, desktop and laptop computers, as well as the recognition of newly acquired land

b) Intangible Assets

During the 2024/25 reporting period, intangible assets recorded a closing balance of TZS 190,343,664 compared to TZS 213,157,802 reported in the previous financial year of 2023/24. The decrease in intangible assets is attributable to the amortization charge for the year.

c) Investment in Controlled Entity (Subsidiaries)

During the 2024/25 reporting period, Investment in Controlled Entity (Subsidiaries) amounted to TZS 220,268,000. This balance represents the Authority's fund injection to Ujuzi Incorporated Company Limited in which it is invested in.

d) Work in Progress

During the 2024/25 reporting period, the balance of Work in Progress (WIP) stood at TZS 18,659,507,531, compared to TZS 14,248,019,573 recorded in the previous financial year of 2023/24. This balance reflects ongoing construction projects, including the expansion of training facilities existing centres, and construction works at the VETA Head Office.

e) Biological Assets

During the 2024/25 reporting period, Biological Assets recorded a closing balance of TZS 270,155,800 same as the previous year's balance.

2.22.5 Current Liabilities

a) Payables & Accruals

As at 30 June 2025, payables and accruals amounted to TZS 7,642,904,999, reflecting a significant increase from the previous year's balance of TZS 7,615,872,385. This rise is primarily attributed to outstanding obligations related to unpaid creditors, largely comprising training materials, student meals, and staff claims.

b) Deferred Income

During the period under review, a remaining balance of TZS 954,323,609 from development and recurrent funds was carried forward to the next financial year to support the continuation

of designated activities. This reflects a decrease from the prior year's deferred balance of TZS 1,229,092,665 recorded for the 2023/24 financial period.

c) Deposits

During the period under review, a remaining balance of TZS 2,101,358,167 was committed to development activities, including the construction of various Vocational Training Centres and the rehabilitation of workshops, which had not been initially budgeted for. This amount is set to be carried forward to the next financial year to support the completion of these projects. In comparison, the corresponding balance carried forward from the 2023/24 financial year was TZS 796,337,228.

2.22.6 Fund Balance

a) Taxpayers/Share Capital

As at 30 June 2025, the Authority reported a Taxpayers' Fund of TZS 128,859,816,445, which remained unchanged in the current financial year.

2.23 FINANCIAL PERFORMANCE

2.23.1 REVENUE

a) Revenue from non-exchange transactions

Revenue from non-exchange transactions, amounted to TZS 123,847,761,536 during the year under review, reflecting a significant increase compared to TZS 119,070,541,285 recorded in the previous financial year 2023/24. This revenue comprises Skills Development Levy (SDL), grants received for development projects and training programs, as well as other related income sources.

b) Revenue from Exchange Transactions

Revenue from exchange transactions for the year 2024/25 amounted to TZS 25,079,615,974, compared to TZS 16,174,182,259 in the previous financial year 2023/24. This revenue comprises income generated from short courses, Income Generating Activities (IGA). The year-on-year increase is primarily attributed to a rise in the number of trainees enrolled in short courses and tailor-made training programs.

2.23.2 EXPENSES

a) Wages, salaries and employee benefits

During the year under review 2024/25, expenditures related to wages, salaries, and other employee benefits amounted to TZS 51,315,084,785, compared to TZS 45,785,081,702 in the preceding financial year 2023/24. The increase is primarily attributable to the recruitment of new staff, associated hiring expenses, adjustments in allowance rates, including extra duty and per diem allowances as well as increased transfer benefits and medical expenses.

b) Amortization of intangible Assets

During the year 2024/25, amortization of intangible assets amounted to TZS 22,814,138, a decrease from TZS 77,059,473 recorded in the previous financial year 2023/24.

c) Depreciation of Property, Plant and Equipment's

During the year 2024/25, depreciation on Property, Plant, and Equipment (PPE) amounted to TZS 10,943,598,314, reflecting a decrease from TZS 12,083,910,180 reported in the previous financial year 2023/24.

d) Maintenance expenses

During the year 2024/25, maintenance expenses amounted to TZS 2,727,930,988, representing an increase from TZS 2,108,763,076 incurred in the previous financial year 2023/24. This increment is primarily due to the active number of maintenance activities undertaken, in line with the availability of financial resources.

e) Other Expense

During the year 2024/25, other expenses totalled TZS 3,585,646,601, reflecting a decrease from TZS 2,716,992,400 recorded in the previous financial year 2023/24. This increase is attributed by several factors such as the new tax penalty by the Tanzania Revenue Authority and the increase in bank charges in the authority's expenditure bank account

f) Social Benefits

During the year, social benefit expenses totalled TZS 10,450,000. These are attributed to terminal benefits paid during the year.

g) Use of Goods and Services

During the year 2024/25, expenses related to the use of goods and services amounted to TZS 46,537,902,986, compared to TZS 48,426,888,650 in the previous financial year 2023/24.

h) Other Transfers

During the year 2024/25, expenditure under the category "Use of Other Transfers" amounted to TZS 414,540,000, marking a decrease from TZS 1,000,000,000 recorded in the previous financial year 2023/24. This fall is primarily attributed to the decrease in amount to the consolidated fund.

i) Surplus/Deficit for the year

For the year ending 30 June 2025, VETA recorded a surplus of TZS 33,227,025,139, representing a rise compared to the surplus of TZS 23,046,028,063 reported in the previous financial year. This surplus is primarily attributed to the boost increase in revenue from exchange transaction in the current year which is highly due to the increase in VET Centres activities and more awareness about VETA to the public.

2.24 CASH FLOW STATEMENT

During the period under review, the funds received and utilized were as outlined below:

2.24.1 Cash flow from Operating Activities

The net cash flow generated from operating activities amounted to TZS 10,257,747,749 reflecting the balance of receipts and payments arising from the Authority's routine operational activities during the reporting period.

2.24.2 Cash flow from Investing Activities

During the period under review, the net cash outflow from investing activities amounted to TZS 6,909,023,420. This outflow was primarily driven by the acquisition of property, plant, and equipment totalling TZS 3,716,827,010; the investment in subsidiaries valued at TZS 220,268,000; and expenditures related to work in progress amounting to TZS 2,971,928,410

2.24.3 Cash flow from Financing Activities

No financing activities were undertaken during the period under review.

2.25 STATEMENT OF COMPARISON OF BUDGET AND ACTUAL AMOUNTS

For the year under review, the Vocational Education and Training Authority (VETA) had a final approved budget of TZS 118,641,724,225 Actual receipts for the period amounted to TZS 115,020,074,844. Total actual payments during the same period stood at TZS 111,671,350,515, reflecting prudent financial management within the allocated resources.

2.25.1 Personal Emoluments (PE)

The final approved budget for employee compensation for the financial year 2024/25 was TZS 46,555,407,965 Actual expenditure as of 30 June 2025 amounted to TZS 51,103,878,472 representing a 110% difference from the allocated budget.

2.25.2 Other Charges (OC)

The approved budget for Other Charges (OC) for the year amounted to TZS 64,652,516,995 while the actual expenditure stood at TZS 53,658,448,623 reflecting a budget execution rate of 83%.

2.25.3 Capital and Development (CAPEX)

The approved budget for capital and development expenditure for the year ended 30 June 2025 amounted to TZS 7,433,799,265 Actual expenditure during the period totalled TZS 6,909,023,420, representing 93% of the allocated budget.

2.26 RELATED PARTY TRANSACTIONS

All related party transactions and balances, including directors' emoluments, are disclosed in Note 26 of these financial statements.

2.27 ACCOUNTING POLICIES

A summary of key accounting policies is in Note 3 to the financial statements.

2.28 EMPLOYEES WELFARE

a) Relationship between Management and Employees

The relationship between employees and management remained positive throughout the accounting period. The Workers/Management Negotiation Council operated smoothly, and employees, through the Master Workers Council, were actively involved in the planning and evaluation of the Authority's objective

b) Employees Benefit

The Authority currently provides retirement benefits to its employees in accordance with government circulars, rules, and regulations as outlined in the contribution plans. This approach follows the suspension of the (Voluntary Collective Bargaining Agreement).

c) Staff Development

The Authority has 446 employees (280 men and 166 women) currently pursuing long-term training programs at the Diploma, Degree, and Master's Degree levels at various colleges and training institutions across the country. Additionally, 211 employees (145 men and 66 women) were supported in undertaking short courses relevant to their professional fields. Several in-house training sessions were also conducted, focusing on information technology and public relations.

d) Medical assistance

All staff members, along with up to four dependents each, were provided with medical insurance, with the employer contributing 3 percent of the employee's basic salary. These services are currently offered through the NHIF. Additionally, any medical needs not covered by the insurance are addressed in accordance with the VETA Medical Policy of 2015.

e) Trade Union

A strong and positive relationship continues to thrive between management, staff, and the Researchers, Academicians, and Allied Workers Union (RAAWU)

f) HIV in Place of Work

The Authority is proactive in addressing HIV-related issues. HIV is a standing agenda item in every departmental meeting. Additionally, seminars are conducted at both the Head Office and regional levels to address these concerns. HIV education is also integrated into the students' training curriculum.

g) Financial assistance to staff

This benefit is available to all confirmed employees, subject to Management's assessment of need and circumstances, as well as the employee's ability to make payments in accordance

with existing VETA Staff and Financial Regulations. Management has also encouraged staff to establish and join the Savings and Credit Co-operative Society (SACCOS) to help promote employee welfare.

2.29 LEGAL AND REGULATORY REQUIREMENTS

VETA is an autonomous regulatory authority entrusted with the oversight and coordination of Vocational Education and Training (VET) in Tanzania. Operating under the purview of the Ministry of Education and Vocational Training, the Authority is obligated to observe all Government protocols and adhere to the legal and regulatory frameworks established at the National level. During the year under review, VETA demonstrated full compliance with all applicable laws and statutory requirements, reaffirming its commitment to governance, accountability, and institutional integrity

2.30 PREJUDICIAL ISSUES

VETA continues to encounter a range of operational challenges that impact its institutional effectiveness and service delivery. These include prolonged acting appointments in key leadership roles, a fixed budget ceiling that limits financial flexibility, and a substantial number of unfilled positions for both permanent and temporary staff, exacerbated by the growing number of District Vocational Training Centres (DVTCs) and expanded trade offerings. Moreover, the persistence of obsolete or deteriorated training equipment, particularly in long-established Regional Vocational Training and Service Centres (RVTSCs) and Vocational Training Centres (VTCs), hampers the quality of training delivery. Compounding these issues are the stringent conditions and restrictions imposed by guarantors, which further constrain institutional agility and resource utilization.

2.31 REGISTERED OFFICE

During the year ending 30 June 2025, the Authority operated from its main registered office located at Plot No. 18, Central Business Park (CPB), VETA Road, Dodoma

2.32 BANKERS

The Authority's Bankers are Bank of Tanzania (BOT), CRDB Bank Ltd, NBC (T), TCB and NMB.

2.33 STATUTORY AUDITORS

The Controller and Auditor General serve as the statutory auditor of the Vocational Education and Training Authority (VETA), pursuant to the mandate conferred under Article 143 of the Constitution of the United Republic of Tanzania, as further reinforced by Section 32(1) of the Public Audit Act, Cap 418.

Prof. Sifuni Mchome **Chairperson of the Board**	..... **Signature**	17/03/2026 ..... **Date**
CPA Anthony Kasore **Director General**	..... **Signature**	17/03/2026 ..... **Date**

3.0 STATEMENT OF RESPONSIBILITIES BY THOSE CHARGED WITH GOVERNANCE FOR THE YEAR ENDED 30 JUNE 2025

In accordance with Section 24 of the Vocational Education and Training Act, CAP 82 R.E. 2006, the VET Board is legally mandated to prepare and submit to the Minister an annual report detailing the activities and operations of the Authority, accompanied by audited financial statements. These statements are required to present a true and fair view of the Authority's financial position as at the end of the financial year, as well as its income and expenditure for the corresponding period.

The Directors are responsible for ensuring that proper accounting records are maintained, which accurately reflect the financial position of the Authority at any given time. These records are essential for ensuring that the financial statements are prepared in compliance with the VET Act, CAP 82 R.E. 2006. Additionally, the Directors bear the responsibility for safeguarding the Authority's assets and are therefore required to implement appropriate internal controls and procedures to prevent and detect fraud, errors, and other financial irregularities.

The preparation of financial statements in accordance with generally accepted accounting principles necessitates the use of informed judgments, estimates, and assumptions. These estimations affect the valuation and reporting of assets and liabilities as at the reporting date, as well as the recognition of income and expenditure during the period. While such estimates are made using the Directors' best understanding of prevailing conditions and future expectations, actual outcomes may vary.

The Directors affirm that appropriate and consistently applied accounting policies have been employed in the preparation of the financial statements for the year ended 30 June 2025. Furthermore, the Directors confirm that reasonable and prudent judgments and estimates have been made, the financial statements have been prepared on a going concern basis, and that they conform to the requirements of International Public Sector Accounting Standards (IPSAS).

Prof. Sifuni Mchome
Chairperson of the Board

..... 17/03/2026
Signature **Date**

4.0 DECLARATION OF THE HEAD OF FINANCE OF VOCATIONAL EDUCATION AND TRAINING AUTHORITY

The National Board of Accountants and Auditors (NBAA) according to the power conferred under the Auditors and Accountants (Registration) Act. No. 33 of 1972, as amended by Act No. 2 of 1995, requires that the Financial Statements be accompanied by a formal declaration issued by the Head of Finance/Accounting, who holds direct responsibility for the preparation and fair presentation of the entity's financial statements.

It is the professional duty of a Certified Public Accountant to support the Board of Directors, Governing Body, or Management in fulfilling their obligations to prepare financial statements that present a true and fair view of the financial position and performance of the entity, in accordance with applicable International Accounting Standards and prevailing statutory financial reporting frameworks. However, the ultimate legal responsibility for the preparation and presentation of such financial statements remains with the Board of Directors or Governing Body, as outlined in the Statement of Directors' Responsibilities.

I, **CPA Fidelis Tungu**, in my capacity as Head of Finance/Accounting for the Vocational Education and Training Authority, hereby acknowledge my responsibility for ensuring that the financial statements for the year ended 30 June 2025 have been prepared in full compliance with applicable accounting standards and statutory requirements.

Accordingly, I confirm that the financial statements present a true and fair view of the financial position of the Vocational Education and Training Authority as at 30 June 2025, and that they have been prepared based on properly maintained and accurate financial records.

Signed by: _____

Position: Director of Finance

NBAA Membership No.: ACPA-6604

Date: 17/03/2026

5.0 FINANCIAL STATEMENTS

5.1 STATEMENT OF FINANCIAL POSITION AS AT 30 JUNE 2025

	Note	2024/25 TZS	2023/24 TZS
ASSETS			
Current Assets			
Cash and Cash Equivalents	1	7,576,498,321	4,228,893,737
Inventories	2	747,162,657	695,643,014
Prepayments	3	431,508,740	14,352,921
Receivables	4	546,289,133	309,540,066
Total Current Assets		**9,301,458,851**	**5,248,429,738**
Non-Current Assets			
Property, Plant and Equipment	5	329,786,557,769	304,164,219,076
Intangible Assets	6	190,343,664	213,157,802
Biological Assets	7	270,155,800	270,155,800
Work In Progress	8	18,659,507,531	14,248,019,573
Investment in Controlled Entities (Subsidiaries)	9	220,268,000	0
Total Non-Current Asset		**349,126,832,764**	**318,895,552,251**
TOTAL ASSETS		**358,428,291,615**	**324,143,981,989**
LIABILITIES			
Current Liabilities			
Deferred Income	10	954,323,609	1,229,092,665
Deposits	11	2,101,358,167	796,337,238
Payables and Accruals	12	7,642,904,999	7,615,872,385
Total Current Liabilities		**10,698,586,775**	**9,641,302,288**
TOTAL LIABILITIES		**10,698,586,775**	**9,641,302,288**
NET ASSETS		**347,729,704,840**	**314,502,679,701**
NET ASSETS/EQUITY			
Capital Contributed by:			
Taxpayers' Fund		128,859,816,445	128,859,816,445
Accumulated Surplus		218,869,888,395	185,642,863,256
TOTAL NET ASSETS/EQUITY		**347,729,704,840**	314,502,679,701

Prof. Sifuni Mchome
Chairperson of the Board

.....
Signature

17/03/2026
Date

CPA Anthony Kasore
Director General

.....
Signature

17/03/2026
Date

5.2 STATEMENT OF FINANCIAL PERFORMANCE FOR THE PERIOD ENDED 30 JUNE 2025

	Note	2024/25 TZS	2023/24 TZS
REVENUE			
Revenue			
Subvention from other Government entities	13	119,088,914,390	114,800,978,845
Revenue from Exchange Transactions	14	25,079,615,974	16,174,182,259
Other Revenue	15	4,758,847,146	4,023,636,054
Fair value Gains on Assets and Liabilities	16	0	245,926,386
Total Revenue		**148,927,377,510**	135,244,723,544
TOTAL REVENUE		**148,927,377,510**	**135,244,723,544**
EXPENSES AND TRANSFERS			
Expenses			
Wages, Salaries and Employee Benefits	17	51,315,084,785	45,785,081,702
Use of Goods and Services	18	46,537,902,986	48,426,888,650
Maintenance Expenses	19	2,727,930,988	2,108,763,076
Depreciation of Property, Plant and Equipment	20	10,943,598,314	12,083,910,180
Other Expenses	21	3,585,646,601	2,716,992,400
Amortization of Intangible Assets	22	22,814,138	77,059,473
Expected Credit Loss	23	142,384,559	0
Social Benefits	24	10,450,000	0
Total Expenses		**115,285,812,371**	**111,198,695,481**
Transfer			
Other Transfers	25	414,540,000	1,000,000,000
Total Transfer		**414,540,000**	**1,000,000,000**
TOTAL EXPENSES AND TRANSFERS		**115,700,352,371**	**112,198,695,481**
SURPLUS FOR THE PERIOD		**33,227,025,139**	**23,046,028,063**

Prof. Sifuni Mchome — **Chairperson of the Board** — Signature — 17/03/2026 — Date

CPA Anthony Kasore — **Director General** — Signature — 17/03/2026 — Date

5.3 STATEMENT OF CHANGES IN NET ASSETS FOR THE PERIOD ENDED 30 JUNE 2025

	Tax Payers' Fund	Accumulated Surplus	Total
Description	**TZS**	**TZS**	**TZS**
Opening Balance as at 01 July 2024	128,859,816,445	185,642,863,256	314,502,679,701
Other Appropriations	-	-	-
Surplus for the Year	-	33,227,025,139	33,227,025,139
Closing Balance as at 30 June 2025	**128,859,816,445**	**218,869,888,395**	**347,729,704,840**
Opening Balance as at 01 July 2023	128,859,816,445	158,285,403,938	287,145,220,383
Other Appropriations	-	4,311,431,255	4,311,431,255
Surplus for the Year	-	23,046,028,063	23,046,028,063
Closing Balance as at 30 June 2024	**128,859,816,445**	**185,642,863,256**	**314,502,679,701**

Prof. Sifuni Mchome
Chairperson of the Board ..... **Signature** 17/03/2026 **Date**

CPA Anthony Kasore
Director General ..... **Signature** 17/03/2026 **Date**

5.4 CASH FLOW STATEMENT FOR THE PERIOD ENDED 30 JUNE 2025

	Note	2024/25 TZS	2023/24 TZS
CASH FLOW FROM OPERATING ACTIVITIES			
RECEIPTS			
Subvention from other Government entities	32C	84,177,533,292	78,012,334,524
Revenue from Exchange Transactions	17C	24,962,037,646	16,296,254,570
Other Revenue	31C	4,575,482,977	3,850,632,112
Increase in Deposit	61C	1,305,020,929	0
Total Receipts		**115,020,074,844**	**98,159,221,206**
PAYMENTS			
Wages, Salaries and Employee Benefits	34C	51,103,878,472	43,772,209,018
Use of Goods and Service	35C	47,038,627,875	43,547,715,938
Social Benefits	56C	10,450,000	0
Other Transfers	60C	414,540,000	1,000,000,000
Other Expenses	52C	3,466,899,760	2,822,340,292
Maintenance Expenses	36C	2,727,930,988	2,108,763,076
Decrease in Deposit	61C	0	3,046,099,515
Total Payments		**104,762,327,095**	**96,297,127,839**
NET CASH FLOW FROM OPERATING ACTIVITIES		**10,257,747,749**	**1,862,093,367**
CASH FLOW FROM INVESTING ACTIVITIES			
Investing Activities			
Payment for Work in Progress	106C	(2,971,928,410)	(5,162,256,011)
Advance Payment for Acquisition of Property Plant and Equipment	103C	(347,942,501)	(5,282,310)
Acquisition of Property, Plant and Equipment	77C	(3,368,884,509)	(4,034,343,301)
Acquisition of Investment in Controlled Entities	84C	(220,268,000)	0
Acquisition of Intangibles	78C	0	(168,500,000)
Total Investing Activities		**(6,909,023,420)**	**(9,370,381,622)**
NET CASH FLOW FROM INVESTING ACTIVITIES		**(6,909,023,420)**	**(9,370,381,622)**
CASH FLOW FROM FINANCING ACTIVITIES			
Financing Activities			
Additional Capital		0	0
Total Financing Activities		**0**	**0**
NET CASH FLOW FROM FINANCING ACTIVITIES		**0**	
Net Increase (Decrease) in Cash and Cash Equivalents		**3,348,724,329**	**(7,508,288,255)**
Cash and cash equivalents at beginning of period		**4,357,202,225**	**11,865,490,480**
Cash and cash equivalents at end of period		**7,705,926,554**	**4,357,202,225**

Prof. Sifuni Mchome — Signature — 17/03/2026 — Date
Chairperson of the Board

CPA Anthony Kasore — Signature — 17/03/2026 — Date
Director General

5.5 STATEMENT OF COMPARISON OF BUDGET AND ACTUAL FOR THE PERIOD ENDED 30 JUNE 2025

RECEIPTS	Original Budget TZS	Reallocation/ Adjustments TZS	Final Budget (B) TZS	Actual Amount on Comparison Basis (A) TZS	Difference Final Budget & Actual (B-A) TZS	% Change (B-A)/B %
Increase in Deposit		1,305,020,929	1,305,020,929	1,305,020,929	0	0%
Other Revenue	243,016,986	4,332,465,991	4,575,482,977	4,575,482,977	0	0%
Revenue from Exchange Transactions	31,574,211,142	-5,637,486,920	25,936,724,222	24,962,037,646	974,686,576	4%
Subvention from other Government entities	86,824,496,097		86,824,496,097	84,177,533,292	2,646,962,805	3%
Total Receipts	**118,641,724,225**		**118,641,724,225**	**115,020,074,844**	**3,621,649,381**	3%
PAYMENTS						
Grants and Transfers	26,349,668	-26,349,668	0	0	0	0%
International Contribution	355,000	-355,000	0	0	0	0%
Maintenance Expenses	7,630,747,367	5,135,899	7,635,883,266	2,727,930,988	4,907,952,278	64%
Other Expenses	5,144,325,709	193,280,871	5,337,606,580	3,466,899,760	1,870,706,820	35%
Other Transfers	813,747,308		813,747,308	414,540,000	399,207,308	49%
Social Benefits	8,898,000	1,552,000	10,450,000	10,450,000	0	0%
Subsidies	181,546,000	-181,546,000	0	0	0	0%
Use of Goods and Service	50,892,099,546	-37,269,705	50,854,829,841	47,038,627,875	3,816,201,966	8%
Wages, Salaries and Employee Benefits	46,509,856,362	45,551,603	46,555,407,965	51,103,878,472	(4,548,470,507)	-10%
Acquisition of Intangibles	800,000	-800,000	0		800,000	0%
Acquisition of Property, Plant and Equipment	3,892,860,354	800,000	3,892,860,354	3,368,884,509	523,975,845	13%
Advance Payment for Acquisition of Property Plant and Equipment	347,942,500		347,942,500	347,942,501	(1)	0%
Payment for Work in Progress	2,971,928,411		2,971,928,411	2,971,928,410	1	0%
Acquisition of Investment in Controlled Entities	220,268,000		220,268,000	220,268,000	0	0%
Total Payment	**118,641,724,225**		**118,641,724,225**	**111,671,350,515**	**6,970,373,710**	6%
Net Receipts				**3,348,724,329**	**3,348,724,329**	

Prof. Sifuni Mchome
Chairperson of the Board ..... Signature 17/03/2026 Date

CPA Anthony Kasore
Director General ..... Signature 17/03/2026 Date

6.0 NOTES TO FINANCIAL STATEMENTS FOR THE YEAR 2025

6.1 GENERAL INFORMATION

The Vocational Education and Training Board (VET Board) is pleased to present the financial statements for the year ended 30 June 2025, which provide a comprehensive disclosure of the financial position and performance of the Vocational Education and Training Authority (VETA). These statements have been prepared in full compliance with the International Public Sector Accounting Standards (IPSAS) and Tanzania Financial Reporting Standards (TFRS 1), and are submitted in accordance with the reporting obligations outlined in the Vocational Education and Training Act, CAP 82 R.E. 2006.

6.2 BASIS OF PREPARATION

These financial statements have been prepared in accordance with, and are fully compliant with, International Public Sector Accounting Standards (IPSAS), and continue to observe the requirements of Tanzania Financial Reporting Standards (TFRS 1) as they relate to the Directors' Report, in line with the Vocational Education and Training Act, CAP 82 R.E. 2006. The financial statements are presented in Tanzanian Shillings, and the accounting policies have been applied consistently across all reporting periods presented. The statements have been prepared under the historical cost convention, except where otherwise stated in the summary of significant accounting policies. The Cash Flow Statement has been prepared using the direct method.

6.3 STATEMENT OF COMPLIANCE

The adoption of IPSAS has resulted in changes to the Authority's accounting policies.

TFRS 1: The Report by those charged with governance has no equivalent to IPSAS

The Authority has applied TFRS 1, except for the parts referring to as related party transactions, which it has deemed to be superseded by IPSAS No. 20 Related Party Disclosures.

6.3.1 Adoption of International Public Sector Accounting Standards (IPSAS)

Standards, amendments and interpretations effective in the current period

VETA Accounting Policy have been amended to comply with IPSAS requirements as per issued Treasury Circular No.12 of 2014/15, which required all public entity other than business entity to migrate from IFRS to IPSAS Accrual basis reporting.

Early adoption of standards

APPLICATION OF INTERNATIONAL FINANCIAL REPORTING STANDARDS FOR SUSTAINABILITY- (IFRS S1 and S2)

During the financial year 2024/25, the Authority complied with the requirements of IFRS sustainability disclosure standard which became effective on 1 January 2024. IFRS S1 requires the Authority to disclose information about the sustainability- related risks and opportunities that are useful to the primary users of general-purpose financial reports in making decisions relating to providing resources to the entities. IFRS S2 sets out the requirements for the Authority to disclose information about its climate-related risks and opportunities.

6.3.2 Sustainability and Climate-Related Disclosures (Prepared in accordance with IFRS S1 and IFRS S2)

Basis of Preparation: The Vocational Education and Training Authority (VETA) has prepared these sustainability and climate-related disclosures in accordance with IFRS S1 *General Requirements for Disclosure of Sustainability-related Financial Information* and IFRS S2 *Climate-related Disclosures*, issued by the International Sustainability Standards Board (ISSB). These disclosures outline VETA's governance, strategy, risk management, and metrics and targets concerning material sustainability and climate-related risks and opportunities.

A. Governance VETA has institutionalized risk management practices across all operational levels, guided by its Risk Management Policy and aligned with government frameworks. The Risk Register for 2024/25 was developed through a bottom-up process involving zonal, center, and directorate-level submissions, consolidated by the Budget Committee and reviewed by Risk Champions.

Risk owners (Head Office Directors, Zonal Directors, and Heads of Units) are responsible for the implementation and reporting of risks. The VETA Board, through its oversight committees, governs the entire risk management process, including sustainability and climate-related risks.

B. Strategy VETA's Sixth Corporate Strategic Plan (2023/24-2027/28) outlines five strategic objectives, each of which integrates sustainability principles. As part of the risk assessment exercise, a total of 19 risks were identified for the 2024/25 period, with the following impact levels:

Impact Rating	Number of Risks
Extreme Impact	11
High Impact	4
Moderate Impact	4

Of these, several directly align with climate-related and broader sustainability risks as shown below:

Key Sustainability-Related Risks:

Risk Description	Risk Status	Risk Owner
Increased prevalence of non-communicable diseases (NCDs) due to lack of preventive education	Extreme	Director of Human Resources and Administration
Loss or damage to data servers due to absence of antivirus/firewall systems	Extreme	Head of Information and Communication Technology
Unauthorized access to confidential documents (hacking)	Extreme	Head of Information and Communication Technology
Use of outdated training equipment due to lack of regular maintenance	High	Procurement Management Unit
Failure to achieve revenue targets due to limited understanding of income-generating activities	High	Director of Finance
Staff leaving due to lack of motivation policies	Moderate	Director of Human Resources and Administration

These risks have been mapped to VETA's strategic objectives such as "VETA Management and Administration Improved" and "Quality of Vocational Education and Training Enhanced."

The strategic response includes capacity-building, curriculum updates, infrastructure investment, and health-focused initiatives.

C. Risk Management Risk identification and assessment were conducted using the Government Likert-based Framework, which measures risk based on impact and likelihood:

Risk Level	Score Range (Impact x Likelihood)	Response Priority
Extreme	15 - 25	Immediate/Top Priority
High	10 - 14	Second Priority
Moderate	5 - 9	Action within the fiscal year

Examples of Detailed Risk Mitigation Measures:

1. **Cybersecurity and Data Protection (Risk ID: VETA/OB5./07):**

- Risk Rating: 15 (Extreme)
- Mitigation: Installation of antivirus and firewall, daily data backups.
- Implementation Period: 30 June 2024 -1 July 2025

2. **NCDs among staff (Risk ID: VETA/OB5./06):**

- Risk Rating: 16 (Extreme)
- Mitigation: Health education, designated exercise day, medical screenings.
- Target: All staff trained and tested

3. **Outdated Equipment (Risk ID: VETA/OB5./03):**

- Risk Rating: 12 (High)
- Mitigation: Allocate maintenance budget, feasibility study for rehabilitation.

4. **Staff Motivation (Risk ID: VETA/OB5./05):**

- Risk Rating: 9 (Moderate)
- Mitigation: Update HR policies to include incentives and career growth paths

D. Metrics and Targets VETA is in the process of developing a comprehensive metrics and monitoring framework. Current key performance indicators include:

Metric	2024/25 Target
Number of teachers trained on new technologies	200 teachers across all centers
Number of partnerships with industries for dual apprenticeship	50 new partnerships
Percentage of servers with antivirus and firewall installed	100% of Head Office and Zonal servers
Staff trained on health and wellness	All employees by July 2025
Updated curricula aligned with labor market demands	100% review for priority trades

Forward-Looking Plans VETA is committed to enhancing its disclosures over time as internal systems and capacity for sustainability data improve. Planned investments in digital infrastructure, staff training, and stakeholder engagement will support this goal.

Conclusion VETA acknowledges that sustainability and climate-related risks are integral to its service delivery and long-term financial sustainability. These disclosures represent an initial but significant step in aligning the Authority's reporting practices with international sustainability standards.

6.3.3 SUMMARY OF SIGNIFICANT ACCOUNTING POLICIES

The accounting policies adopted are consistent with those of previous year in accordance with IPSASs Accrual Basis as explained below: -

Functional and presentation currency

Items included in the financial statements of the Entity are measured using the primary economic environment in which it operates. That is to say, the functional currency used is Tanzanian shillings (TZS), and the presentational currency is Tanzanian shillings. Thus, these financial statements are presented in Tanzanian Shilling (TZS).

Translation of transactions in foreign currency

Foreign currency transactions have been translated into Tanzanian Shillings using prevailing exchange rates of the dates of the transactions.

Cash and cash equivalents

Cash and cash equivalents in the statement of financial position and statement of cash flows comprised the net cash at bank for recurrent expenditure, own source collection and Deposits accounts only.

Employment benefits

Employees' benefits include salaries, gratuities, and health insurance for local staff and other related - employment costs which are recognized on the date of occurrence.

Financial Instruments Recognition

The Entity recognises financial instruments **when it becomes party to the contractual provisions.**

Financial Assets

Initial and Subsequent Measurement

Financial assets are initially measured at fair value and subsequently measured as per following criteria:

i. The management model within which the Financial Asset is held; and
ii. The characteristics of contractual cash flows are solely payments of Principal and Interest.

Classification of Financial Assets

Classification is based on the criteria mentioned above, as a result the following classes of financial instruments arise namely;

i. Financial assets at Amortized Cost;
ii. Financial asset at Fair Value through Net asset/ Equity; and
iii. Financial asset at Fair Value through Surplus or Deficit.

Financial Assets at Amortized cost

Financial Assets are subsequently measured at Amortized Cost if both of the following conditions are met;

a) The financial asset is held within a management model whose objective is to hold financial assets to collect contractual cash flow; and
b) The contractual terms of the financial asset give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding this includes cash and cash equivalents.

Financial Assets at Fair Value through Net Assets/Equity

Financial assets are subsequently measured at fair value through net assets or equity if both of the following conditions are met;

a) The financial asset is held within management model whose objective is achieved by both collecting contractual cash flows and selling financial assets; and
b) The contractual terms of financial assets give rise on specified dates to cash flows that are solely payments of principal and interest on the principal amount outstanding.

Financial Assets at Fair Value through Surplus/Deficit

Financial Assets are subsequently measured at Fair Value through Surplus /Deficit unless they are measured at amortized costs or fair values through net assets/equity based on conditions mentioned above.

Impairment of financial assets

The impairment of financial asset is calculated using expected credit losses model. The Entity recognizes loss allowances {Expected Credit Losses (ECL)} on all financial assets except those that are measured at Fair Value Through Surplus or Deficit (FVTSD) and credit impaired financial assets. The Entity uses the Simplified approach in determining the impairment of trade receivables, staff debtors and student debtors. A loss allowance is calculated at each reporting date however, the ECL model is updated on an annually basis to accommodate any event that might cause significant increase in credit risks on financial asset. The term 'expected credit loss' does not imply that losses are anticipated, rather that there is recognition of the potential risk of loss. Determining whether an expected credit loss should be based on 12-month expected credit losses or lifetime expected credit losses depends on whether there has been a significant increase in credit risk of the financial asset since initial recognition.

Loss allowances for ECL are presented in the statement of financial position as follows: Financial assets measured at amortized cost: as a deduction from the gross carrying amount of the assets;

Inputs into measurement of Expected Credit Loss (ECL)

The key inputs into the measurement of ECLs are the discounted product of: probability of default (PD), loss given default and exposure at default (EAD).

The PD represents the likelihood of a borrower defaulting on its financial obligation (as per "Definition of default and credit-impaired" above), either over the next 12 months (12M PD), or over the remaining lifetime (Lifetime PD) of (LGD) the obligation.

Exposure At Default (EAD) is based on the amounts the Entity expects to be owed at the time of default, over the next 12 months (12M EAD) or over the remaining lifetime (Lifetime EAD). Loss Given Default (LGD) represents the Bank's expectation of the extent of loss on a defaulted exposure. LGD varies by type of counterparty, type and seniority of claim and availability of collateral or other credit support. LGD is expressed as a percentage loss per unit of exposure at the time of default (EAD).

LGD is calculated on a 12-month or lifetime basis, where 12-month LGD is the percentage of loss expected to be made if the default occurs in the next 12 months and Lifetime LGD is the percentage of loss expected to be made if the default occurs over the remaining expected lifetime of the loan.

The ECL is determined by projecting the PD, LGD and EAD for each future month and for each individual exposure or collective segment. These three components are multiplied together and adjusted for the likelihood of survival (i.e. the exposure has not prepaid or defaulted in an

earlier month). This effectively calculates an ECL for each future month, which is then discounted back to the reporting date and summed. The discount rate used in the ECL calculation is the original effective interest rate or an approximation thereof. The Lifetime PD is developed by applying a maturity profile to the current 12month PD. The maturity profile looks at how defaults develop on a portfolio from the point of initial recognition throughout the lifetime of the loans. The maturity profile is based on historical observed data and is assumed to be the same across all assets within a portfolio and credit grade band.

Expected Credit Loss (ECL) on Cash and Cash Equivalents

The Entity determines the Expected Credit Loss (ECL) for its cash and cash equivalents in accordance with the requirements of IPSAS 41 - *Financial Instruments*. The calculation is based on balances held in commercial banks at the reporting date.

Balances maintained with the Bank of Tanzania (BOT) are excluded from the ECL assessment since the Bank of Tanzania, being the Central Bank, carries a zero probability of default (PD). Accordingly, no loss allowance is recognized on balances with BOT.

For commercial bank balances, the Entity applies the simplified approach, using the probability of default (PD) derived from publicly available credit ratings and internal risk assessment. The ECL is calculated based on exposure at default (EAD) and loss given default (LGD).

As at 30 June 2025, the Entity held balances with the following commercial banks:

BANK NAME	BANK BALANCE AS 30 JUNE 2025	PD	LGD	ECL	CARRYING VALUE
	A	B	C	D=A*B*C	A-D
VETA CRDB EXPENDITURE ACCOUNT	5,986,262,924.72	2.16%	1	129,303,279.17	5,856,959,645.55
VETA CRDB HQ ADB TVET-TE PROJECT	108,200	2.16%	1	2,337.12	105,862.88
VETA CRDB HQ YEE PROJECT	53,266.32	2.16%	1	1,150.55	52,115.77
VETA CRDB HQ MAIN ACCOUNT	28,200	2.16%	1	609.12	27,590.88
VETA CRDB HQ OPERATIONS ACCOUNT	5,366,951.11	2.16%	1	115,926.14	5,251,024.97
VETA CRDB MVTCC MAIN COLLECTION ACCOUNT	12,232.96	2.16%	1	264.23	11,968.73
VETA CRDB MVTCC PRODUCTION ACCOUNT	161,675.12	2.16%	1	3,492.18	158,182.94
VETA CRDB HQ USD MAIN ACCOUNT	54,351.20	2.16%	1	1,173.99	53,177.21
VETA BOT REVENUE ACCOUNT	382,127,974.64	0%	1	-	382,127,974.64
VETA BOT PROJECT ACCOUNT	2,816,035,982.22	0%	1	-	132,835,419.51
VETA Main Collection (BOT) $	132,835,419.51	0%	1	-	132,835,419.51
TOTAL	**9,323,047,177.80**			**129,428,232.51**	**6,510,418,382.58**

This is supported by historical analysis.

CASH AND CASH EQUIVALENTS

	30 June 2025	30 June 2024
Cash at Bank and on hand	7,705,926,554	4,357,202,229
Expected Credit Loss:		
Opening	128,308,492	195,314,963
Charged during the year	1,119,741	-67,006,471

Closing (FP)	**129,428,233**	**128,308,492**
Cash as per Statement of Net Asset	**7,576,498,321**	**4,228,893,737**

Analysis of Cash and Cash Equivalent

For the purpose of the statement of cash flows, cash and cash equivalent comprises of the following balances with less than twelve (12) months maturity from the date of acquisition

	30 June 2025	30 June 2024
Cash as per Statement of Financial Position	7,576,498,321	4,228,893,739
Expected Credit Loss	129,428,233	128,308,492
Gross Cash and Cash Equivalent	7,705,926,554	4,357,202,231

Moreover, the Entity operates with CRDB Bank with current global ratings of B+ from Fitch and B2 from Moody's, which gives Probability of Default (PD) of 0.0216.

RECEIVABLES

	30 June 2025	**30 June 2024**
Gross Receivables Balance	2,264,259,598	1,886,245,713
Expected Credit Loss:		
Opening	1,576,705,647	1,755,625,562
Charged during the year	141,264,818	(178,919,915)
Closing (FP)	1,717,970,465	1,576,705,647
Net Receivable Balance	546,289,133	309,540,066

Derecognition of financial assets

The Entity derecognizes a financial asset when:

a) The contractual rights to the cash flows from the financial asset expire; or
b) It transfers the rights to receive the contractual cash flows in a transaction in which either:

- substantially all of the risks and rewards of ownership of the financial asset are transferred; or
- The Entity neither transfers nor retains substantially all of the risksand rewards of ownership and it does not retain control of the financial asset.

When The Entity enters into transactions whereby it transfers assets recognized in its statement of financial position, but retains either all or substantially all of the risks and rewards of the transferred assets. In these cases, the transferred assets are not derecognized.

Financial liabilities

Recognition

Financial liabilities are recognized when the Entity has contractual obligation to deliver cash as a result of goods or services received.

Measurement

Financial liabilities are initially measured at fair value and net gains and losses, including any interest expense, are recognized in surplus or deficit. Other financial liabilities are subsequently measured at amortized cost using the effective interest method. Interest expense and foreign exchange gains and losses are recognized in surplus or deficit. Any gain or loss on derecognition is also recognized in surplus or deficit.

Derecognition

The Entity derecognizes a financial liability when its contractual obligations aredischarged or cancelled, or expire. The Entity also derecognizes a financial liability when its terms are modified and the cash flows of the modified liability are substantially different, in which case a new financial liability based on the modified terms is recognized at fair value.

On derecognition of a financial liability, the difference between the carrying amount extinguished and the consideration paid (including any non-cash assets transferred or liabilities assumed) is recognized in surplus or deficit

SIGNIFICANT ACCOUNTING JUDGEMENTS, ESTIMATES AND ASSUMPTIONS

The preparation of the financial statements of every financial year requires the management to make judgments, estimates and assumptions that affect the reported amounts of revenues, expenses, assets and liabilities at the reporting date. However, uncertainty about these assumptions and estimates could result in outcomes that could require a material adjustment to the carrying amount of the assets or liabilities to be affected in the future.

(i) The figures of Property Plant and Equipment have been affected by the estimates of useful life to non-current assets and judgement on method for depreciation calculation;

(ii) Impairment of Cash balances in Bank, Student debtors and Staff debtors. The Entity reviews its financial assets measured at amortized cost at each reporting date to assess whether an impairment loss should be recognized in surplus or deficit. In particular, judgment by the Entity Management is required in the estimation of the amount and timing of future cash flows when determining the level of impairment loss required. Such estimates are based on the assumptions about a number of factors and actual results may differ, resulting in future changes in the impairment. The Entity makes judgment as to whether there is any observable data indicating that there is a measurable decrease in the estimated future cash flows in an individual asset in that portfolio. This evidence may include observable data indicating that there has been an adverse change in the rating outcome, or national or local economic conditions that correlate with defaults on assets. Management uses estimates based on historical loss experience for assets with credit risk characteristics and objective evidence of impairment similar to those in the

portfolio when scheduling its future cash flows. The methodology and assumptions used for estimating both the amount and timing of future cash flows are reviewed regularly to reduce any differences between loss estimates and actual loss incurred; and

(iii) Default. This is a situation where the debtor fails to meet the contractual obligation. The management classifies its financial assets into three categories namely: Trade debtors, Student debtors and Staff debtors and set a default assumption for each of the categories. For trade debtors is above 60 days, for staff debtors is above 730 days and for student debtors is above 365 days for long course students and above 180 days for short course students.

6.3.4 FUTURE CHANGES IN ACCOUNTING POLICIES

There are standards which became effective on 1 January 2025 and will be applied and adopted up to the date of issuance of the Ministry's financial statements that the Entity reasonably expects to have an impact on disclosures, financial position or performance. The Entity assesses and intends to adopt these standards from the financial year 2025/26 and for others when they become effective.

IPSAS 43 - Leases: IPSASB approved IPSAS 43, Leases with an effective date of 1 January 2025. IPSAS 43 supersedes IPSAS 13, *Leases* and introduces the right-of-use model for lessees, aligning with IFRS 16, *Leases*. The IPSASB will continue consideration of public sector specific leasing issues, such as concessionary leases, in its Other Lease-Type Arrangements project. The entity is currently assessing the impact of the standard.

IPSAS 44- Non-current Assets Held for Sale and Discontinued Operations: In May 2022 IPSASB issued IPSAS 44 that specifies the accounting for assets held for sale and the presentation of discontinued operations. It requires assets that meet the criteria to be classified as held for sale to be:

- measured at the lower of carrying amount and fair value less costs to sell and depreciation on such assets to cease; and
- presented separately in the statement of financial position and results of discontinued operations to be presented separately in the Statement of financial performance.

IPSAS 44 has been effective for periods beginning on or after 1 January 2025.

IPSAS 45 - Property, Plant and Equipment: This standard provides guidance on accounting for Property, Plant and Equipment so that users of Financial Statements can discern information about an entity's investment in its PPE and the changes in such investment. The standard applies to PPE used to develop or maintain the biological assets related to agricultural activity other than bearer plants, Mineral rights and mineral reserves such as oil, natural gas and similar non-regenerative resources and the recognition and measurement of exploration and evaluation assets. IPSAS 45 removed IPSAS 17's scope exclusion of Heritage Asset. This standard has been effective on 1 January 2025 with earlier application permitted

IPSAS 46- Measurement. The objective of this Standard is to define measurement bases that assist in reflecting fairly the cost of services, operational capacity and financial capacity of assets and liabilities. The Standard identifies approaches under those measurement bases to be applied through individual IPSAS to achieve the objectives of financial reporting. An entity

that prepares and presents financial statements under the accrual basis of accounting shall apply IPSAS 46, Measurement in measuring assets and liabilities. The measurement requirements described in this Standard apply to both initial and subsequent measurement, unless specific guidance is included in the individual IPSAS. IPSAS 46 has been effective for periods beginning on or after 1 January 2025.

IPSAS 47- Revenue.

IPSAS 47 is a single source for revenue accounting guidance in the public sector, which presents two accounting models based on the existence of a binding arrangement. This new Standard provides focused guidance to help entities apply the principles to account for public sector revenue transactions. IPSAS 47 is a single source for revenue accounting guidance in the public sector, which presents two accounting models based on the existence of a binding arrangement. This new Standard provides focused guidance to help entities apply the principles to account for public sector revenue transactions. To meet this objective requires an entity to consider the terms of the transaction, and all relevant facts and circumstances, to determine the type of revenue transaction and set out the accounting requirements to account for the revenue transaction. IPSAS 47 will be effective for periods beginning on or after 1 January 2026

IPSAS 48: Transfer Expenses. The objective of this standard is to establish the principles that a transfer provider (an entity) shall apply to report useful information to users of financial statements about the nature, amount, timing and uncertainty of expenses and cash flow arising from transfer expense transactions. In order to meet the objective, This Standard requires an entity to consider the terms of the transaction and all relevant facts and circumstances to determine the type of transfer expense transaction and sets out the accounting requirements for the transfer expense transaction. IPSAS 48 will be effective for periods beginning on or after 1 January 2026.

IPSAS 49: Retirement Benefit Plans. The objective of this standard is to prescribe the accounting and reporting requirements for public sector retirement benefit plans, which provide retirement benefits to public sector employees and other eligible participants. IPSAS 49 will be effective for periods beginning on or after 1 January 2026.

EXCHANGE RATES

All monetary amounts in the financial statements are expressed in Tanzanian Shillings and the closing exchange rates as per Bank of Tanzania for major currencies were as scheduled below:

Currency	30 June 2025	30 June 2024
United States Dollar (USD)	2604.5520	2626.9307

However, exchange rates for the transactions were exchange rates as per Bank of Tanzania for major currencies on the date of transactions.

6.3.5 RISKS MANAGEMENT

The Entity comprises several financial and operational risks, hazards, and strategic risks, hence it is responsible for ensuring appropriate risk management strategies and policies are in place within any mandate provided by legislation with assistance from the parent ministry.

Foreign exchange risk

Foreign exchange risk refers to exchange loss due to adverse movements in foreign exchange rates.

Liquidity risk

The Entity failed to settle some liabilities due to delay on funds release. Then, the Entity has considered unsettled liabilities in the forthcoming financial year budget by continuing to dialogue with the Ministry for timely release of funds as per approved budget.

Performance risk

Performance risk relates to the possibility that the Entity may not achieve its operational objectives as planned due to inefficiencies in program implementation, inadequate monitoring and evaluation mechanisms, or failure to meet agreed performance indicators. To mitigate this, The Entity emphasizes strengthening internal controls, continuous staff capacity building, and setting realistic and measurable performance targets.

Strategic risk

Strategic risk arises when the Entity's long-term goals and objectives may be adversely affected by changes in government policy, funding priorities, technological advancements, or shifts in labour market demands. VETA mitigates this by aligning its strategic plan with national development strategies, conducting periodic reviews of its objectives, and ensuring adaptability to changing environments.

Commercial risk

Commercial risk refers to the potential negative impact on the Entity's ability to generate revenue from its commercial and training activities, particularly where there is competition from other training providers or changes in demand for specific vocational skills. VETA manages this risk by diversifying income-generating activities, enhancing the quality of its training programs, and engaging stakeholders, including industry players, to ensure its programs remain market-relevant.

Credit risk

Credit risk refers to the loss due to the non-performance by counterparties to discharge an obligation. The Entity is subjected to risk of untimely recovered staff debts, student debts as well its balances of Cash in the Banks.

Total Cash in the Banks to which the Entity is exposed to credit risk as of 30 June 2024 with its comparative figures are presented in the table below according to the classification of assets (classification according to external credit rating is done based on credit ratings published by Standard and Poor's)

Ratings

DESCRIPTION	2024/25	2023/24
CRDB BANK	B2	B2

Credit quality

Credit quality per class of financial assets. The table below shows the quality by class of asset for all financial assets exposed to credit risk, based on the Entity's credit rating system. The amount presented is gross of impairment allowances.

30 June 2025

Description	Stage 1	Stage 2	Stage 3	Total
Cash & Cash Equivalent	9,323,047,177.80	N/A	N/A	9,323,047,177.80
Total				

30 June 2024

Description	Stage 1	Stage 2	Stage 3	Total
Cash & Cash Equivalent	7,334,111,004.17	N/A	N/A	7,334,111,004.17
Total	7,334,111,004.17	N/A	N/A	7,334,111,004.17

Movement in Expected Credit Loss allowance

The following tables explain the changes in the loss allowance between the previous period and the current reporting period due to change in credit risk factors:

Cash and Cash Equivalents:

Description	Stage 1	Stage 2	Stage 3
Loss Allowance as at 30 June 2023	128,308,491.86	N/A	N/A
New Financial Assets Originated/Purchased	1,119,740.65	N/A	N/A
Financial Asset derecognized	-	N/A	N/A
Change in risk parameters	-	N/A	N/A
Loss Allowance as at 30 June 2024	129,428,232.51	N/A	N/A

6.3.6 RESTATED FINANCIAL STATEMENT FOR THE YEAR ENDED 30 JUNE 2024

The Entity restated financial statements for the year ended 30 June 2024 for adjusting overstated accumulated surplus, surplus/deficit and cash and cash equivalent to reflect reality of cash flows and performance in the respective year accordingly.

	Comparative figure (2024/25)		Audited balances (2023/24)		
ASSETS		Comparative figures	Audited Figures	Differences	Reason for variance
		2024/25	2023/24		
Inventories	70	695,643,014	680,443,014	15,200,000	Change of nature of asset, previous year biological inventory at Singida was recorded as PPE.
Receivables	67	309,540,066	280,847,714	28,692,352	Recognition of previous unrecognised debts
Intangible Assets	78	213,157,802	213,157,801	1	
Property, Plant and Equipment	77	304,164,219,076	280,629,020,027	23,535,199,049	Recognition of assets which were not recognised in previous year. Example Library books, assets at Kagera RVTSC and other assets.
Work In Progress	82	14,322,019,573	11,513,293,204	2,808,726,369	Recognition of work in progress which was not recognised previously
Deferred Income	93	1,229,092,665	1,538,293,933	-309,201,268	This was due to amortization of grants which previously was not amortized to Revenue
Deposits	94	796,337,238	1,420,020,723	-623,683,485	This was done in order to reconcile with cash balance at deposit which was not reconciled previously
Payables and Accruals	89	7,615,872,385	8,143,629,669	-527,757,284	This was due to some recorded payables was no qualified to payable.
Other Revenue	31	4,023,636,054	3,873,649,328	149,986,726	This was due to recognition of receivables, recognition of assets acquired through own source fund
Revenue from Exchange Transactions	17	16,174,182,259	16,113,735,034	60,447,225	This was due to recognition of receivables, recognition of assets acquired through own source fund
Subvention from other Government entities	32	114,800,978,845	91,484,875,971	23,316,102,874	Recognition of Assets at Kagera RVTSC 22B and other assets which was not recognised in previous year
Depreciation of Property, Plant and Equipment	37	12,083,910,180	11,251,407,309	832,502,871	Posting of depreciation for assets recognised at Kagera RVTSC 22B and other assets which was not recognised in previous year
Maintenance Expenses	36	2,108,763,076	2,068,594,328	40,168,748	Recategorization of class of expenses which was posted as use of goods and services
Other Expenses	52	2,716,992,400	2,660,594,978	56,397,422	Recategorization of class of expenses which was posted as use of goods and services
Use of Goods and Service	35	48,426,888,650	50,818,247,973	-2,391,359,323	De recognition of expenses posted instead of payables, changes of expenses categories, recognition of Assets expenses previously, de amortization of revenue for subvention funds
Wages, Salaries and Employee Benefits	34	45,785,081,702	45,747,433,012	37,648,690	Recategorization of class of expenses which was posted as use of goods and services

6.4 SIGNIFICANT ACCOUNTING POLICIES

6.4.1 Consolidation of VETA Centres Controlled Centres

The controlled Centres are all those Centres over which the Authority has the power to govern the financial and operating policies. The controlled Centres are those Centre's, which were transferred to VETA from NVTD or currently establishment. Inter-company transactions, balances and unrealized gains and losses on transactions between members of the Centres are eliminated in full unless otherwise. The accounting policies of the controlled Centres are consistent with the policies adopted by the Authority.

6.4.2 Revenue Recognition

Principal income comprises Skills Development Levy, School Fees, Self-Reliance Activities and Rental Income. Recognition basis is as follows:

a) Revenue from Non-Exchange Transactions

The Authority recognizes revenues from Skills Development levy (SDL), Government Counterpart Funds, revenue grants, rental from facilities and long course fees when the event occurs and the asset recognition criteria are met. To the extent that, any unutilized funds during the reporting period would give rise to a liability to be released and matched with next period expenses, deferred income is recognized instead of revenue. Other non-exchange revenues are recognized when it is probable that the future economic benefits or service potential associated with the asset will flow to the entity and the fair value of the asset can be measured reliably.

b) Revenue from Exchange Transactions

i) **Fees** - Revenue from short courses is recognized at the commencement of the course whereas revenue from long courses is recognized systematically in proportion to the period of instruction.

ii) **Other Services** - Sales of other services are recognized in the accounting period in which the services are rendered by reference to the stage of completion of the specific transaction, assessed on the basis of the actual service provided as a proportion of the total service to be provided.

iii) **Other Incomes**- Recognized on accrual basis when earned

6.4.3 Property, Plant and Equipment

All items of property, plant and equipment are initially recorded at cost, which comprises expenditure that is directly attributable to the acquisition of the items. Subsequent costs are included in the asset's carrying amount or recognized as a separate asset, as appropriate, only when it is probable that future economic benefits associated with the item will flow to the Authority and the cost of the item can be measured reliably. All other repairs and

maintenance are charged to the income statement during the financial period in which they are incurred.

Subsequently, items of property, plant and equipment are stated at replacement cost less accumulated depreciation and any accumulated impairment losses.

Depreciation is provided on a straight-line basis and is calculated separately for each part of an item of property, plant and equipment with a cost that is significant in relation to the total cost of the item. Applicable depreciation rates are as follows:

Particulars	Years
Land	N/A
Buildings	50
Plants and Machinery (Including: Excavator, Tractor and Generators, Industrial plant and Machinery)	15
Furniture, Fittings and Office Equipment	10
Motor Vehicles- light duty	10
Motor Vehicle -Heavy Duty	20
Motorcycles	7
Boat	25
Computers (Desktop, laptops, tables etc)	8
Scientific equipment	10
Computer software	10
Library books	10
Agriculture and livestock extension systems	25
Biological Assets	(Measured at fair value less cost to sell)

Major renovations are depreciated over the remaining useful life of the related asset or to the date of the next major renovation, whichever is sooner. The assets' residual values and useful lives are reviewed, and adjusted if appropriate, at each reporting date. No depreciation is charged if the residual value of an item is equal to or greater than it's carrying value.

(a) The authority revised economic useful life (EUL) of Non-current assets (PPE). Therefore, PPE opening balances were adjusted;
(b) During the year the Authority adjusted the value of PPE which were previously physically disposed but not adjusted in the financial statement; and
(c) The Authority received non-current assets without value from Kongwa district council, therefore were not included in the financial statement.

6.4.4 Intangible assets

Intangible assets acquired separately are initially recognized at cost. The cost of intangible assets acquired in a non- exchange transaction is their fair value at the date of the exchange. Following initial recognition, intangible assets are carried at cost less any accumulated amortization and accumulated impairment losses. Internally generated intangible assets, excluding capitalized development costs, are not capitalized and expenditure is reflected in surplus or deficit in the period in which the expenditure is incurred. The useful life of the

intangible assets is assessed as either finite or indefinite. An intangible asset with a finite life is amortized over its useful life.

Intangible assets with a finite useful life are assessed for impairment whenever there is an indication that the asset may be impaired.

The amortization period and the amortization method, for an intangible asset with a finite useful life, are reviewed at the end of each reporting period. Changes in the expected useful life or the expected pattern of consumption of future economic benefits embodied in the asset are considered to modify the amortization period or method, as appropriate, and are treated as changes in accounting estimates. The amortization expense on an intangible asset with a finite life is recognized in surplus or deficit as the expense category that is consistent with the nature of the intangible asset. Gains or losses arising from de-recognition of an intangible asset are measured. The difference between the net disposal proceeds and the carrying amount of the asset are recognized in the surplus or deficit when the asset is derecognized.

6.5 Impairment of non-cash-generating assets

The Authority assesses at each reporting date whether there is an indication that a non-cash-generating asset may be impaired. If any indication exists, or when annual impairment testing for an asset is required, the Authority estimates the asset's recoverable service amount. An asset's recoverable service amount is the higher of the non-cash- generating asset's fair value less costs to sell and its value in use. Where the carrying amount of an asset exceeds its recoverable service amount, the asset is considered impaired and is written down to its recoverable service amount.

6.5.1 Inventories

Inventory is measured at cost upon initial recognition. After initial recognition, inventory is measured at the lower of cost and net realizable value. However, to the extent that a class of inventory is distributed or deployed at no charge or for a nominal charge, that class of inventory is measured at the lower of cost and current replacement cost.

Net realizable value is the estimated selling price in the ordinary course of operations, less the estimated costs of completion and the estimated costs necessary to make the sale, exchange, or distribution. Inventories are recognized as an expense when deployed for utilization or consumption in the ordinary course of operations of the Authority. Cost is determined using first-in-first-out (FIFO) method.

6.5.2 Provisions

Provisions are recognized when the Authority has a present legal or constructive obligation as a result of past event, it is probable that an outflow of resources will be required to settle the obligation, and a reliable estimate of the amount can be made. When the Authority expects a provision to be reimbursed, for example under an insurance contract, the reimbursement is recognized as a separate asset but only when the reimbursement is virtually certain.

6.5.3 Contingent liabilities

Authority does not recognize a contingent liability, but discloses details of any contingencies in the notes to the financial statements, unless the possibility of an outflow of resources embodying economic benefits or service potential is Remote.

6.5.4 Employee benefits Retirement benefit plans

Following suspension of the Collective Bargaining Agreement (CBA), the Authority currently provides retirement benefits for its employees based on Government circulars, rules and regulations as defined in the contributions plans which are post-employment benefit plans under which an entity pays fixed contribution into separate funds (NSSF and PSSSF) and will have no legal or constructive obligation to pay further contributions if the fund does not hold sufficient assets to pay all employee benefit relating to employee services in the current and prior periods.

The contribution to fund obligation for the payment of retirement benefits are charged against income in the year in which they become payable.

6.5.5 Foreign currency transactions

Transactions in foreign currencies are initially accounted for at the ruling rate of exchange on the date of the transaction. Trade creditors or debtors denominated in foreign currency are reported at the statement of financial position reporting date by applying the exchange rate on that date. Exchange differences arising from the settlement of creditors, or from the reporting of creditors at rates different from those at which they were initially recorded during the period, are recognized as income or expenses in the period in which they arise.

6.5.6 Related parties

The Authority regards a related party as a person or an entity with the ability to exert control individually or jointly, or to exercise significant influence over the Authority, or vice versa. Members of key management are regarded as related parties and comprise the Board Members, Director General, VET Board committee members, PS MoEST, VETA Directors and Centre Principals and other senior managers, and close relatives of key management staff.

6.5.7 Budget information

The annual budget is prepared on the accrual basis, that is, all planned costs and income are presented in a single statement to determine the needs of the Authority. As a result of the adoption of the accrual basis for budgeting purposes, there are no basis, timing or entity differences that would require reconciliation between the actual comparable amounts and the amounts presented as a separate additional financial statement in the statement of comparison of budget and actual amounts. Explanatory comments are provided in the notes to the annual financial statements; first, the reasons for overall growth or decline in the budget are stated, followed by details of overspending or under spending on line items.

The annual budget figures included in the financial statements are for the Authority. These budget figures are those approved by the VET Board at the beginning of the financial year.

6.5.8 Significant judgments and sources of estimation uncertainty

The preparation of the Authority's financial statements in conformity with IPSAS requires management to make judgments, estimates and assumptions that affects the reported amounts of revenues, expenses, assets and liabilities, and the disclosure of contingent liabilities, at the end of the reporting period. However, uncertainty about these assumptions and estimates could result in outcomes that require a material adjustment to the carrying amount of the asset or liability affected in future periods.

6.5.9 Financial Risk Management

i) Credit Risk

The Authority's principal financial assets are cash and bank balances, and trade and other receivables. The Authority's credit risk is primarily attributable to its trade receivables. The amounts presented in the statement of financial position are net of allowances for doubtful receivables estimated by the management based on the long outstanding balances and the assessment of the current economic environment.

ii) Foreign Currency Risk

As a result of bank balances (favourable and unfavourable) denominated in foreign currency, the Authority's financial position and results can be affected by movement in exchange rates. However, the Authority does not consider that there is a downside risk on holding foreign currencies balances arising from exchange rate movements; no specific financial risk management measures have been initiated.

6.5.10 Comparative Figures

Previous year's figures have been restated with some reclassified to match with the current year's presentation as per IPSAS' requirements and Government directive on preparation of public entities financial statements.

NOTES TO THE FINANCIAL STATEMENT FOR THE PERIOD ENDED 30 JUNE 2025 (CONTINUED....)

	2024/25 TZS	2023/24 TZS
1 - Cash and Cash Equivalents		
BoT Own source Collection Account	3,686,095,980	1,282,435,366
Cash in hand	0	1,910,000
Deposit Cash Account	2,156,653,694	690,796,749
Development Expenditure Cash Account	528,783,303	785,532,665
Imprest Cash Account	0	344,625,843
Own source Collection Account - NMB	180,000	0
Own source Development Expenditure	116,234,869	240,559,167
Own source Recurrent Expenditure GF	736,679,088	616,998,882
Provision for ECL (Cash)	(129,428,233)	(128,308,492)
Recurrent Expenditure Cash Account	318,420,460	144,587,910
Unapplied Cash Account	30,043,740	159,241,571
USD Commercial Collection Account	132,835,420	90,514,076
	7,576,498,321	**4,228,893,737**
2 - Inventories		
Cleaning supplies	0	8,400,626
Consumables	706,221,630	560,634,412
Foodstuffs	0	8,249,970
Fuel	13,187,387	32,732,906
Learning Materials Addition	0	41,084,568
Livestock	15,200,000	15,200,000
Spare parts and tires	0	5,792,100
Uniforms	12,553,640	23,548,432
	747,162,657	**695,643,014**
3 - Prepayments		
Prepayment Consumables	78,191,929	8,978,611
Prepayments Assets - Monetary	353,316,811	5,374,310
	431,508,740	**14,352,921**
4 - Receivables		
Imprest Receivable - Staff	373,143,800	296,072,412
Provision for Expected Credit Loss - Short Term	(1,717,970,465)	(1,576,705,647)
Receivable from Fees, Fines, Penalties and Forfeits	443,686,419	293,000,901
Receivables from Exchange Transactions Addition	833,645,487	716,067,159
Staff advance	613,783,892	581,105,241
	546,289,133	**309,540,066**
10 - Deferred Income		
Deferred Subvention Capital	421,266,889	786,135,592
Deferred Subvention Current	533,056,720	442,957,073
	954,323,609	**1,229,092,665**
11 - Deposits		
Deposit General	2,077,514,427	638,653,560
Unapplied Deposit Account Addition	23,843,740	157,683,678
	2,101,358,167	**796,337,238**

12 - Payables and Accruals		
Advance Utility	12,891,581	2,423,104
Contracts and Work in Progress Payable	17,898,240	0
Imprest Payable Addition	0	336,715,564
Other Payable	0	20,872,940
Retention Payable Addition	80,381,290	73,800,128
Staff Claim Addition	2,364,113,681	2,152,907,368
Supplies of goods and services Addition	4,965,669,375	4,948,257,889
Tax Payable	139,619,781	
Withholding Tax Payable Addition	62,331,051	80,895,392
	7,642,904,999	**7,615,872,385**
13 - Subvention from other Government entities		
Government grants personal emolument	35,470,605,342	32,736,035,474
Non-monetary revenue - capital	34,636,612,042	34,142,038,695
Subvention capital	2,765,682,090	2,646,654,535
Subvention development foreign	452,135,697	0
Subvention other charges	45,763,879,219	45,276,250,141
	119,088,914,390	**114,800,978,845**
14 - Revenue from Exchange Transactions		
Revenue from vocational workshop production- Exchange	3,478,395,493	3,253,489,831
Vocational short and tailor-made course fees- Exchange	21,601,220,481	12,920,692,428
	25,079,615,974	**16,174,182,259**
16 - Fair value Gains on Assets and Liabilities		
reversal of provision for impairment of receivables (ECL)	0	245,926,386
	0	**245,926,386**
15 - Other Revenue		
Application fee	396,321,213	329,565,000
Receipts from examination fees	1,512,726,653	1,475,245,000
Revenue from rent of government quarters	298,031,661	265,517,659
Revenue from Tuition Fees	2,551,767,619	1,951,143,395
Tender documents	0	2,165,000
	4,758,847,146	**4,023,636,054**
17 - Wages, Salaries and Employee Benefits		
Accommodation in lieu of quarters	0	12,868,000
Acting allowance	9,200,000	22,350,000
Casual labor expenses	459,716,057	58,084,255
Casual laborers	10,911,000	0
Civil servants	30,037,127,978	32,485,785,495
Civil servants contracts	0	29,693,791
Court attire allowance	4,000,000	3,000,000
Electricity	74,288,452	25,418,523
Electricity allowance	121,129,500	152,613,769
Extra-duty	7,417,749,389	4,661,456,450
Facilitation Allowance Expenses -employee	1,297,576,219	1,484,143,459
Field (practical allowance)	160,843,000	118,362,402
Food and Refreshment	507,423,081	17,928,747
Furniture expenses	162,390,000	242,220,000
Honoraria	64,254,000	133,500,000
Housing Allowance discretionary Expenses	0	61,750,000
Housing allowance Expenses	493,928,000	344,070,000
Internship allowance	91,145,334	24,900,000

Invigilators allowances	5,520,000	36,620,000
Leave travel	187,480,352	751,487,786
Local based staff Salaries	58,084,010	528,809,512
Local staff salaries	192,122,810	711,553,045
Medical and dental refunds	128,148,035	120,110,000
Moving Expenses	764,942,622	616,851,900
National Health Insurance Fund (NHIF) Employee Expenses	0	17,574,078
National Health Insurance Fund (NHIF) Employer Expenses	0	3,474,432
National Health Insurance Schemes (NHIF) Employee Expenses	18,137,052	34,597,518
National Health Insurance Schemes (NHIF) Employer Expenses	955,445,150	0
National Social Security Fund (NSSF) Expenses	0	9,550,882
Operational Service Staff Expenses	260,559,577	256,817,053
Outfit Allowance	9,240,000	7,600,000
Passages Allowances	87,500,000	0
Professional Allowances	0	74,800,000
Public Servants Social Security Fund (PSSSF) Employee Expenses	30,142,201	18,779,084
Public Servants Social Security Fund (PSSSF) Employer Expenses	0	10,749,920
Public Service Social Security Fund (PSSSF)Employer Expenses	4,532,676,121	7,466,383
Responsibility Allowance	685,047,500	524,150,001
Risk Allowance	2,300,000	3,000,000
Sewage Charges	420,000	0
Sitting Allowance	1,768,717,914	1,421,111,217
Special Allowance	51,375,544	101,600,000
Subsistence Allowance	0	443,834,000
Telephone Allowance	513,726,425	192,940,000
Transport Allowance	0	13,460,000
Uniform Allowance	1,397,600	0
Workers Compensation Fund (WCF) Expenses	150,419,862	0
	51,315,084,785	**45,785,081,702**
18 - Use of Goods and Service		
Accommodation Hospitality Supplies and Services	66,726,332	50,696,456
Accommodation Training - Domestic	0	13,000,000
Advertising and publication	13,927,537	8,453,159
Advertising and Publication - Communication & Information	175,737,630	53,512,664
Air Travel Tickets Training - Domestic	4,785,228	10,224,472
Air Travel Tickets Travel - In - Country	83,434,567	97,678,394
Air Travel Tickets out of Country	50,000,000	87,459,555
Books, Reference and Periodicals	5,420,000	282,157,340
Bottled Gas	9,935,934	0
Catering Services	1,022,910,756	339,429,924
Charcoal	3,850,000	8,986,800
Cleaning Supplies - Use of goods and Services	185,900,115	266,521,355
Communication Network Services	35,896,329	392,078,770
Computer Software - Use of goods and Services	10,661,000	2,250,000
Computer Supplies and Accessories	17,057,552	74,271,715
Conference Facilities	398,613,647	212,395,498
Construction and maintenance of Electrical Lines	4,800,000	0

Contract based training services	2,714,490,709	3,315,054,046
Courier Services	46,712,307	88,466,851
Diesel	2,277,183,760	1,857,303,618
Donation	3,900,000	2,300,000
e Training Materials	0	470,819,157
Educational Radio and TV broadcasting programming	148,693,539	70,078,504
Electricity - Utilities Supplies and Services	1,100,523,884	947,851,571
Entertainment - Hospitality Supplies and Services	56,442,779	67,981,350
Examination Expenses	19,342,020	3,662,306,096
Exhibition, Festivals and Celebrations	413,987,112	100,511,245
Firewood	3,300,000	6,732,100
Food and Refreshments	1,141,997,559	1,607,424,648
Fumigation	2,153,500	0
Fumigation Expenses	71,197,988	92,045,385
Gifts and Prizes	32,760,000	30,536,788
Ground Transport (Bus, Train, Water)	308,596,403	135,456,895
Ground travel (bus, railway taxi, etc.) Travel - In - Country	1,568,761,850	840,994,243
Ground travel (bus, railway taxi, etc.) Travel Out of Country	3,781,436	21,820,553
Health Insurance Training - Foreign	0	12,000,000
Health Insurance Travel Out of Country	20,000,000	0
Hiring of Training Facilities	45,762,000	11,044,000
Inspection Fees	100,000	0
Internet and Email connections	383,511,115	352,701,795
Land Rent Expenses - Other operating Expenses	141,030,794	168,013,388
Land Scaping	0	500,000
Laundry and Cleaning Expenses	2,160,000	27,099,869
Lubricants	6,994,871	22,453,907
Medical Gases and Chemicals	3,060,108	629,430
Mobile Charges	771,719,993	424,305,782
Motor Oil	50,462	598,000
National Flag	267,800	0
Natural Gas - Utilities Supplies and Services	69,892,407	49,654,374
News Services Fees	4,000,000	935,000
Newspapers and Magazines	974,000	1,222,200
Office Consumables (papers, pencils, pens and stationaries)	647,648,840	568,752,863
Operations and Training Fuel	24,006,073	1,872,500
Other Gas	26,528,040	0
Outsourcing Costs (includes cleaning and security services)	481,467,667	985,888,627
Per Diem - Domestic	12,403,251,088	13,163,400,859
Per Diem - Foreign	105,600,000	109,266,390
Petrol	33,621,822	22,310,523
Posts and Telegraphs	0	180,000
Printing and Photocopy paper	66,429,222	621,404,296
Printing and Photocopying Costs	2,677,995,303	676,654,832
Printing Material	66,287,011	218,198,081
Printing of Stamps	98,473,239	1,429,737
Production and Printing of Training Materials	13,855,892	1,634,735,976
Protective Clothing, footwear and gears	35,379,323	4,866,000
Publicity	109,601,146	31,870,000

Purchased Electricity - TANESCO	0	0
Ration - Food Purchase	0	273,660,254
Remuneration of Instructors	0	2,085,000
Rent - Office Accommodation	15,285,720	6,596,640
Research and Dissertation Training - Domestic	16,000,000	117,531,500
Sewage Charges - Utilities Supplies and Services	7,430,996	17,743,067
Software License Fees	76,344,844	47,189,041
Special Uniforms and Clothing	0	9,092,313
Sporting Supplies	2,624,000	3,161,782
Stationery	207,800	24,000,000
Student meals	4,612,022,038	3,971,623,421
Subscription Fees	90,353,751	119,049,568
Technical Materials	5,903,436,790	7,174,612,822
Technical Service Fees	159,278,058	111,776,144
Telephone Charges (Land Lines)	21,250,639	40,940,626
Telephone Charges -Utilities Supplies and Services	298,061	3,436,038
Testing Facilities	4,071,000	36,285,816
Training Aids	5,117,148	4,451,200
Training Allowances	736,814,839	465,272,570
Training Materials	3,219,833,831	397,379,634
Tuition Fees Training - Domestic	287,646,635	346,406,648
Uniforms and Ceremonial Dresses	248,014,429	93,220,356
Uniforms -Clothing, Bedding, Footwear and Services	212,920,737	113,040,636
.lo0p0Upkeep of Grounds and Amenities	0	3,037,000
Valuation of NCA	1,399,986	21
Visa Application Fees	5,000,000	4,800,000
Water and Waste Disposal (Garbage)	2,699,017	1,000,000
Water Charges	666,702,978	709,562,664
Wire, Wireless, Telephone, Telex Services and Facsimile	0	1,146,308
	46,537,902,986	**48,426,888,650**
19 - Maintenance Expenses		
Air conditioners	11,101,468	13,425,482
Cement, Bricks and Building Materials	69,433,399	159,389,611
Cement, bricks and construction materials	15,375,183	20,824,772
Computers, printers, scanners, and other computer related equipment	76,244,229	258,614,661
Direct labor (contracted or casual hire) - Buildings	290,592,703	309,020,038
Direct labor (contracted or casual hire) - Machinery, Equipment and Plant	85,525,353	20,288,812
Direct labor (contracted or casual hire) - Roads and Bridges	15,110,000	11,039,181
Direct labor (contracted or casual hire) - Vehicles and Transportation Equipment	90,472,788	1,399,983
Direct labor (contracted or casual hire) - Water and Electricity	29,279,067	69,147,960
Electrical and Other Cabling Materials - Buildings	6,979,954	21,744,625
Electrical and Other Cabling Materials - Water and Electricity Installations	4,285,277	16,068,371
Electrical and Telephone Cable Installations	0	3,335,010
Fax machines and other small office equipment	0	2,148,400
Fire Protection Equipment	83,717,120	26,542,686
Generator Maintenance	1,000,000	1,184,809
Mechanical, electrical, and electronic spare parts	18,898,953	26,798,569

Metal Fence and Posts - Buildings	1,000,150	1,020,000
Motor Vehicles and Water Craft	367,282,414	538,450,059
Oil and grease	23,169,013	8,335,119
Oil, grease, and other chemical materials	2,890,388	242,000
Outsource Expenses	19,420,600	31,846,729
Outsource maintenance contract services - Buildings	139,201,800	67,765,624
Outsource maintenance contract services - Machinery, Equipment and Plant	10,840,258	45,090,429
Outsource maintenance contract services - Office Equipment and Appliances	3,409,719	2,790,000
Outsource maintenance contract services - Vehicles and Transportation Equipment	383,949,614	13,227,993
Outsource maintenance contract services - Water and Electricity Installations	0	15,913,236
Paint and Weather Protection Coatings	23,388,000	3,700,000
Panel and body shop repair materials and services	122,120,623	565,000
Photocopiers	9,201,000	6,257,657
Plumbing Supplies and Fixtures	29,746,571	15,865,749
Repair and Maintenance of Furniture	39,142,827	21,731,247
Repair and Maintenance of Sewerage System	52,565,335	10,056,809
Roofing Materials	12,384,703	2,725,000
Small tools and equipment	61,122,014	12,464,253
Small tools and implements - Buildings	8,238,064	1,988,000
Small tools and implements - Water and Electricity Installations	0	3,285,000
Spare Parts - Operation	8,069,858	3,800,000
Spare Parts - Other	0	5,142,380
Spare Parts - Vehicles and Transportation Equipment	353,609,240	175,549,586
Telephone Equipment (mobile)	22,400,000	1,390,000
TV sets and Radios	3,249,124	5,096,000
Tyres and Batteries	201,613,974	136,036,566
Water Pumps	280,000	2,680,670
Wood and Timber Supplies	24,828,750	14,775,000
Wood and Timber Supplies Expenses	6,791,455	0
	2,727,930,988	**2,108,763,076**
20 - Depreciation of Property, Plant and Equipment		
Scientific Equipment Depreciation	323,001,891	496,417,262
Hardware: servers and equipment (incl. desktops, laptops etc.) Depreciation	1,113,631,923	515,209,978
Library Books Depreciation	209,326,948	177,368,507
Motor vehicles, Depreciation	961,462,942	1,949,664,659
Office buildings and structures	5,491,914,135	4,618,251,408
Office equipment Depreciation	27,764,547	14,646,084
Office Furniture and Fittings Depreciation	1,074,368,738	1,507,697,167
Plant and Machinery Depreciation	1,736,202,390	2,797,883,915
Ships, boats and ferries Depreciation	5,924,800	6,771,200
	10,943,598,314	**12,083,910,180**
22 - Amortization of Intangible Assets		
Computer Software Amortization	22,814,138	77,059,473
	22,814,138	**77,059,473**
21 - Other Expenses		
Membership Fees	525,000	0

Agency fees	21,310,575	13,985,250
Audit fees Expenses	280,000,000	310,000,000
Bank Charges and Commissions	39,379,972	4,568,329
Burial Expenses	66,484,400	86,293,976
consultancy fees	0	6,780,800
Corporate Social Responsibilities	14,225,000	0
Director's Fee	58,500,000	63,369,000
education supervision expenses	1,199,318,605	856,886,582
Facilitation Fees	0	80,000
Freight Forwarding and Clearing Charges	0	49,263,283
Honorariums (expert opinion)	0	2,150,000
Insurance Expenses	181,066,912	188,699,004
Insurance Expenses - Other operating Expenses	5,400,000	0
Legal fees Expenses	14,750,000	60,734,739
National Expenses	373,424,820	184,366,669
Outsource of Production Services	0	320,000
Property tax Expenses	1,490,300	0
Registration Fees	4,288,000	0
Registration Fees Expenses	0	31,303,000
Reserve for Safety Regulator's Costs	0	3,000,000
Security Services	1,108,514,425	807,581,627
Sticker Charges	0	15,000
Taxes Levied by another Level of Government	152,650,192	569,000
Transportation Cost by Ground	0	700,000
Transports posts - other expenses	0	704,000
Upkeep of Grounds and Amenities Expenses	64,318,400	45,622,141
	3,585,646,601	**2,716,992,400**
23 - Expected Credit Loss		
Expected Credit Loss	142,384,559	0
	142,384,559	**0**
24 - Social Benefits		
Terminal Benefit Expenses	10,450,000	0
	10,450,000	**0**
25 - Other Transfers		
Contribution to CF (15%)	414,540,000	500,000,000
Transfer to Other Institution.	0	500,000,000
	414,540,000	**1,000,000,000**

NOTES - CASH FLOW STATEMENT FOR THE PERIOD ENDED 30 JUNE 2025

	2024/25 TZS	2023/24 TZS	Ref. note
103C - Advance Payment for Acquisition of Property Plant and Equipment			
Prepayments Assets - Monetary			
Opening balance: Prepayments Assets - Monetary	5,374,310	92,000	Note 69
Closing balance: Opening balance: Prepayments Assets - Monetary	353,316,811	5,374,310	Note 69
Payment	**(347,942,501)**	**(5,282,310)**	
106C - Payment for Work in Progress			
Opening balance: other structure WIP Monetary	46,956,590,330	41,794,334,319	Note 82
Closing balance: other structure WIP Monetary	(49,928,518,740)	(46,956,590,330)	Note 82
Payment	**(2,971,928,410)**	**(5,162,256,011)**	
17C - Revenue from Exchange Transactions			
Revenue from Vocational Workshop Production-Exchange	3,478,395,493	3,253,489,831	
Vocational Short and Tailor-made course fees-Exchange	21,601,220,481	12,920,692,428	
Receipt	**25,079,615,974**	**16,174,182,259**	
Add/Less (Change in Working Capital)			
Receivable (GEPG)			
Opening Receivable (GEPG)		108,678,683	Note 67
Closing Receivable (GEPG)			Note 67
Net change during the year Receivable GePG		108,678,683	Note 67
Receivables from Exchange Transactions Addition			
Opening balance: Receivables from Exchange Transactions Addition	716,067,159	729,460,787	Note 67
Closing balance: Receivables from Exchange Transactions Addition	(833,645,487)	(716,067,159)	Note 67
Net change during the year Receivable from exchange Trans.	(117,578,328)	13,393,628	
Net change during the year	**(117,578,328)**	**122,072,311**	
Receipt	**24,962,037,646**	**16,296,254,570**	
31C - Other Revenue			
Application fee	396,321,213	329,565,000	
Receipts from Examination Fees	1,512,726,653	1,475,245,000	
Revenue from Rent of Government Quarters	298,031,661	265,517,659	
Revenue from Tuition Fees	2,551,767,619	1,951,143,395	
Tender Documents		2,165,000	
Receipt	**4,758,847,146**	**4,023,636,054**	
Add/Less (Change in Working Capital)			
Receivable from Fees, Fines, Penalties and Forfeits			
Opening balance: Receivable from Fees, Fines, Penalties and Forfeits	293,000,901	115,530,549	Note 67
Closing. Receivable from Fees, Fines, Penalties and Forfeits	(443,686,419)	(293,000,901)	Note 67
Net change during the year from Fees, Fines, forfeits	**(150,685,518)**	**(177,470,352)**	
Staff advance			

Opening balance: Staff advance	581,105,241	585,571,650.95	Note 67
Closing balance: Staff advance	(613,783,892)	(581,105,241)	Note 67
Net change during the year staff advances	(32,678,651)	4,466,409.95	Note 67
Net change during the year	**(183,364,169)**	**(173,003,941.71)**	
Receipt	**4,575,482,977**	**3,850,632,112.29**	
32C - Subvention from other Government entities			
Government Grant Personal Emolument	35,470,605,342	32,736,035,474	
Non-Monetary Revenue - Capital	34,636,612,042	34,142,038,695	
Subvention Capital	2,765,682,090	2,646,654,535	
Subvention Development Foreign	452,135,697		
Subvention Other Charges	45,763,879,219	45,276,250,141	
Receipt	**119,088,914,390**	**114,800,978,845**	
Add/Less (Change in Working Capital)			
Deferred Subvention Capital			
Opening balance: - Deferred Subvention Capital	(786,135,592)	(1,971,443,609)	
Closing balance: - Deferred Subvention Capital	421,266,889	786,135,592	Note 93
net change during the year Deferred subvention Capital	**(364,868,703)**	**(1,185,308,017)**	Note 93
Deferred Subvention Current			
Opening balance: - Deferred Subvention Current	(442,957,073)	(1,904,254,682)	Note 93
Closing balance: - Deferred Subvention Current	533,056,720	442,957,073	Note 93
Net change during the year Deferred subvention Currently	**90,099,647**	(1,461,297,609)	
Non-Monetary Revenue - Capital	(34,636,612,042)	(34,142,038,695)	Note 32
Change in working capital	**(34,911,381,098)**	**(36,788,644,321)**	
Receipt	**84,177,533,292**	**78,012,334,524**	
34C - Wages, Salaries and Employee Benefits			
Accommodation in Lieu of Quarters		12,868,000	
Acting Allowance	9,200,000	22,350,000	
Casual Labor Expenses	459,716,057	58,084,255	
Casual Laborers	10,911,000		
Civil Servants	30,037,127,978	32,485,785,495	
Civil Servants Contracts		29,693,791	
Court Attire Allowance	4,000,000	3,000,000	
Electricity	74,288,452	25,418,523	
Electricity Allowance	121,129,500	152,613,769	
Extra-Duty	7,417,749,389	4,661,456,450	
Facilitation Allowance Expenses -employee	1,297,576,219	1,484,143,459	
Field (Practical Allowance)	160,843,000	118,362,402	
Food and Refreshment	507,423,081	17,928,747	
Furniture Expenses	162,390,000	242,220,000	
Honoraria	64,254,000	133,500,000	
Housing Allowance discretionary Expenses		61,750,000	
Housing allowance Expenses	493,928,000	344,070,000	
Internship Allowance	91,145,334	24,900,000	
Invigilators Allowances	5,520,000	36,620,000	
Leave Travel	187,480,352	751,487,786	
Local Based Staff Salaries	58,084,010	528,809,512	
Local Staff Salaries	192,122,810	711,553,045	
Medical and Dental Refunds	128,148,035	120,110,000	
Moving Expenses	764,942,622	616,851,900	
National Health Insurance Fund (NHIF) Employee Expenses		17,574,078	
National Health Insurance Fund (NHIF) Employer Expenses		3,474,432	

National Health Insurance Schemes (NHIF) Employee Expenses	18,137,052	34,597,518	
National Health Insurance Schemes (NHIF) Employer Expenses	955,445,150		
National Social Security Fund (NSSF) Expenses		9,550,882	
Operational Service Staff Expenses	260,559,577	256,817,053	
Outfit Allowance	9,240,000	7,600,000	
Passages Allowances	87,500,000		
Professional Allowances		74,800,000	
Public Servants Social Security Fund (PSSSF) Employee Expenses	30,142,201	18,779,084	
Public Servants Social Security Fund (PSSSF) Employer Expenses		10,749,920	
Public Service Social Security Fund (PSSSF)Employer Expenses	4,532,676,121	7,466,383	
Responsibility Allowance	685,047,500	524,150,001	
Risk Allowance	2,300,000	3,000,000	
Sewage Charges	420,000	-	
Sitting Allowance	1,768,717,914	1,421,111,217	
Special Allowance	51,375,544	101,600,000	
Subsistence Allowance	-	443,834,000	
Telephone Allowance	513,726,425	192,940,000	
Transport Allowance	-	13,460,000	
Uniform Allowance	1,397,600	-	
Workers Compensation Fund (WCF) Expenses	150,419,862	-	
Payment	**51,315,084,785**	**45,785,081,702**	
Add/(Less) (Change in Working Capital)			
Staff Claim Addition			
Opening balance: Staff Claim Addition	2,152,907,368	140,034,684	**Note 89**
Closing balance: Staff Claim Addition	(2,364,113,681)	(2,152,907,368)	**Note 89**
Net change from staff claims	**(211,206,313)**	**(2,012,872,684)**	
Payment	**51,103,878,472**	**43,772,209,018**	
35C - Use of Goods and Service			
Accommodation Hospitality Supplies and Services	66,726,332	50,696,456	
Accommodation Training - Domestic	-	13,000,000	
Advertising and publication	13,927,537	8,453,159	
Advertising and Publication - Communication & Information	175,737,630	53,512,664	
Air Travel Tickets Training - Domestic	4,785,228	10,224,472	
Air Travel Tickets Travel - In - Country	83,434,567	97,678,394	
Air Travel Tickets Travel Out of Country	50,000,000	87,459,555	
Books, Reference and Periodicals	5,420,000	282,157,340	
Bottled Gas	9,935,934	-	
Catering Services	1,022,910,756	339,429,924	
Charcoal	3,850,000	8,986,800	
Cleaning Supplies - Use of goods and Services	185,900,115	266,521,355	
Communication Network Services	35,896,329	392,078,770	
Computer Software - Use of goods and Services	10,661,000	2,250,000	
Computer Supplies and Accessories	17,057,552	74,271,715	
Conference Facilities	398,613,647	212,395,498	
Construction and maintenance of Electrical Lines	4,800,000	-	
Contract based training services	2,714,490,709	3,315,054,046	
Courier Services	46,712,307	88,466,851	
Diesel	2,277,183,760	1,857,303,618	
Donation	3,900,000	2,300,000	
e Training Materials	-	470,819,157	

Educational Radio and TV broadcasting programming	148,693,539	70,078,504
Electricity - Utilities Supplies and Services	1,100,523,884	947,851,571
Entertainment - Hospitality Supplies and Services	56,442,779	67,981,350
Examination Expenses	19,342,020	3,662,306,096
Exhibition, Festivals and Celebrations	413,987,112	100,511,245
Firewood	3,300,000	6,732,100
Food and Refreshments	1,141,997,559	1,607,424,648
Fumigation	2,153,500	-
Fumigation Expenses	71,197,988	92,045,385
Gifts and Prizes	32,760,000	30,536,788
Ground Transport (Bus, Train, Water)	308,596,403	135,456,895
Ground travel (bus, railway taxi, etc) Travel - In - Country	1,568,761,850	840,994,243
Ground travel (bus, railway taxi, etc) Travel Out of Country	3,781,436	21,820,553
Health Insurance Training - Foreign	-	12,000,000
Health Insurance Travel Out of Country	20,000,000	-
Hiring of Training Facilities	45,762,000	11,044,000
Inspection Fees	100,000	-
Internet and Email connections	383,511,115	352,701,795
Land Rent Expenses - Other operating Expenses	141,030,794	168,013,388
Land Scaping	-	500,000
Laundry and Cleaning Expenses	2,160,000	27,099,869
Lubricants	6,994,871	22,453,907
Medical Gases and Chemicals	3,060,108	629,430
Mobile Charges	771,719,993	424,305,782
Motor Oil	50,462	598,000
National Flag	267,800	-
Natural Gas - Utilities Supplies and Services	69,892,407	49,654,374
News Services Fees	4,000,000	935,000
Newspapers and Magazines	974,000	1,222,200
Office Consumables (papers, pencils, pens and stationaries)	647,648,840	568,752,863
Operations and Training Fuel	24,006,073	1,872,500
Other Gas	26,528,040	-
Outsourcing Costs (includes cleaning and security services)	481,467,667	985,888,627
Per Diem - Domestic	12,403,251,088	13,163,400,859
Per Diem - Foreign	105,600,000	109,266,390
Petrol	33,621,822	22,310,523
Posts and Telegraphs	-	180,000
Printing and Photocopy paper	66,429,222	621,404,296
Printing and Photocopying Costs	2,677,995,303	676,654,832
Printing Material	66,287,011	218,198,081
Printing of Stamps	98,473,239	1,429,737
Production and Printing of Training Materials	13,855,892	1,634,735,976
Protective Clothing, footwear and gears	35,379,323	4,866,000
Publicity	109,601,146	31,870,000
Purchased Electricity		-
Ration - Food Purchase		273,660,254
Remuneration of Instructors		2,085,000
Rent - Office Accommodation	15,285,720	6,596,640
Research and Dissertation Training - Domestic	16,000,000	117,531,500
Sewage Charges - Utilities Supplies and Services	7,430,996	17,743,067
Software License Fees	76,344,844	47,189,041
Special Uniforms and Clothing	-	9,092,313
Sporting Supplies	2,624,000	3,161,782
Stationery	207,800	24,000,000

Student meals	4,612,022,038	3,971,623,421	
Subscription Fees	90,353,751	119,049,568	
Technical Materials	5,903,436,790	7,174,612,822	
Technical Service Fees	159,278,058	111,776,144	
Telephone Charges (Land Lines)	21,250,639	40,940,626	
Telephone Charges -Utilities Supplies and Services	298,061	3,436,038	
Testing Facilities	4,071,000	36,285,816	
Training Aids	5,117,148	4,451,200	
Training Allowances	736,814,839	465,272,570	
Training Materials	3,219,833,831	397,379,634	
Tuition Fees Training - Domestic	287,646,635	346,406,648	
Uniforms and Ceremonial Dresses	248,014,429	93,220,356	
Uniforms -Clothing, Bedding, Footwear and Services	212,920,737	113,040,636	
Upkeep of Grounds and Amenities	-	3,037,000	
Valuation of NCA	1,399,986	21	
Visa Application Fees	5,000,000	4,800,000	
Water and Waste Disposal (Garbage)	2,699,017	1,000,000	
Water Charges	666,702,978	709,562,664	
Wire, Wireless, Telephone, Telex Services and Facsimile	-	1,146,308	
Payment	**46,537,902,986**	**48,426,888,650**	
Add/Less (Change in Working Capital)			
Advance Payment			
Opening balance: -Advance Payment		(161,642,382)	Note 69
Closing balance: - Advance Payment		-	Note 69
Net change during the year		**161,642,382**	
Advance Utility			
Opening balance: - Advance Utility	2,423,104	-	Note 89
Closing balance: - Advance Utility	12,891,581	2,423,104	Note 89
Net change during the year	**(10,468,477)**	**(2,423,104)**	
Agricultural Chemical			
Opening balance: - Agricultural Chemical		3,942,500	Note 70
Closing balance: - Agricultural Chemical		-	Note 70
Net change during the year		**(3,942,500)**	
Building Materials			
Opening balance: - Building Materials		**184,916,288**	Note 70
Closing balance: - Building Materials		-	Note 70
Net change during the year		**(184,916,288)**	
Cleaning supplies			
Opening balance: - cleaning supplies	8,400,626	6,025,800	Note 70
Closing balance: - cleaning supplies	-	8,400,626	Note 70
Net change during the year	**(8,400,626)**	**2,374,826**	
Consumables			
Opening balance: Consumables	560,634,412	345,990,810	Note 70
Closing balance: Consumables	706,221,630	560,634,412	Note 70
Net change during the year	**145,587,218**	**214,643,602**	
Contracts and Work in Progress Payable			
Opening balance: Contracts and Work in Progress Payable	-		Note 89
Closing Contracts and Work in Progress Payable	17,898,240		Note 89
Net change during the year	**(17,898,240)**		
Foodstuffs			
Opening balance: Foodstuffs	8,249,970	1,652,300	Note 70
Closing balance: Foodstuffs	-	8,249,970	Note 70
Net change during the year	**(8,249,970)**	**6,597,670**	
Fuel			
Opening balance: Fuel	32,732,906	65,357,636	Note 70

Closing balance: Fuel	13,187,387	32,732,906	Note 70
Net change during the year	**(19,545,519)**	**(32,624,730)**	
Imprest Payable Addition			
Opening balance: Imprest Payable Addition	336,715,564	-	Note 89
Closing balance: Imprest Payable Addition	-	336,715,564	Note 89
Net change during the year	**336,715,564**	**(336,715,564)**	
Imprest Receivable - Staff			
Opening balance: Imprest Receivable - Staff	296,072,412	977,376,832	Note 67
Closing balance: Imprest Receivable - Staff	373,143,800	296,072,412	Note 67
Net change during the year	**77,071,388**	**(681,304,420)**	
Learning Materials Addition			
Opening balance: Learning Materials Addition	41,084,568	4,704,000	Note 67
Closing balance: Learning Materials Addition	-	41,084,568	Note 67
Net change during the year	**(41,084,568)**	**36,380,568**	
Prepayment Consumables			
Opening balance: Prepayment Consumables	8,978,611	32,150,947	Note 69
Closing balance: Prepayment Consumables	78,191,929	8,978,611	Note 69
Net change during the year	**69,213,318**	**(23,172,336)**	
Retention Payable Addition			
Opening balance: Retention Payable Addition	73,800,128	101,140,834	Note 89
Closing balance: Retention Payable Addition	80,381,290	73,800,128	Note 89
Net change during the year	**(6,581,162)**	**27,340,706**	
Social security contributions and NHIF contributions Addition			
Opening balance: social security contributions and NHIF contributions Addition	-	390,000	Note 89
Closing balance: social security contributions and NHIF contributions Addition		-	Note 89
Net change during the year		**390,000**	
Spare parts and tires			
Opening balance: Spare parts and tires	5,792,100	1,524,000	Note 70
Closing balance: Spare parts and tires	-	5,792,100	Note 70
Net change during the year	**(5,792,100)**	**4,268,100**	
Supplies of goods and services Addition			
Opening balance: Supplies of goods and services Addition	4,948,257,889	830,110,517	Note 89
Closing balance: Supplies of goods and services Addition	4,965,669,375	4,948,257,889	Note 89
Net change during the year	**(17,411,486)**	**(4,118,147,372)**	
Uniforms			
Opening balance: Uniforms	23,548,432	1,942,000	Note 70
Closing balance: Uniforms	12,553,640	23,548,432	Note 70
Net change during the year	**(10,994,792)**	**21,606,432**	
Withholding Tax Payable Addition			
Opening balance: Withholding Tax Payable Addition	80,895,392	109,724,708	Note 89
Closing balance: Withholding Tax Payable Addition	62,331,051	80,895,392	Note 89
Net change during the year	**18,564,341**	**28,829,316**	
	500,724,889	**(4,879,172,712)**	
Payment	**47,038,627,874.92**	**43,547,715,938**	

36C - Maintenance Expenses		
Air conditioners	11,101,468	13,425,482
Cement, Bricks and Building Materials	69,433,399	159,389,611
Cement, bricks and construction materials	15,375,183	20,824,772
Computers, printers, scanners, and other computer related equipment	76,244,229	258,614,661

Direct labor (contracted or casual hire) - Buildings	290,592,703	309,020,038
Direct labor (contracted or casual hire) - Machinery, Equipment and Plant	85,525,353	20,288,812
Direct labor (contracted or casual hire) - Roads and Bridges	15,110,000	11,039,181
Direct labor (contracted or casual hire) - Vehicles and Transportation Equipment	90,472,788	1,399,983
Direct labor (contracted or casual hire) - Water and Electricity	29,279,067	69,147,960
Electrical and Other Cabling Materials - Buildings	6,979,954	21,744,625
Electrical and Other Cabling Materials - Water and Electricity Installations	4,285,277	16,068,371
Electrical and Telephone Cable Installations		3,335,010
Fax machines and other small office equipment		2,148,400
Fire Protection Equipment	83,717,120	26,542,686
Generator Maintenance	1,000,000	1,184,809
Mechanical, electrical, and electronic spare parts	18,898,953	26,798,569
Metal Fence and Posts - Buildings	1,000,150	1,020,000
Motor Vehicles and Water Craft	367,282,414	538,450,059
Oil and grease	23,169,013	8,335,119
Oil, grease, and other chemical materials	2,890,388	242,000
Outsource Expenses	19,420,600	31,846,729
Outsource maintenance contract services - Buildings	139,201,800	67,765,624
Outsource maintenance contract services - Machinery, Equipment and Plant	10,840,258	45,090,429
Outsource maintenance contract services - Office Equipment and Appliances	3,409,719	2,790,000
Outsource maintenance contract services - Vehicles and Transportation Equipment	383,949,614	13,227,993
Outsource maintenance contract services - Water and Electricity Installations	-	15,913,236
Paint and Weather Protection Coatings	23,388,000	3,700,000
Panel and body shop repair materials and services	122,120,623	565,000
Photocopiers	9,201,000	6,257,657
Plumbing Supplies and Fixtures	29,746,571	15,865,749
Repair and Maintenance of Furniture	39,142,827	21,731,247
Repair and Maintenance of Sewerage System	52,565,335	10,056,809
Roofing Materials	12,384,703	2,725,000
Small tools and equipment	61,122,014	12,464,253
Small tools and implements - Buildings	8,238,064	1,988,000
Small tools and implements - Water and Electricity Installations	-	3,285,000
Spare Parts - Operation	8,069,858	3,800,000
Spare Parts - Other	-	5,142,380
Spare Parts - Vehicles and Transportation Equipment	353,609,240	175,549,586
Telephone Equipment (mobile)	22,400,000	1,390,000
TV sets and Radios	3,249,124	5,096,000
Tires and Batteries	201,613,974	136,036,566
Water Pumps	280,000	2,680,670
Wood and Timber Supplies	24,828,750	14,775,000
Wood and Timber Supplies Expenses	6,791,455	-
Payment	**2,727,930,988**	**2,108,763,076**

56C - Social Benefits			
Terminal Benefit Expenses	10,450,000		
Payment	**10,450,000**		
52C - Other Expenses			
Membership Fees	525,000	-	
Agency fees	21,310,575	13,985,250	
Audit fees Expenses	280,000,000	310,000,000	
Bank Charges and Commissions	39,379,972	4,568,329	
Burial Expenses	66,484,400	86,293,976	
consultancy fees	-	6,780,800	
Corporate Social Responsibilities	14,225,000	-	
Director's Fee	58,500,000	63,369,000	
education supervision expenses	1,199,318,605	856,886,582	
Facilitation Fees		80,000	
Freight Forwarding and Clearing Charges		49,263,283	
Honorariums (expert opinion)		2,150,000	
Insurance Expenses	181,066,912	188,699,004	
Insurance Expenses - Other operating Expenses	5,400,000	-	
Legal fees Expenses	14,750,000	60,734,739	
National Expenses	373,424,820	184,366,669	
Outsource of Production Services	-	320,000	
Property tax Expenses	1,490,300	-	
Registration Fees	4,288,000	-	
Registration Fees Expenses	-	31,303,000	
Reserve for Safety Regulator's Costs	-	3,000,000	
Security Services	1,108,514,425	807,581,627	
Sticker Charges	-	15,000	
Taxes Levied by another Level of Government	152,650,192	569,000	
Transportation Cost by Ground	-	700,000	
Transports posts - other expenses	-	704,000	
Upkeep of Grounds and Amenities Expenses	64,318,400	45,622,141	
Payment	**3,585,646,601**	**2,716,992,400**	
Add/Less (Change in Working Capital)			
Other Payable			
Opening balance: Other Payable	20,872,940	126,220,832	
Closing balance: Other Payable	(139,619,781)	(20,872,940)	
Net change during the year	**(118,746,841)**	**105,347,892**	
Payment	**3,466,899,760**	**2,822,340,292**	
60C - Other Transfers			
Contribution to CF (15%)	414,540,000	500,000,000	
Transfer to Other Institution.	-	500,000,000	
Payment	**414,540,000**	**1,000,000,000**	
61C - Deposit			
Deposit General			
Opening balance: Deposit General	638,653,560	3,619,206,390	Note 94
Closing balance: Deposit General	(2,077,514,427)	(638,653,560)	Note 94
Net change during the year	**(1,438,860,867)**	**2,980,552,830**	
Unapplied Deposit Account Addition			
Opening balance: Unapplied Deposit Account Addition	157,683,678	223,230,363	Note 94
Closing balance: Unapplied Deposit Account Addition	(23,843,740)	(157,683,678)	Note 94
Net change during the year	**133,839,938**	**65,546,685**	

Receipt	**(1,305,020,929)**	**3,046,099,515**	
77C - Acquisition of Property, Plant and Equipment			
Scientific Equipment Monetary			
Opening bal. Scientific Equipment Monetary	3,587,557,419	349,649,975	Note 77
Closing bal. Scientific Equipment Monetary	(4,240,509,734)	(3,587,557,419)	Note 77
Net change during the year	**(652,952,315)**	**(3,237,907,444)**	
Hardware: servers and equipment (incl. desktops, laptops etc.) Monetary			
Opening balance: Hardware: servers and equipment (incl. desktops, laptops etc.) Monetary	2,091,177,948	1,932,546,054	Note 77
Closing balance: Hardware: servers and equipment (incl. desktops, laptops etc.) Monetary	(3,057,974,726)	(2,091,177,948)	Note 77
Net change during the year	(966,796,778)	(158,631,894)	
Library Books Monetary			
Opening balance: Library Books Monetary	71,471,672	-	Note 77
Closing balance: Library Books Monetary	(563,526,902)	(71,471,672)	Note 77
Net change during the year	(492,055,230)	(71,471,672)	
Office buildings and structures Monetary			
Office buildings and structures Monetary	9,484,416,979	9,484,416,979	Note 77
Office buildings and structures Monetary	(9,507,323,979)	(9,484,416,979)	Note 77
Net change during the year	(22,907,000)	-	
Office equipment Monetary			
Office equipment Monetary	6,044,000	6,044,000	Note 77
Office equipment Monetary	(419,238,186)	(6,044,000)	Note 77
Net change during the year	(413,194,186)	-	
Office Furniture and Fittings Monetary			
Office Furniture and Fittings Monetary	913,699,698	506,815,726	Note 77
Office Furniture and Fittings Monetary	(1,091,973,358)	(913,699,698)	Note 77
Net change during the year	**(178,273,660)**	**(406,883,972)**	
Plant and Machinery			
Plant and Machinery	5,140,132,666	4,980,684,347	Note 77
Plant and Machinery	(5,782,838,006)	(5,140,132,666)	Note 77
Net change during the year	(642,705,340)	(159,448,319)	
Payment	**(3,368,884,509)**	**(4,034,343,301)**	
78C - Acquisition of Intangibles			
Computer Software Monetary			
Computer Software Monetary	168,500,000	-	
Computer Software Monetary	168,500,000	168,500,000	
Net change during the year		(168,500,000)	
Payment		**(168,500,000)**	
84C - Acquisition of Investment in Controlled Entities			
Opening balance: Ujuzi Incorporated Company Limited			
Closing balance: Ujuzi Incorporated Company Limited	220,268,000		

Payment	**(220,268,000)**

VETA registered with BRELA a subsidiary company at the year end of 2024/25. This was a fund injected as initial capital. The company was yet put into operation as the close of the financial statements except funds transferred to the company for operation commencements in 2025/26.

26- Salary Arrears TZS 743,329,869

The Authority makes disclosure of Salary arrears that was resulted of change in scheme of service and salary structure in the year 2019 that gave rise to contingent liability of TZS 743,329,869. These arrears are classified as a Contingent Liability which was raised due to past event and have not been recognized as actual liabilities in the Financial Statement because they fall into the category of possible obligations that is likelihood to have an outflow of resources of which is considered remote.

It has not yet been confirmed whether the Authority has a present obligation that could result in an outflow of resources embodying economic benefits or service potential, as outlined in IPSAS 19, part 21 B (i). The timing of the settlement is also uncertain. The Authority has measured the liability value based on the months owed by its staff and difference of salaries from previous and new salary structure for each staff owed the Authority. The Authority has a Total TZS 743,329,869 regards it as staff claims classified as arrears owed by 318 staff stems from the 2019 change in the Scheme of Service.

27- Disclosure on Kalumbulu Kyela Land Plot

During the financial year, the Authority acknowledges existence of Plot No. 279 of Kalumbulu Kyela situated in Mbeya of which is registered under name of Vocational Education Training Authority title deed, however the Authority has not obtained control over the property usage and hence there is no future economic benefits that is expected to flow to the Authority as at the reporting date. For those matters of concern, it has not been recognised in the Statement of Financial Position as Property, Plant, and Equipment as required under IPSAS 17 for initial recognition.

Although not recognised, the Authority continues to have legal possession (Title Deed) of the property also Management is undertaking initiatives to complete the transfer process and handing over procedures in order to have full control upon completion of this process, and once recognition criteria are met, the land will be recorded in the financial statements in accordance with IPSAS 17.

Management will continue to assess the recognition criteria and will update the financial statements in future periods once sufficient evidence is available to permit recognition in accordance with IPSAS 17.

28- Disclosure on Biological Asset

During the financial year, the Authority recognised biological assets at the Fair value of TZS 270,155,800 as of 28 January 2022.

29- Non-Monetary Additions and WIP Transfer

During the financial year, the Authority recognized non-monetary additions amounting to TZS 33,197,052,493 under Property, Plant and Equipment (PPE) and TZS 2,776,590,330 under Work in Progress (WIP). Non-monetary additions represent assets acquired without direct cash outflows by the Authority, such as those received through Government grants, donations, or transfers from third parties.

30- Reason for Significant Variances in the Statement of Budget versus Actual

There were significant variances between the final approved budget and the actual expenditures for certain budget items, mainly due to lower-than-anticipated funding received during the financial year. The affected items include Maintenance Expenses, Other Expenses, Other Transfers, and Acquisition of Property, Plant and Equipment (PPE). Details of the variances are presented below:

Narration of Budget Variances

- **Maintenance Expenses:**

Approximately 64% of the approved budget was not executed due to insufficient funds received during the period.

- **Other Expenses:**

About 35% of the approved budget was not executed as a result of inadequate funding received during the year.

- **Other Transfers:**

Approximately 49% of the approved budget was not executed due to limited funds received during the reporting period.

- **Acquisition of Property, Plant and Equipment:**

Around 13% of the approved budget was not executed owing to shortfalls in funds received during the year.

NOTES TO THE FINANCIAL STATEMENT - CONSOLIDATED ASSET MOVEMENT
FOR THE YEAR ENDED 30 JUNE 2025

5 - Property, Plant and Equipment	At 01 July 2024	Addition Monetary	Addition non-monetary	30 June 2025	01 July 2024	Charge during the year - Depreciation	30 June 2025	Carrying Value
Acquisition of land	59,970,834,438		6,423,914,150	66,394,748,588				66,394,748,588
Hardware: servers and equipment (incl. desktops, laptops etc.)	12,435,232,513	966,796,778		13,402,029,291	4,948,863,348	1,113,631,923	6,062,495,271	7,339,534,020
Library Books	1,820,004,149	492,055,230	75,491,317	2,387,550,696	177,368,507	209,326,948	386,695,455	2,000,855,241
Motor Vehicles	21,017,851,044		97,589,083	21,115,440,127	13,514,269,190	961,462,942	14,475,732,132	6,639,707,995
Office buildings and structures	261,986,084,149	22,907,000	25,269,855,741	287,278,846,890	62,396,781,666	5,491,914,135	67,888,695,801.00	219,390,151,089
Office equipment	395,112,819	413,194,186	64,818,163	873,125,168	243,556,312	27,764,547	271,320,859	601,804,309
Office Furniture and Fittings	19,159,854,757	178,273,660	453,303,389	19,791,431,806	9,104,767,140	1,074,368,738	10,179,135,878	9,612,295,928
Plant and Machinery	32,060,167,681	642,705,340	623,715,976	33,326,588,997	16,865,138,990	1,736,202,390	18,601,341,380	14,725,247,617
Scientific Equipment	5,109,982,624	652,952,315	188,364,674	5,951,299,613	2,682,355,140	323,001,891	3,005,357,031	2,945,942,582
Ships, boats and ferries	169,280,000			169,280,000	27,084,800	5,924,800	33,009,600	136,270,400
TOTAL	**414,124,404,174**	**3,368,884,509**	**33,197,052,493**	450,690,341,176	109,960,185,093	10,943,598,314	120,903,783,407	**329,786,557,769**

NOTES TO THE FINANCIAL STATEMENT - CONSOLIDATED ASSET MOVEMENT

FOR THE YEAR ENDED 30 JUNE 2025

5 - Property, Plant and Equipment	Cost/Revaluation				Accumulated Depreciation and Impairment			
	At 01 July 2023	Addition Monetary	Addition non-monetary	30 June 2024	01 July 2023	Charge during the year - Depreciation	30 June 2024	Carrying Value
Acquisition of land	56,896,723,084		3,074,111,354	59,970,834,438	0	0	0	59,970,834,438
Hardware: servers and equipment (incl. desktops, laptops etc.)	8,438,829,370	158,631,894	3,837,771,249	12,435,232,513	4,433,653,370	515,209,978	4,948,863,348	7,549,244,165
Library Books	1,394,656,031	71,471,672	353,876,446	1,820,004,149	0	177,368,507	177,368,507	1,642,635,642
Motor vehicles	21,017,851,044		0	21,017,851,044	11,564,604,531	1,949,664,659	13,514,269,190	7,503,581,854
Office buildings and structures	167,662,722,267		94,323,361,882	261,986,084,149	57,778,530,258	4,618,251,408	62,396,781,666	199,589,302,481
Office equipment	323,561,847		71,550,972	395,112,819	228,910,228	14,646,084	243,556,312	151,556,507
Office Furniture and Fittings	12,060,581,904	406,883,972	6,692,388,881	19,159,854,757	7,597,069,973	1,507,697,167	9,104,767,140	10,055,087,617
Plant and Machinery	29,980,795,894	159,448,319	1,919,923,468	32,060,167,681	14,067,255,079	2,797,883,915	16,865,138,994	15,195,028,689
Scientific Equipment	1,872,075,180	3,237,907,444	0	5,109,982,624	2,185,937,879	496,417,262	2,682,355,141	2,364,752,483
Ships, boats and ferries	169,280,000			169,280,000	20,313,600	6,771,200	27,084,800	142,195,200
TOTAL	**299,817,076,621**	**4,034,343,301**	**110,272,984,252**	414,124,404,174	97,876,274,918	12,083,910,180	109,960,185,098	**304,164,219,076**

6 - Intangible Asset								
					Accumulated Depreciation and Impairment			
	At 01 July 2024	Addition Monetary	Addition non-monetary	30 June 2025	At 01 July 2024	Charge during the year -	30 June 2025	Carrying Value
Computer Software	845,275,569			845,275,569	632,117,767	22,814,138	654,931,905	190,343,664
TOTAL	845,275,569			845,275,569	632,117,767	22,814,138	654,931,905	190,343,664

6 - Intangible Asset								
					Accumulated Depreciation and Impairment			
	At 01 July 2023	Addition Monetary	Addition non-monetary	30 June 2024	01 July 2023	Charge during the year - Depreciation	30 June 2024	Carrying Value
Computer Software	589,585,241	168,500,000	87,190,329	845,275,570	555,058,294	77,059,474	632,117,768	213,157,802
TOTAL	589,585,241	168,500,000	87,190,329	845,275,570	555,058,294	77,059,474	632,117,768	213,157,802

7 - Biological Assets								
	At 01 July 2024	Addition Monetary	Addition non-monetary	30 June 2025	01 July 2024	Charge during the year - Depreciation	30 June 2025	Carrying Value
Bearer Plants	270,155,800			270,155,800				270,155,800
Total	270,155,800			270,155,800				270,155,800

7 - Biological Asset								
	Cost/Revaluation				Accumulated Depreciation and Impairment			
	At 01 July 2023	Addition Monetary	Addition non-monetary	30 June 2024	01 July 2023	Charge during the year - Depreciation	30 June 2024	Carrying Value
Bearer Plants	270,155,800	0	0	270,155,800	0	0	-	270,155,800
	270,155,800	0	0	270,155,800	0	0	0	270,155,800

CONSOLIDATED WIP MOVEMENT FOR THE YEAR ENDED 30 JUNE 2025					
8 - Work in Progress					
	At 01 July 2024	Addition Monetary	Addition non-monetary	Transfers	30 June 25
Other Structure - WIP	14,248,019,573	2,971,928,411	2,776,590,330	-1,337,030,783	18,659,507,531
TOTAL	**14,248,019,573**	**2,971,928,411**	**2,776,590,330**	**-1,337,030,783**	**18,659,507,531**

CONSOLIDATED WIP MOVEMENT FOR THE YEAR ENDED 30 JUNE 2024					
8 - Work in Progress					
	At 01 July 2023	Addition Monetary	Addition non-monetary	Transfers	30 June 2024
Other Structure - WIP	79,502,164,523	5,162,256,011	4,576,913,228	-74,993,314,189	14,248,019,573
TOTAL	**79,502,164,523**	**5,162,256,011**	**4,576,913,228**	**-74,993,314,189**	**14,248,019,573**

9 - Investment in Controlled Entities (Subsidiaries)					
Descriptions	Opening	Addition Monetary	Addition non-monetary	Profit for the year	Closing
Ujuzi Incorporated Co. Limited	0	220,268,000	0	0	220,268,000
TOTAL	**0**	**220,268,000**	**0**	**0**	**220,268,000**

31- RECONCILIATION OF NET CASH FLOWS FROM OPERATING ACTIVITIES TO SURPLUS/(DEFICIT) FOR THE PERIOD ENDED 30 JUNE 2025

	2024/25	2023/24
	TZS	TZS
Surplus for the Period	33,227,025,139	23,046,028,063
Add/ (Less) Non-Cash Item		
Amortization of Intangible Assets	22,814,138	77,059,473
Depreciation of Property, Plant and Equipment	10,943,598,314	12,083,910,180
Expected Credit Loss	142,384,559	0
Fair value Gains on Assets and Liabilities	0	(245,926,386)
Non-Monetary Revenue - Capital	(34,636,612,042)	(34,142,038,695)
Add/ (Less) Change in Working Capital		
Deferred Subvention Capital	(364,868,703)	(1,185,308,017)
Deferred Subvention Current	90,099,647	(1,461,297,609)
Inventories	(51,519,643)	(64,387,680)
Payables and Accruals	27,032,614	6,308,250,810
Prepayments	(69,213,318)	(138,470,046)
Receivables	(378,013,885)	630,372,789
Deposit	1,305,020,929	(3,046,099,515)
Net Cash Flow from Operating Activities	**10,257,747,749**	**1,862,093,367**

32- RELATED PARTY TRANSACTIONS

During the year under review, the Authority had the following transactions in relation to the related parties:

	2024/25	2023/24
	TZS '000'	TZS '000'
Board Directors Fees	53,250	84,243
Directors and principals	1,160,664	1,010,520
Number of Persons	38	23

Key Management Personnel (KMP) includes all Directors, Centre Principals and other members having the authority and responsibility for planning, directing, and controlling the activities of the Authority.

33- PENDING MATTERS BEFORE COURTS OF LAW AND QUASI - JUDICIAL BODIES AS AT 30 JUNE 2025

The Authority also had the following pending litigation against it as at 30 June 2025 which has not been provided for in the financial statements due to uncertainty relating to their outcome before the court.

NO.	BEFORE HON.	CASE NO.	PARTIES	CLAIM		HANDLED BY	STATUS
CASES BEFORE THE HIGH COURT							
1.	High Court - Dar es Salaam	Civil Case No. 26 of 2009	VETA v. M/S Gema Security Services	File number not yet obtained from the court		Office of the Solicitor General & VETA LOs	Follow ups are being made at the High Court as the case file was misplaced at the court
	Total number of cases at the High Court is 1						
CASES BEFORE THE COURT OF APPEAL							
2.	(To be known later when notice for hearing are issued if the Appellant files a Memorandum of Appeal)	Civil Appeal case of 2013 at Tanga. The case is not yet filed in the court of appeal.	Stephen Karoli Katala v. VETA	Appeal from the decision of the High Court - Tanga, dated 21.09.2012 in Civil Case No. 08 of 2005		Office of the Solicitor General & VETA LOs	The Appellant filed only the Notice of Appeal. That is why there is no Case No. Awaiting to be served with the Memorandum of Appeal. We are about to make an application to strike out the appeal
3.	To be known laterwhen notice for hearingare issued by the Court	Review No. _____ of 2025at Dar es salaam	Salehe Hassan Mjinja v. VETA	Application for Review from the decision of the CAT in Civil Appeal No. 508 of 2023 dated 19 November 2024		Office of the Solicitor General & VETA LOs	Awaits to be served with the summons for hearing of Application
4.	(To be known laterwhen notice for hearingare issued by	Civil Appeal of 2022/23 at Dar es salaam. The case is not yet filed in the court of appeal	Abeid Shekimweri & 2 Others v. VETA & AG	Appeal from the decision of the High Court - Dar Es Salaam, in Labour Revision Case No. 423 of 2022		Office of the Solicitor General & VETA LOs	Awaits to be served with the summons and Memorandum of Appeal

NO.	BEFORE HON.	CASE NO.	PARTIES	CLAIM		HANDLED BY	STATUS
CASES BEFORE THE HIGH COURT							
5.	(To be known later when notice for hearing are issued if the Appellant files a Memorandum of Appeal)	Civil Appeal No. of 2023/24	Masasi District Council, VETA and AG v. Gaudensia George Milanzi and 19 Others	Appeal from the decision of the High Court - Mtwara in Land Cas No. 1 2022 awarding the Respondents claims against the Defendants for compensation to be known after evaluation.		Office of the Solicitor General; and VETA Legal Officers	Awaits to completion of record of appeal in order to file Memorandum of Appeal
	Total number of cases at the **Court of Appeal** is 4						
	A **TOTAL OF PENDING CASES AS AT 30 JUNE 2025 FOR AND AGAINST VETA IS 5**						

34- TRANSACTIONS WITH OTHER GOVERNMENT ENTITIES FOR THE YEAR ENDED 30 JUNE 2025

S/NO.	COUNTERPART ENTITY	AMOUNT (TZS)
1	AUWSA Capital Account	12,083,438
2	CHOMBO CHA UTOAJI HUDUMA YA MAJI NGAZI YA JAMII	6,621,000
3	AQRB-ARCHITECH AND QUANTITY SAVEYOR REGISTRATION BOARD	200,000
4	Arusha Urban Water Supply and Sanitation Authority (AUWASA)	53,454,900.06
5	BABATI URBAN WATER SUPPLY AND SANITATION AUTHORITY	1,711,810
6	CAG COLLECTION ACCOUNT	280,000,000
7	CEREALS AND OTHER PRODUCE BOARD	1,892,000
8	CHOMBO CHA UTOAJI HUDUMA YA MAJI NGAZI YA JAMII	420,500
9	COLLEGE OF BUSSINESS EDUCATION	1,265,000
10	CONTRACTORS REGISTRATION BOARD	3,600,000
11	The Consortium of Tanzania University and Research Libraries (COTUL)	2,750,000
12	DAR ES SALAAM INSTITUTE OF TECHNOLOGY	55,000
13	DAR JUDICIARY MIRATHI ELECTRONIC ACCOUNT	5,633,307.41
14	DAS NAMTUMBO EXPENDITURE	1,000,000
15	DAS SONGEA EXPENDITURE ACCOUNT	800,000
16	DAWASA	17,464,942.41
17	DODOMA MUNICIPAL COUNCIL OWN SOURCE	5,060,000
18	DUWASA	54,284,886.11
19	e GOVERNMENT AUTHORITY	36,026,332
20	ENGINEERS REGISTRATION BOARD (ERB)	5,280,000
21	FIRE AND RESCUE FORCE TANZANIA	100,000
22	FIRE AND RESCUE FORCE TANZANIA	340,000
23	GEPG TEMESA REVENUE ACCOUNT	42,458,189.38
24	GEPG BARIADI URBAN WATER AUTHORITY	1,069,500
25	GEPG CHUO CHA UJENZI MOROGORO	6,270,000
26	GePG KIGOMA CBWSOS COLLECTION ACC	300,000
27	GEPG NHIF COLLECTION ACCOUNT	28,532,229.02
28	GEPG REVENUE ACCOUNT	16,204,191.05
29	GEPG TANGA CBWSO COLLECTION ACC	6,537,000
30	GOVERNMENT PROCUREMENT SERVICES AGENCY	997,831,201.08
31	HANDENI TRUNK MAIN WATER AND SANITATION AUTHORITY	284,245.80
32	HIGHER EDUCATION STUDENTS' LOANS BOARD	13,486.22
33	IGUNGA URBAN WATER SUPPLY AND SANITATION	487,587.50
34	IMC MISCELLANEOUS DEPOSIT ACCOUNT	2,900,000
35	IMC OWN SOURCE COLLECTION ACCOUNT	30,000
36	INSTITUTE OF ACCOUNTANCY ARUSHA	1,730,000
37	INTERNAL DRAINAGE BASIN WATER BOARD	528,032
38	IRINGA URBAN WATER SUPPLY AND SEWERAGE AUTHORITY	28,382,200
39	ITILIMA DISTICT COUNCIL	1,412,613
40	KILIMANJARO SUB TREASURY MISC DEPOSIT	300,000
41	KOROGWE WSSA	1,387,246.60
42	MAKETE DC MISCELLINEOUS DEPOSIT ACCOUNT	200,000
43	MAMLAKA MAJI NA USAFI WA MAZINGIRA NAMTUMBO GePG	1,064,540
44	MAMLAKA YA MAJI SAFI KISHAPU	971,064.50
45	MAMLAKA YA MAJI SONGE	576,306
46	Masasi District Council Miscellaneous Deposit	3,000

S/NO.	COUNTERPART ENTITY	AMOUNT (TZS)
47	MBEYA COMMUNITY BASED WATER SUPPLY ORGANIZATION	250,000
48	MBEYA JUDICIARY MIRATHI ELECTRONIC ACCOUNT	3,516,000
49	MBEYA UNIVERSITY OF SCIENCE AND TECHNOLOGY	450,000
50	MINISTRY OF EDUCATION SCIENCE AND TECHNOLOGY	2,000,000
51	MINISTRY OF LANDS REVENUE COLLECTION ACCOUNT	3,449,170
52	MINISTRY OF LANDS REVENUE COLLECTION ACCOUNT	23,410,391
53	Morogoro Urban Water and Sewerage Authority	36,405,399.50
54	MOSHI URBAN WATER SUPPLY AND SANITATION AUTHORITY	5,271,692.74
55	MWANZA COMMUNITY BASED WATER SUPPLY ORGANISATION	106,400
56	NATIONAL COUNCIL FOR TECHNICAL EDUCATION	28,280,000
57	NATIONAL HEALTH INSURANCE FUND CONTR	50,246,301.87
58	NATIONAL INSURANCE CORPORATION T LIMITED	21,073,053.94
59	NATIONAL SOCIAL SECURITY FUND	7,406,640
60	NBAA COLLECTION ACCOUNT	26,397,500
61	National Examination Council of Tanzania	592,443,057.60
62	NIC GENERAL DEPARTMENT CURRENT ACCOUNT	28,663,300.58
63	OPEN UNIVERSITY OF TANZANIA	4,050,000
64	PRIME MINISTER OFFICE	2,600,000
65	PRINCIPAL ARDHI INSTITUTE	830,000
66	PROCUREMENT AND SUPPLIES PROFESSIONALS AND TECHNICIANS BOARD	500,000
67	PSPTB	2,870,000
68	PSSSF COLLECTION ACCOUNT	124,462,960.21
69	PUBLIC PROCUREMENT REGULATORY AUTHORITY	1,840,000
70	RUVUMA CBWSO COLLECTION ACCOUNT	833,800
71	SETH GEORGE MWAKALINGA	100,000
72	SONGEA URBAN WATER SUPPLY	11,061,067
73	SUWASA	2,494,451.54
74	Tanga UWASA WSDP Account	21,613,047.55
75	TANZANIA AIRPORTS AUTHORITY	360,000
76	TANZANIA ELECTRICITY SUPPLY COMPANY LTD	841,472,130.96
77	TANZANIA INSTITUTE OF QUANTITY SURVEYORS	6,000,000
78	TANZANIA LIBRARY ASSOCIATION	650,000
79	TANZANIA MEAT BOARD	150,000
80	TANZANIA POSTS CORPORATION	337,061,316.72
81	TANZANIA PUBLIC SERVICE COLLEGE	30,074,557
82	TANZANIA STANDARD (NEWSPAPERS) LIMITED	1,385,000
83	TANZANIA TELECOMONICATION CORPORATION	168,120,102.54
84	TANZANIA TRADE DEVELOPMENT AUTHORITY	39,684,945.80
85	TEMESA	44,783,321.50
86	THE INSTITUTE OF INTERNAL AUDITORS TANZANIA	2,970,000
87	The Treasury Registrar	414,540,000
88	TPB BANK PLC	7,346,998.30
89	TREASURY REGISTRAR IMPREST	3,500,000
90	TTCL CORPORATION	10,983,958.91
91	UONGOZI INSTITUTE	9,100,000
92	UYUI DC MISCELLANEOUS DEPOSIT ACCOUNT	200,000
93	Wanging'ombe Water Supply and Sanitation Authority	300,000
94	WORKERS COMPENSATION FUND	1,573,814.97
	TOTAL	4,552,396,128.37